

Global Tech

HSBC's Key Tech Insights: measuring models

Equities Global Tech

United States

- ◆ AI models: token pricing is only one factor shaping competition; we analyse technical factors and geopolitics
- ◆ We see a strong case for proprietary models to lead in the West, including larger compute, supporting the AI value chain
- ◆ Hyperscalers monetise AI effectively, our key picks are Alphabet, Amazon and Microsoft, all rated Buy. SpaceX's higher USD150 TP reflects this trend, Hold rating maintained

AI megacycle is just starting

We identified the key topics that could drive the Tech market in our 22 May [Global Tech](#) report. We believe these themes are still highly relevant. They include competitive dynamics among AI models in a context of rapid adoption of agentic AI, still high (and growing) hyperscalers' capex despite compute constraints and in-house silicon development. One key element is that demand for AI keeps growing, boosted by the technological progress of the models. In the last three years, retail adoption of AI has been the fastest of any general-purpose technology: ChatGPT and Gemini each have over c1bn users, Anthropic, Grok and a long list of smaller models are also very active. Nevertheless, company/sovereign adoption takes time as entities assess the risks of integrating AI into workflows. Hence, we remain at the foothills of the cloud computing and AI cycle. In this note we revisit HSBC's key Tech insights.

Models' catwalk: Intelligence is up again, so is competition from smaller open-weight/open-source models. We analyse dynamics (architecture, pricing, sovereignty) and conclude that closed-source Western Frontier model firms have a strong case to succeed in convincing Western entities to take their products (page 11).

Higher capex: We still expect hyperscalers' budgets to rise significantly in 2026-28, with agentic AI the key driver of acceleration. Companies are testing agentic AI for workflow management, reduce labour intensity and accelerate decision-making for productivity gains. Agents consume many tokens, leading to more demand for compute capacity. Hyperscalers continue to deploy increasing levels of operating cash flows for capex (and less so for buybacks), off-balance sheet financing and bonds for acquisitions and now AI investment (page 29).

Capacity constraints to continue: High demand creates power, chip, memory and project availability bottlenecks; these are not easily solvable. Hyperscalers are developing their in-house silicon and 2027 remains the story for external chip sales (page 38).

Key picks: In the long AI value chain, we have a preference for hyperscalers that can effectively monetise the high demand for AI. We think their largest clients, the large Frontier models have the capacity to lead the Western markets. We have Buy ratings on Alphabet, Amazon and Microsoft. We lift our TP on Hold-rated SpaceX to USD150 (from USD117) to reflect the high value of its compute capacity amid ongoing bottlenecks.

Nicolas Cote-Colisson*

MD, Head of Global Tech Platforms
HSBC Continental Europe
nicolas.cote-colisson@hsbcib.com
+44 20 7991 6826

Paul Rossington*

Senior Global Tech Platforms Analyst
HSBC Bank plc
paul.rossington@hsbcib.com
+44 20 7991 6734

Charlie Rothbarth*

Global Tech Platforms Analyst
HSBC Bank plc
charlie.rothbarth@hsbc.com
+44 203 2685284

Mohammed Khallouf*, CFA

Global Tech Platforms Analyst
HSBC Bank Middle East Limited, DIFC
mohammed.khallouf@hsbc.com
+971 4 509 3337

Stephen Bersey

Head of US Technology Research
HSBC Securities (USA) Inc.
stephen.bersey@us.hsbc.com
+1 212 525 4153

Abhishek Shukla*, CFA

Senior Analyst, Technology
HSBC Bank Middle East Limited, DIFC
abhishek2.shukla@hsbc.com
+971 4 5093343

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This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

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Executive summary

- ◆ Following our last update in May, we update our key discussion points with focus on Western LLM development for which we retain a favourable view, as well as AI vs software and hyperscaler capex
- ◆ We expect increasing LLM capabilities to drive demand for compute capacity supporting hyperscalers' capex while there is growing evidence that the SaaSocalypse narrative is misplaced
- ◆ Data centres remain constrained by power supply but in-house silicon programs (ASICs) both reduce dependence on higher cost GPUs and help to deliver better price performance

HSBC's key Tech discussion insights for 2026 updated

In our latest edition of our 'key Tech discussion points', we build on the previous two iterations in this note. As we are progressing towards the Q3 mark, we are updating our views: the themes we outlined remain very relevant, some areas are developing faster than expected, notably agentic AI.

1) Frontier model competition and the race for compute capacity

We see the frontier-model race as "increasingly open" as benchmark convergence accelerates, with multiple closed-weight launches in 2026 and smaller open-weight models improving rapidly. However, the battleground is highly complex / multi-dimensional including intelligence, architecture, sovereignty/geopolitics, vertical integration, and where focus needs to be on the total cost of operations, not just "token prices". Our view remains that Western corporates will still favour Western proprietary models, supporting an oligopoly-like structure because:

1. Scaling laws still reward access to compute
2. Closed models are simpler/faster to deploy for enterprises (lower operational burden)
3. Sovereignty and regulatory risk could constrain the adoption of some Chinese models.

The key linkage to the value chain is explicit: higher market share for Western frontier labs improves their ability to honour multi-year compute commitments – supporting hyperscalers' capex ROI. Compute scarcity is already driving "compute-for-equity" and multi-cloud behaviour: OpenAI signed 32GW of compute deals worth USD1.4trn, while Anthropic signed 15GW+ for >USD500bn (including cUSD300bn with Alphabet and Amazon), highlighting capacity as the gating factor for LLM scaling.

2) AI vs software. Agents raise compute intensity but do not kill software

We have been pushing back on the “AI replaces software” narrative for some time, and there is now a growing body of evidence to support this view. As we have previously highlighted, agentic AI is a fast-accelerating theme and a key driver of compute demand and capex.

However, there have been no signs of a software apocalypse in 1Q26 results season with median revenue growth of 12.7% y-o-y (cc), outstanding performance obligations growth stayed strong, and management teams were not reporting pricing pressure. In addition, margins generally expanded and buybacks have surged (total buybacks up >3x since 2023–24, excluding outliers). We have subsequently seen similar median revenue growth of 11.7% y-o-y (cc) at the Q2 earnings season.

Agentic AI-led productivity gains are expected to be meaningful, but not transformational. AI-driven cost savings are expected to amount to c5–7.5% of enterprise cost base, while improved coding tools have lifted productivity c100–500bp. We expect the software will be the strategic mechanism by which enterprises leverage AI workflow and governance gains, while hyperscalers monetise the infrastructure layer. For investors, this matters because it supports our *barbell* thesis: (i) infrastructure/capex winners near term, (ii) platform software monetisation compounding over time, rather than a zero-sum displacement.

3) Hyperscaler capex: Inflation drivers and a financing reality check

Hyperscalers continue to guide higher on capex. We now expect aggregate capex for the six major cloud providers to increase by 93% y-o-y in FY26e to USD817bn, followed by +36% y-o-y in FY27e to USD1.108trn, and a further 9% increase in FY28e to USD1.207trn. As a result, capex budgets have broadly doubled in 2026 vs 2025, the vast majority of which is driven by an acceleration in underlying investment in compute, subject to capacity constraints (discussed below). However, in addition to the increased investment in compute, we have also seen incremental increases in capex guidance at the 1Q and 2Q earnings, which is primarily attributed to component inflation (primarily memory).

We also highlight that capex guidance fails to reflect true hyperscaler commitments, with a further cUSD0.5trn of off-balance-sheet finance structures, the function of >USD1trn of leases that have yet to commence for the six major cloud providers. This is in addition to >USD500bn of corporate bonds already outstanding, of which >USD230bn have been issued in 2026 to date, a six-fold increase on same period last year. The net conclusion is that investors should model hyperscaler funding as a blend of operating cash flows, debt issuance and selective equity/strategic investments into AI labs, which are implicit in our company models, but also off-balance sheet operating leases / SPVs, the extent of which is not evident in headline numbers.

Nonetheless, we remain comfortable with the forecast growth in HSBC hyperscalers capex, and that even if some hyperscalers, i.e. Amazon and Meta, run net debt balance sheets in the near-term, gearing levels will be modest by any conventional standard. This is supported by our deep dive analysis of ‘cloudnomics’.

4) Data centre capacity constraints - power remains the no.1 bottleneck

Capacity constraints are expected to persist for US data centres in particular, led by power availability, then cooling, chip/memory supply, and project execution capacity. Gas turbine order intake is at a decade high with lead times >4 years, and small modular reactors are not expected to be widely available until 2035.

On the demand side, BNEF expects US installed data centre capacity to reach 194GW by 2035 (base case), vs 47GW at 2025 year-end, i.e. a fourfold increase. The IEA sees global data centre electricity consumption tripling or quadrupling by 2035 with growth concentrated, i.e. 85% in the US/Europe/China. This is most stark in the US which is expected to account for over 50% of data centre electricity consumption. This compares to China where grid power is “more plentiful” with engine lead times “months rather than years”.

A new (and investment-relevant) constraint is rising public/political resistance to US data centres due to energy/water/emissions. Bottom line: scarcity rents and capacity allocation power (who gets GPUs/megawatts first) remain central to returns through 2026–28.

5) ASICs: In-house silicon momentum and external sales optionality

GPUs are by no means defunct, but ASICs are increasingly in vogue. ASICs development is driven by lower cost-to-serve, power efficiency, and GPU supply constraints. Alphabet TPUs and Amazon Trainium are positioned as the main hyperscaler ASIC vectors, with external chip sales still “a 2027E story,” though Alphabet has begun small external sales in 2026 (e.g., agreements with Anthropic). Amazon’s CEO explicitly signals potential third-party Trainium sales, demand for which is largely sold out, and ASIC proliferation beyond hyperscalers, i.e. OpenAI’s custom inference chip “Jalapeño” entered testing/shipping (Aug/3QFY26), with Broadcom cited as a beneficiary and multi-year deployment visibility (e.g., OpenAI 1.3GW planned in 2027; “line of sight” to >5GW in 2028).

The critical tie-in to data centre constraints is power and cooling: higher rack densities are pushing adoption of liquid cooling (targeting 50–100kW per rack), and Rubin-class platforms are described as difficult to operate without it—making ASICs (better perf/W for specific workloads) a rational complement, not a niche.

Stock conclusion

Our Buy-rated Tech stocks

Based on our analysis we conclude that the higher market share for Western frontier labs improves their ability to honour multi-year compute commitments – supporting hyperscaler capex ROI. On this basis our preferred stocks are Alphabet (Buy / TP USD420), Amazon (Buy / TP USD310) and Microsoft (Buy / TP USD595). In addition and given recent updates from SpaceX announcing a new compute deal (page 76), we also increase our TP on SpaceX to USD150 from USD117 and retain a Hold rating.

Alphabet: Buy / TP USD420 (page 52)

Alphabet is uniquely positioned as the only stock on our coverage list operating a full-stack AI strategy; i.e. data, cloud, in-house silicon and a leading frontier model. Google Search is amongst the best examples of a business that has benefitted from extensive AI integration, the resilience of which has exceeded expectations supported by the introduction of AI Overviews, while Gemini recently surpassed the 1bn MAU mark. In addition, the AI narrative from the 2Q results update, in the absence of a beat, remains strong and unchanged, supported by 1) Google Cloud (GC) revenues and margins once again coming in ahead of expectations; and 2) the Services division remains healthy, supporting the investments required in the near term. 2026 capex guidance was raised to USD195-205bn (USD180-190bn previously) reflecting component inflation evident at wider sector level.

Amazon: Buy / TP USD310 (page 54)

Amazon is exposed to several of the key industry drivers considered in this report. In Amazon Web Services (AWS), Amazon operates the largest cloud provider globally by revenue (USD169bn annual recurring revenue (ARR) at 2Q results) with a well-articulated capacity rollout, and total compute is expected to double to 16GW by the end of 2027, from 8GW at the end of 2025 to support AI lab, enterprise and government contracted demand with a substantial order backlog (USD496bn). We also expect Amazon to benefit from the development of its own in-house silicon program (e.g. Graviton CPU / Trainium GPU), now with a USD25bn ARR and growing rapidly. AWS now accounts for 61% of group OI, up from 53% in the same period last year, now comfortably the core driver of group earnings. Amazon is not however exposed to the frontier model race, which differentiates it from other hyperscalers. From a capex perspective, Amazon has not been immune to component inflation and raised capex guidance at the 2Q results to USD220bn (from USD200bn).

Apple: Buy / TP USD366 (page 56)

Apple is one of the less directly exposed big tech names discussed in this document in our view. Apple doesn't compete in the Frontier models space but builds smaller foundation models running locally on its hardware or on its private cloud compute. For some requests, Apple relies on third-party models. Still, its new Siri AI is a conversational assistant that understands personal context and can execute tasks across applications. Apple designs its chips for its hardware for better performance. Apple just introduced its M6 and M5 Ultra CPU chips (26 August 2026) to power AI workflows on desktops. Its latest iPhone 18 is powered by its new A20 chip. Apple is not engaged in high capex (c7% of operating cash in 2026): its hardware activity relies on outsourced suppliers and not building frontier models means lower compute power needs than other big tech names.

CoreWeave: Reduce / USD39 (page 58)

CoreWeave is exposed to the capex and capacity constraints of the themes discussed as it operates without its own frontier model or ASIC chips; the company relies on Nvidia GPUs. Whilst we see margins are able to improve we do not see long-term guidance as achievable.

Meta: Buy / TP USD830 (page 60)

Meta is multi exposed to what we consider are the most important industry drivers: its latest Frontier model Muse Spark 1.3 was launched on 2 September followed by its Muse private personal agent on 9 September. We believe Meta's LLM products combined with their extensive user base and first-party data can claim an important role in Western markets. We expect Meta to spend USD141bn in capex in 2026, double what it spent in 2025. Its capex budget would increase to USD176bn and USD185bn in 2027/28e (consensus: USD199/218bn). Meta also works on its custom-built chip family MTIA (Meta Training and Inference Accelerator) co-developed with Broadcom. This can support better performance and lower cost of ownership. 99% of Meta's revenue is advertising: building a top algorithm and keeping users engaged across its products is vital to keep attracting adverts especially as OpenAI is expanding its advertising platform outside the US.

Microsoft: Buy / USD595 TP (page 62)

Microsoft is exposed to all the themes discussed. Its strong 4Q FY26 results demonstrate that Microsoft is a key player as AI diffuses across its vast global customer base. Model-wise the business is pushing its Copilot models out through this customer network, which makes up c20-25% of hyperscaler capex. Its ASIC chips (the MAIA range) currently lag the take-up of Alphabet's TPUs and Amazon's Trainium but they remain in development. Finally, Microsoft has been a notable loser in the SaaS apocalypse, although it has recovered in recent months. Microsoft has outperformed in recent months as the market rightly questioned and partially reversed the SaaS apocalypse narrative.

Oracle: Buy / USD316 TP (page 64)

Oracle has strong exposure to the key discussion points: the business is in the race to compete with the bare-metal CSPs of Amazon, Alphabet and Microsoft, with strong exposure to OpenAI through its computing backlog. It is therefore exposed to the model, capex and capacity themes discussed below. Recent results were ahead of expectations, with EPS 14% above HSBC expectations. We expect Oracle capex to be USD95-120bn over FY27/28/29e.

We raise our TP for SpaceX to USD150 (from USD117) and reiterate our Hold rating**SpaceX: Hold / TP USD150 (page 66)**

SpaceX has strong exposure to our key Tech discussion insights: the company is in the race to compete with Frontier AI labs with its Grok model. To support the same, it plans to build massive compute capacity ("closer to 10GW than 5GW by end 2027" according to Elon Musk comments on the early-August analyst call, compared to c2GW by December 2026e), although we see ramp-up challenges here. However, SpaceX relies exclusively on Nvidia GPUs but through Terafab has plans to develop custom silicon. We forecast that SpaceX could spend cUSD89bn (2025a USD21bn) in capex in 2026 which is c4x higher than its operating cash flow.

In this report we also include Netflix (Buy / TP USD96.00), Spotify (Buy / TP USD675), and Universal Music Group (Reduce / TP EUR12.10).

A selection of relevant HSBC reports

[AI and the economy – The key charts to track as the global impact grows](#) (09 September 2026)

[Powering AI – Europe – In US footsteps, but very green. Well prepared](#) (08 September 2026)

[Key AI debates: our take – Global Equity Strategy](#) (08 September 2026)

[Asia Memory – Solid fundamentals outweigh KRW appreciation](#) (08 September 2026)

[The Credit Corner – AI financing – the other half trillion](#) (02 September 2026)

[US Technology – AI Reality Check – Key takeaways from expert call](#) (23 August 2026)

[Global Sector Analyst – The space economy's first journey will be to Earth](#) (18 August 2026)

[US Telecoms – Satellite defense](#) (13 August 2026)

[Global Technology – Sustainable CSP capex to support AI trend through FY28e](#) (12 August 2026)

[China AI – Insights from an AI cloud expert](#) (12 August 2026)

[Cloudnomics - Benchmarking analysis reveals risk and valuation differences](#) (06 August 2026)

[China internet - LLM TAM Sizing: Putting a number on the opportunity](#) (28 July 2026)

[Neo-Cloudnomics | Emerging competition highlights low barriers to entry](#) (03 July 2026)

[Software Apocalypse? Taking stock of AI threat for software](#) (25 June 2026)

[Global Tech Platforms – B2B up, B2C down, our new AI Tam forecasts to 2030](#) (09 June 2026)

[Korea Technology – Korea Tech Tour: Booming agentic AI supply chain while physical AI waits in the wings](#) (02 June 2026)

[Global Tech - 2026 HSBC's key tech discussion points updated](#) (22 May 2026)

Sonam Chamaria (Lead AVP) contributed to this report. Sonam Chamaria is employed by a non-US affiliate of HSBC Securities (USA) Inc., and is not registered/qualified pursuant to FINRA regulations.

Peer group valuation

US 'Tech 7', 'Other Tech', Media coverage valuation table

Company	RIC code	LCY	Mkt cap USDm	CMP	TP	Upside/ downside	Rating	PE*		EV/EBIT		EPS growth		PEG	EV/Sales	
								FY 26e	FY 27e	FY 26e	FY 27e	FY 26e	FY 27e		FY 26e	FY 27e
Tech-7																
Alphabet	GOOGL.N	USD	4,056,233	338.50	420.00	24.1%	Buy	16.4x	22.6x	21.1x	16.9x	91%	nm	0.2x	7.6x	6.2x
Amazon	AMZN.OQ	USD	2,769,710	256.78	310.00	20.7%	Buy	20.2x	24.9x	26.2x	20.1x	77%	nm	0.3x	3.5x	3.1x
Apple	AAPL.O	USD	4,849,209	332.27	366.00	10.2%	Buy	37.4x	32.4x	29.5x	25.8x	19%	15%	2.0x	9.7x	8.6x
Meta Platforms	META.O	USD	1,651,264	648.03	830.00	28.1%	Buy	22.9x	18.5x	21.7x	16.1x	20%	24%	1.1x	6.6x	5.6x
Microsoft	MSFT.O	USD	3,680,322	495.63	595.00	20.0%	Buy	27.6x	24.9x	23.5x	19.4x	24%	19%	1.1x	11.0x	9.2x
NVIDIA	NVDA.OQ	USD	5,260,789	218.29	365.00	67.2%	Buy	23.6x	15.0x	18.6x	11.0x	94%	58%	0.3x	12.2x	7.1x
Oracle	ORCL.OQ	USD	454,407	150.28	316.00	110.3%	Buy	18.5x	14.2x	19.5x	15.3x	6%	30%	2.9x	6.4x	4.8x
Average								25.4x	23.1x	23.3x	18.1x	57%	31%	0.9x	9.1x	7.0x
Median								22.9x	22.6x	21.7x	16.9x	24%	24%	1.1x	7.6x	6.2x
Other tech																
CoreWeave	CRWV.N	USD	51,345	88.99	39.00	-56.2%	Reduce	nm	nm	nm	41.1x	nm	nm	nm	7.4x	4.1x
SpaceX	SPCX.N	USD	2,084,128	151.21	150.00	-0.8%	Hold	nm	nm	nm	nm	nm	nm	nm	49.7x	24.3x
Average								nm	nm	nm	41.1x	nm	nm	nm	48.7x	23.8x
Median								nm	nm	nm	41.1x	nm	nm	nm	28.6x	14.2x
Media names																
Netflix	NFLX.N	USD	322,289	77.40	96.00	24.0%	Buy	21.6x	20.3x	18.1x	15.1x	42%	7%	0.5x	5.7x	5.1x
Spotify	SPOT.N	USD	108,060	525.75	675.00	28.4%	Buy	38.0x	29.4x	29.9x	22.1x	3%	29%	10.9x	4.4x	3.7x
UMG	UMG.AS	EUR	31,148	14.60	12.10	-17.2%	Reduce	25.9x	18.4x	13.8x	13.1x	-1%	3%	-22.2x	2.1x	2.0x
Average (wtd)								25.7x	22.3x	20.6x	16.6x	30%	12%	1.4x	5.1x	4.5x
Median								25.9x	20.3x	18.1x	15.1x	3%	7%	0.5x	4.4x	3.7x
Sector avg (wtd)								25.4x	23.1x	23.3x	18.2x	56%	31%	0.9x	12.3x	8.3x
Median								23.3x	21.4x	21.4x	16.9x	22%	21%	0.8x	7.0x	5.3x
Sector avg (simple)								25.2x	22.1x	22.2x	19.6x	38%	23%	-0.3x	10.5x	7.0x

Source: HSBC, LSEG Datastream, priced as at close 11 Sept 2026

Next FY data for NVIDIA (Jan-end) and Oracle (May-end) – for eg. FY 27e data in FY 26e column

*PE is different from F&V as this is non-GAAP PE calculated using Adjusted non-GAAP EPS

Aside from changing SpaceX's target price and estimates, we make no other estimate changes in this report.

SpaceX target price change

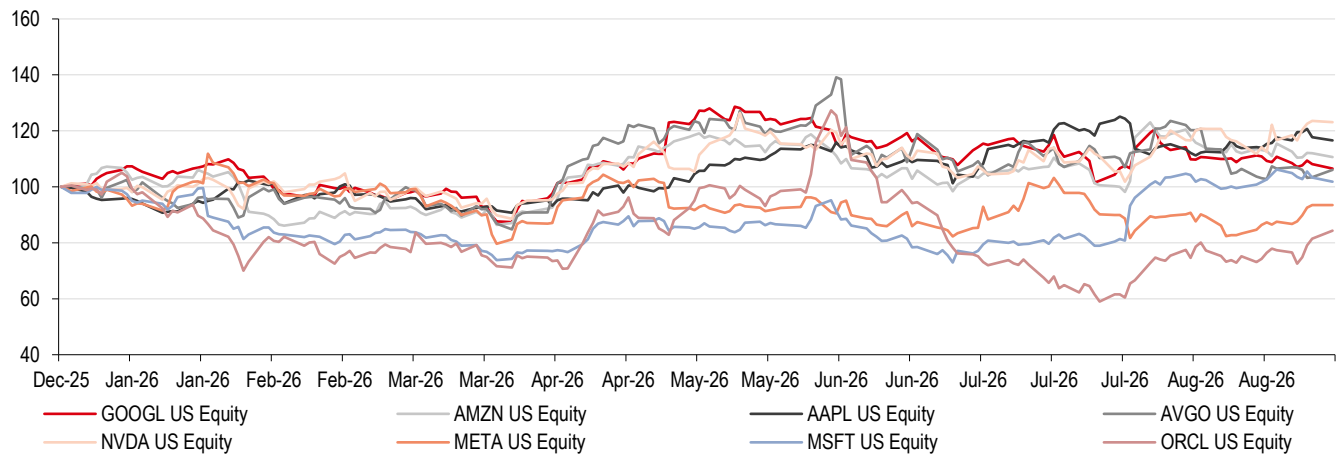
Company	Ticker	Currency	Current price	TP		Rating		Implied downside	Market cap (USDm)
				Old	New	Old	New		
SpaceX	SPCX US	USD	151.21	117.00	150.00	Hold	Hold	-0.8%	2,084,120

Source: HSBC. Priced as of close at 11 Sept 2026

Relative share price performance

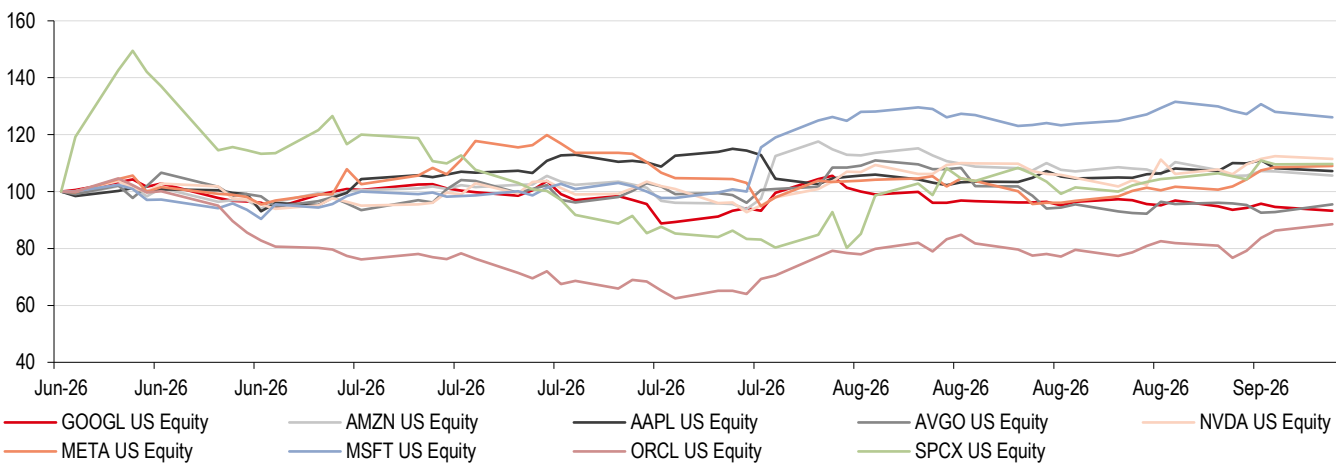


US large cap tech stocks price performance year to date



Source: Bloomberg, HSBC estimates

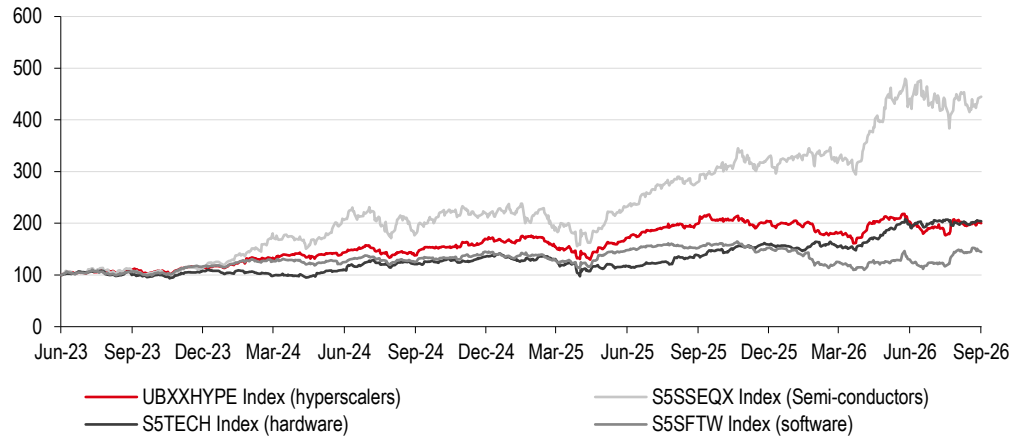
US large cap tech stocks price performance over last three months



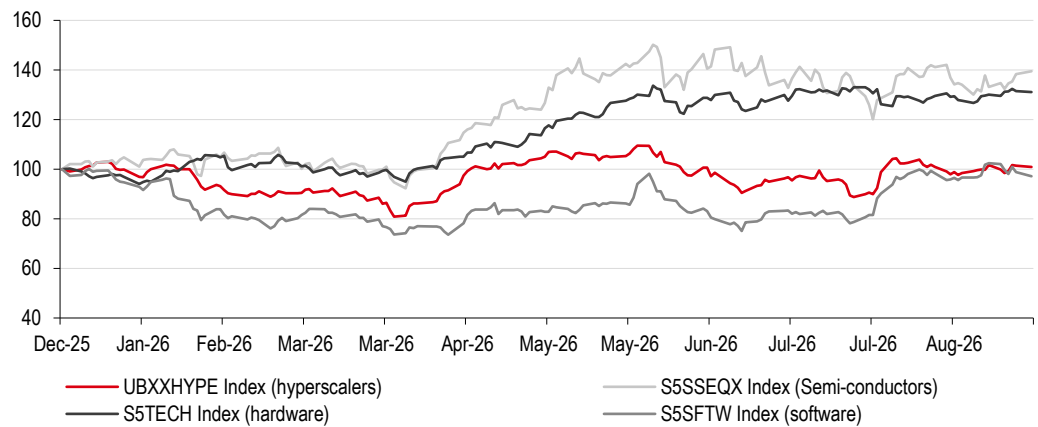
Source: Bloomberg, HSBC estimates

Relative sector performance

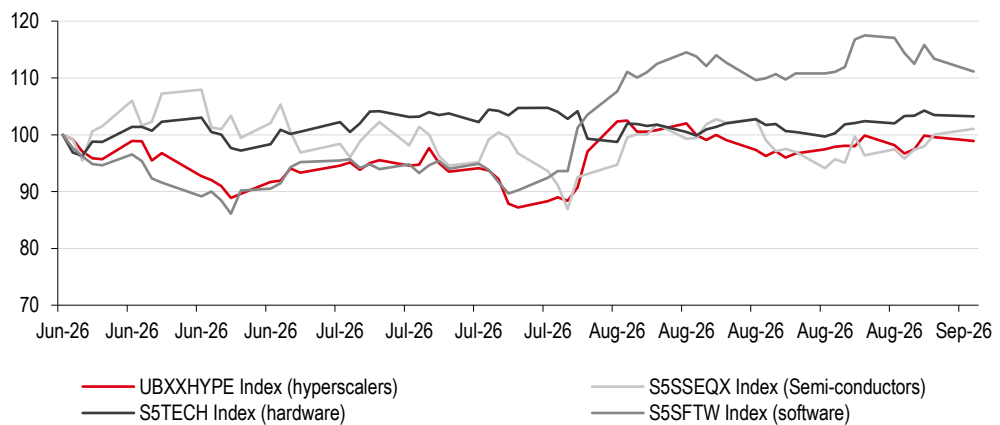
US tech sub-sector price performance over last 3 years



US tech sub-sector share price performance year to date



US tech sub-sector price performance over the last three months



Models: the smart catwalk

- ◆ Western proprietary models are getting closer to artificial general intelligence (AGI), deemed as human intelligence level
- ◆ Open-weight/open-source models keep competing on token prices
- ◆ Competition is not just about prices: technical factors and geopolitics can't be ignored, and these could support Western models

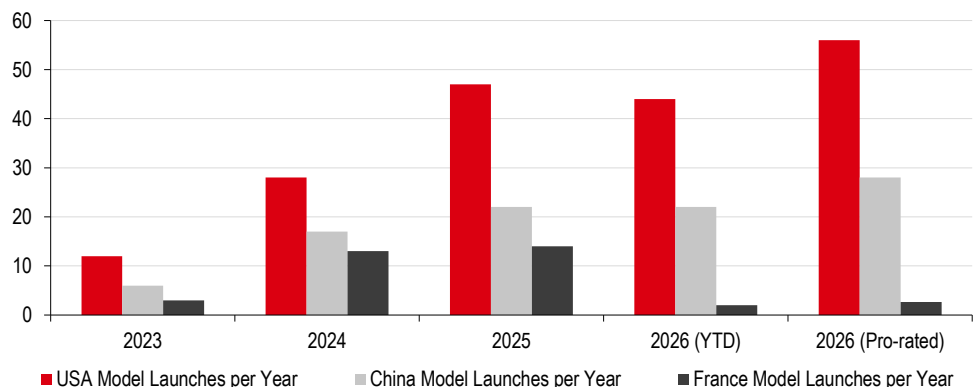
Models: the big strategic debate

Competition steps up: more models are performing at benchmark level

In January the key question for 2026 (and historically) was “who wins the frontier model race?” from an intelligence perspective. At that time LLMs from Google, Anthropic, OpenAI and DeepSeek enjoyed a demonstrable lead vs the peer group. The most recent model from OpenAI, GPT-6 Astra (see below) confirms that the US AI labs continue to lead the ‘frontier’ model race. However, model convergence continues at pace, a function of an acceleration in the rate of new model launches in the US (including from Meta and Grok) and in China with Kimi, GLM, Qwen and Minimax. As a result, the race for model supremacy looks increasingly open. Even if some of these smaller Chinese models have built their intelligence through distillation techniques, or target benchmark ‘maxing’, they now represent a much more credible risk to the dominance of the US models in little more than 12 months, subject to the regulatory risk that we believe remains a major barrier to adoption by US enterprises in particular.

In this section, we analyse the factors that are shaping the competition between models and investigate what market structure may prevail in the long term. This is a key question for Western Frontier models in particular: the larger their market shares the higher their capacity to honour their compute capacity engagement, the better for western hyperscalers that have engaged massive capex. Hence, this is of significant relevance to the overall AI value chain.

Acceleration in LLM launch (September 2026)



Source: Artificial Analysis, HSBC estimates

The race for model supremacy looks increasingly open

Future market structure is relevant to the AI value chain

A multidimensional battlefield

As AI penetrates every layer of production processes across industries, the question of how the competitive landscape will shape is crucial. Are we heading toward a highly concentrated market structure – similar to what has happened in some other tech subsectors (think social media or hyperscalers for example) – or a very fragmented market with a long list of players (and low pricing / returns associated with this scenario).

We identify multiple aspects that could intervene when a company decides which models it should prioritise amongst LLMs.

First, the degree of **intelligence**: some tasks require top-end models that are approaching AGI, some tasks can be fulfilled by smaller models. **Pricing and other costs** are also considered in parallel to the degree of intelligence as users would most likely always opt for the most capable model if costs were not tracked. Total cost of ownership is an important measure: token price is one input, as are the infrastructure costs to consider if the enterprise decides to go for open-weight or open-source models.

Another aspect to consider is the **architecture**: is closed source a better choice than open source? Using closed source via an application programming interface (API) is more convenient but comes with privacy and data governance risks so some companies will choose to endure the greater operational challenge of running their own open source models.

The **region** the company operates in is also important due to regulatory as well as geopolitical considerations.

Last, some models are **vertically integrated** such as Gemini, which could add to a vendor lock-up risk but also deliver better services due to full integration.

Competition factors

Intelligence	Complex reasoning	vs	Basic or niche capabilities
Upfront costs	Low - (API model)	vs	High - infrastructure (GPUS)
Pricing	High token price	vs	Low token price
Type of model	Proprietary / closed source	vs	Open Source / Open Weights
Sovereignty	West	vs	East
Vertical integration	Pure play	vs	Full AI stack

Source: HSBC

The competition outcome is key not only for models (winners and losers) but for the overall AI value chain that includes chip designers and hyperscalers amongst many other loops. Western proprietary models are running ahead in terms of capabilities but have also been built at much higher costs than their Asian peers. Aggressive pricing (currently measured as price per million tokens) from Chinese models raises the concern that Frontier models may not recover their sunk costs and fail to pay for the compute they committed to use if Asian models were to dominate the market.

Below, we go through each competition factor and conclude that the large Western Frontier models could end up in an oligopoly type of market structure in their region while we foresee a much more fragmented marketplace in the rest of the world. If such a scenario fails to materialise, and low pricing dictates market dynamics, the very high sunk costs would not be recovered.

**Western Frontier models
could end up in an oligopoly**

Our conclusion upfront

Intelligence: think model + harness

Oligopoly in the West is still a likely outcome

In the following sections we will review the different factors shaping the market structure. The LLM industry still works under scaling laws: the more compute the more intelligence can be delivered. In a nutshell, if AI requires top intelligence, the Western AI Labs are well positioned: they have access to large sources of funds to support high computing power capabilities. Intelligence is the combination of the model and its harness (an orchestration and execution layer that sits above the model, see page 14). Note that the model itself is a process of turning text in into text out. Any real work needs to rely on the harness. And differences in the quality of the harness can make a bigger difference than a better model when it comes to complex agentic tasks. For instance, Claude Code is much better than the open-source versions of the same thing (which also use Claude models to power the AI) precisely because the harness is better.

Token price needs to be considered with infra costs

Pricing is often seen by the market as a threat to large Western AI labs. We discuss this under a different angle: we think token price is not the right metric to look at but ~~would rather~~ prefer considering the total cost of ownership (TCO). Open-weight/open-source models, especially those developed in Asia may have a low price per token, but companies using these models most likely need to invest in infrastructure (or use APIs, but get lower quality models vs large AI Labs).

We see large AI labs winning the higher margin sophisticated market

Eventually, we see companies using orchestration to select the right model and type of architecture (proprietary vs open) based on the capacity to deliver a precise task successfully. Given the growing complexity of the workflows (notably with agentic AI), and this is when the quality of the harness comes into play, we see large AI labs winning the higher margin sophisticated market. Also, the same large AI Labs propose smaller and cheaper models for lower tasks too. Then, comes the geopolitical angle. Media reports suggest tensions between US companies (and the US Administration) and Chinese companies. Already, Chinese models are at a hardware disadvantage compared with the rest of the world (no access to the latest GPUs from Nvidia for example). Also, OpenAI and Anthropic have accused Chinese companies of IP theft (distillation processes), a matter that has been picked up by the US government too (page 22).

The few scalable AI labs in the West should command a large share of the LLM market in their region

The combination of secured compute capacity, high-quality models, simpler use for companies and geopolitical risks leads us to conclude that the few scalable AI labs in the West should command a large market share of the LLM market in the Western world. An oligopoly type of structure is favourable from a return standpoint: companies can price closer to average cost (to recoup their sunk costs) rather than being forced to price at marginal cost in a highly competitive environment.

We will now explore the criteria that may drive the choice of models and shape the market structure eventually. We shall see that a company should consider the degree of **intelligence** alongside the **costs**, not only the **token prices** (page 18) but also the **infrastructure costs** (page 17) that depends on the **model architecture** (page 13). **Sovereignty** issues should also be considered (page 20). We split the decision amongst all these factors but they happen to be considered in parallel rather than in a sequence.

Criteria a corporate should consider in selecting models

Intelligence	Costs	Architecture	Sovereignty
Frontier	Token	Closed	Jurisdiction
Second-tier	Token	Open	Data
	Infrastructure		Operational continuity

Source: HSBC Research

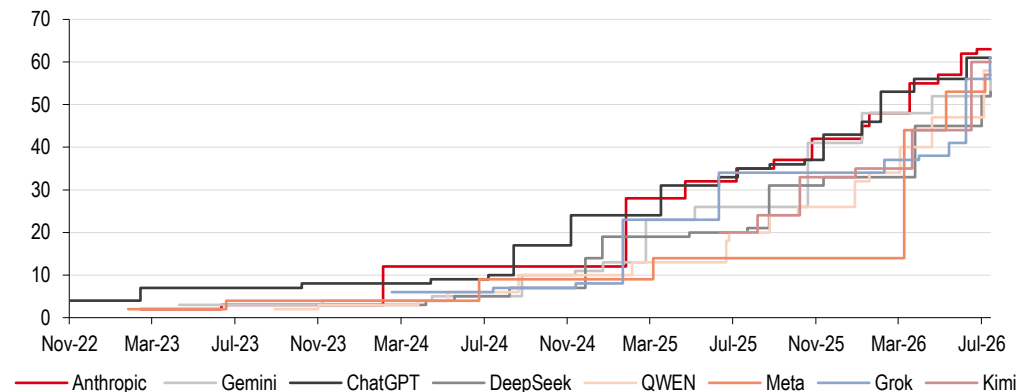
Factor #1: Intelligence

Frontier models are getting closer to human intelligence

Every week brings headlines about one model making tremendous progress in the intelligence index. The latest significant news at the time we write is that OpenAI's latest model, GPT-6 Astra achieved a 98% score on FrontierMath Tier 4 (Epoch AI) and a 99.9% score with ARC-AGI-3. Astra has been rolled out on 3 September 2026 to selected organisations before coming to subscribers and the API after a couple of days. OpenAI claims that users can “delegate tasks with greater confidence” and that its model can fill-out online forms, organise calendars, conduct online search, analyse scientific data, install and test software (press release, 3 September) amongst many other tasks.

We expect competition to catch up rapidly: historically we observed that it used to take about a year for all models to catch up with the level of intelligence of the leader, but this period tends to shorten as observed from the beginning of 2026 (chart below).

Frontier model intelligence index – faster convergence observed (Sept 2026)



Source: Artificial Analysis, *Artificial Analysis Intelligence Index v4.3 incorporates 10 evaluations: AA-Briefcase, GDPval-AA v2, AutomationBench-AA, Terminal-Bench v4.0, SciCode, Humanity's Last Exam, GDP.pdf, CritPt, AA-Omniscience, AA-LCR v1.1



We are in the AGI era

Greg Brockman, OpenAI President and co-founder, 7 September 2026

Downside risks from Intelligence?

Another intelligence-related risk to consider is that AI systems may become so powerful that they create risks, including cyber-attacks or loss of control of systems. Anthropic's founder Dario Amodei is calling for “pacing” the deployment of the leading models (“We Must Pace the Frontier”, 12 September 2026). Conscious of the risks, he explains that “not building the technology deprives humanity of benefits or simply places AI in the hands of authoritarian powers, while building it too fast is reckless. We have sought a middle way: to show that it's possible to build carefully and succeed commercially, and to make safety something on which AI companies compete”. Intelligence related risk becomes a competition factor for Anthropic. His proposal to pace the rhythm of progress is to allow enough time to prevent the risks associated with new models enhanced capacity. Anthropic recommends to 1/ integrate “embedded evaluators”, third parties that would have full access to systems, 2/ a “democratic coordination” to establish common safety standards and 3/ Global coordination too.

“ I believe that if slowing down bought us even an extra year or two before models reach critical levels of capability, and we used that time to advance alignment, we could greatly reduce the risk that something goes seriously wrong.

Dario Amodei, CEO of Anthropic, 12 September 2026

We note that Dario Amodei's call received agreements from SpaceX's Elon Musk, OpenAI's Sam Altman and Google's Demis Hassabis too. These comments indicate that these Frontier Labs estimate that they are in a position to lead the intelligence race in the future. But importantly for our competition analysis, Anthropic calls on the US administration to not sell “powerful AI chips or semiconductor manufacturing equipment to China, crack down on unauthorized distillation by companies [and] strengthen security at the AI companies and prevent model weight theft”. This is to prevent other labs to not take profit of US Frontier models pacing their releases.

Companies do not always need the most intelligent model

As mentioned, AI will penetrate every production process, and these can be of very different complexity. The choice of the degree of intelligence by a company may be linked to the consequence of failing to deliver a task. A company may prefer to pick the best frontier models for complex tasks involving large-scale documentation or complex policies. For multi-steps workflows, the risk of small errors compounding may also lead a company to choose the more intelligent models and most capable harnesses too. Also, we understand that Frontier models can handle broader tasks with limited prompting and reduce the need for multiple specialised models.

So, at the end, the enterprise should decide on specific criteria as per the table below:

Practical decision tree: Frontier vs small model

Step	Question	small model	Frontier model
Define the task	what action the model will drive	For lower importance tasks	For higher importance tasks
Acceptance criteria	What's the degree of accuracy,	For looser criteria	For stricter criteria
Risk	What's the downside (operations, legal, customer, etc)	For lower risk tasks	For higher risk tasks

Source: HSBC

Conclusion on intelligence – small vs large models: the degree of intelligence is not a binary choice – we expect companies to use a Frontier model when task complexity and error cost are high; smaller models are preferred for high-volume, well-bounded workflows where cost and latency dominate (practical decision tree: Frontier vs small model). We therefore see Frontier and smaller models coexisting in the B2B market but not extracting the same share of market value necessarily.

Factor #2: model type

Different model structure, different costs to build too

Models have different types of licence: proprietary, open source, or open weight. Proprietary models, which are closed-source by design include OpenAI, Anthropic, Gemini or some of Qwen models to name a few. Open source and or open weight models are predominantly from Asia (DeepSeek, Zhipu, Kimi, Minimax etc) but we also count for Meta's Llama or Mistral models. Closed source-models have been built on larger compute clusters and therefore have a higher sunk costs pile than the open source models. Hence the closed vs open is relevant for return on investment eventually.

The choice for companies depends on several factors, including the inference volume (actual and predicted), which impact the underlying infrastructure costs, but also the terms of the licence (can the model be used commercially, can it be fine-tuned, available support, etc). Access to training data is also an important factor that companies must consider.

Model type choice depends on “what good looks like”

Besides licensing, models have different abilities: some will lead on speed, others on quality (accuracy) or price. So, there are many trade-offs to consider when opting for closed or open structures, depending on “what good looks like”. Also note that companies tend not to use a single model provider. Lower cost models may perform some tasks whereas a frontier model may be needed for other workflows. Orchestration gateways can help companies route the task to the right model.

Closed-source model (aka proprietary)

Examples: ChatGPT (OpenAI), Claude (Anthropic), Gemini (Google), Muse (Meta)

Large language models that are closed source do not release information about the type of data the model has been trained or post trained on. Also not disclosed are the model weights, the guidelines and guardrails. The user or the enterprise accesses the model directly through an application programming interface (API). The model is hosted by the model provider on hyperscalers' infrastructure and clients pay on a per token basis (ie volume-based pricing).

- (+) Fast implementation: minimal engineering, low upfront costs
- (+) High quality: general purpose reasoning, multilingual, coding
- (+) Strong performance, consistent updates
- (-) Vendor lock-in: prompts, guardrails, and agent workflows are optimised for a specific model, hence changing provider may trigger costs
- (-) Limited transparency and auditability, limited customisation
- (-) Variable cost

Open-source model

OSI approved: Pythia (Eleuther AI), OLMo (AI2), Amber & CrystalCoder (LLM360), T5 (Google)

Open-source LLMs mean the source code for training and for inference but also the associated tooling is available under an OSI-approved licence (Apache-2.0, MIT). The weights might be open, partially available, or restricted. Data sets may be public, but provenance is unclear. A key difference with a proprietary model is the infrastructure (unless the company decides to use the API): the model is hosted by the company, so there are infrastructure and running costs associated with that. Typically, the company would have to pay for GPU/accelerator compute (cloud-based or on-premises), storage, networking, inference servers, gateways, operations (SRE/MLOps, monitoring, incident response).

- (+) transparency, auditability, customisation: the code can be accessed
- (+) on-prem control: full management
- (+) fixed cost at scale
- (-) upfront costs: GPUs, orchestration, licence and services
- (-) compliance and licensing complexity, including data provenance
- (-) client is responsible for security and scaling issues

Not to confuse open source with open weight

A classic issue is confusing open-source with open-weight models. We define open-weight models below.

Open-weight model

Examples: Llama 4 (Meta), Qwen3 (Alibaba), GLM-5.3 (Z.ai); DeepSeek V4, Mistral Large 3

Large language models (LLM) are built on parameters – variables that are adjusted through algorithms during the training phase to improve predictions. These parameters are frozen when the training is done and represent the model knowledge. A “trained AI model is essentially a specific configuration of billions of these weight values that encode patterns discovered from training data” (as per Stanford University).

With open-weight models, the user can access the trained parameters (“weights”) for fine tuning but the training code may not be fully opened, and training data may remain proprietary. Without training data, the model’s behaviour can’t be audited. We consider that an open-weight model without training data is not an open-source model.

- (+) practical control: self-hosted on-prem/cloud, some providers also offer hosted APIs
- (+) faster implementation than open source, no need for a training code
- (+) fixed cost: similar scaling economics to open-source self-hosting
- (-) less transparency than fully open-source
- (-) user responsible for the infrastructure and security/safety/monitoring
- (-) Licensing costs and restrictions: some use-cases can be excluded, user count limits

To summarise, we categorise LLMs architecture between proprietary, open weights and open source.

Characteristics of closed and open architecture

Feature	Proprietary	Open Weights	Open Source
Weights & Biases	Not Shared	Released	Released
Training Code	Not Shared	Not Shared	Fully Shared
Intermediate Checkpoints	no	Withheld	Nice to have
Training dataset	Not Shared	Not Shared/Not disclosed	Released
Training Data Composition	Not Shared	Partially/Not Disclosed	Fully Disclosed
Access	API	On premise, API	On premise, API

Source: HSBC

But but but... the type of model architecture is not the only thing to consider

The model is just the engine. The user also needs a harness, which is an orchestration and execution layer that sits above the model. The harness controls what goes in, what knowledge is allowed, how the model is run, and what’s allowed to come out in terms of reliability and safety. In other words, the harness is like a wrapper that:

- ◆ calls the model, executes commands and sets rules
- ◆ standardises the inputs
- ◆ ensures consistent execution
- ◆ checks on policies, filtering and sets up fallbacks when the answers are unsafe
- ◆ logs and monitors the performance (quality, latency, costs, errors)
- ◆ controls the model lifecycle.

Different types of harnesses could be set, such as prompt harnesses (prompt templates for example), or evaluation and monitoring harnesses (checking quality before release in production). The more control the company wants to have over the model, the more harness it has to own, which eventually adds to complexity and costs eventually.

Harness in a proprietary model

When the enterprise opts for a vendor-hosted API, the harness is limited to an “app-harness”, including prompt templates, orchestration, guardrails and tracking (costs, errors, latency, etc). The vendor usually provides anything else. We think it is safer for the company to add an evaluation harness in the eventuality that it could change models in the future. An evaluation harness can quantify quality, latency, safety and costs to take the right switching decision. Also, such harness could pin a version of a model so the behaviour doesn’t change abruptly when a vendor updates the model.

- ◆ Lower harness complexity as vendors provide the basics but still do not know about the client internal policies or knowledge sources

Harness in an open-weight model

In addition to the app harness (see above), the client has to add an inference harness that deals with the batching, the queueing, the GPU utilisation etc. The harness must also cover the capacity planning, manage incidents. A fine-tuning harness may be added, a repeatable tooling and process used to run fine-tuning safely and consistently – end to end – from data preparation through training, evaluation, and deployment.

- ◆ Higher build and run complexity and costs than with a proprietary model

Harness in an open-source model

Same as the above plus Reproducibility and supply chain controls (build pipelines, dependency management), Training/fine-tuning pipelines, deeper safety/compliance instrumentation (auditable datasets, model cards, risk assessments) and custom components (tokenisers, inference kernels, evaluation frameworks) for maximum optimization.

- ◆ Highest build and run complexity and costs

Architecture choice – the drivers

Objectives	Proprietary	Open Weight	Open Source
Minimal ops	***	**	*
Control / customisation	*	**	***
Long term autonomy	*	**	***
Control and cost leverage	*	***	**
Harness simplicity	***	**	*

Source: HSBC

Conclusion on closed vs open architecture: when the client opts for a proprietary model, the vendor carries more responsibilities. It is simpler to run, reduces the need for in-house tech support and is faster to implement. Open-source and open-weight architectures give more control to the final user in terms of customisation but also require that the enterprise is responsible for the infrastructure. This comes with fixed costs and therefore requires a certain scale to break even vs a variable cost that the company would face using a proprietary model application programming interface (API). Given the fast progress of model intelligence, we see proprietary models as well positioned, as companies may be reluctant to take over too many technical functions at this stage.

Factor #3: Pricing

Token price and total cost of ownership

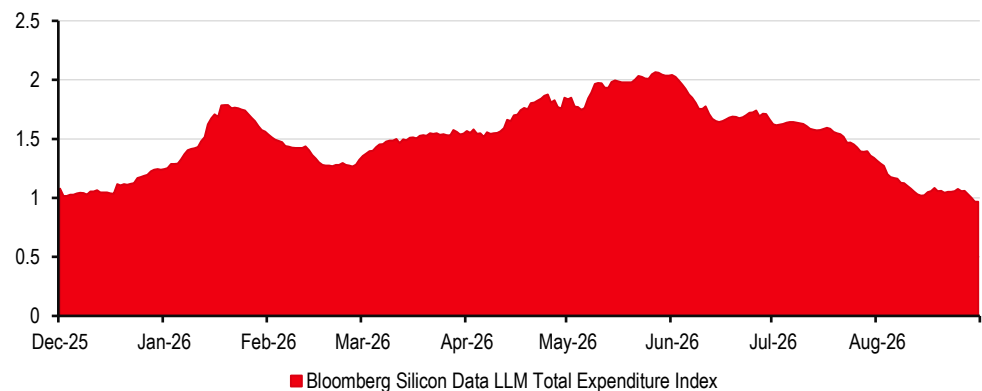
Price per token is often the metrics used to compare the costs of models. Open-source models are cheaper: they have required less compute-capacity during training and also use less compute during inference. Closed-source models have generally been built on large-scale compute + proprietary data + extensive post-training/alignment. Sunk costs have been massive and pricing reflects the same.

Open-source models often reuse and fine-tune other models. The expensive step in the process of creating a model is pretraining (which requires not only GPUs but also time), so techniques such as distillation (prompting Frontier models to understand the thinking process) have cut costs. Also, open-weight and open-source architecture comes with the end user maintaining the infrastructure.

While some AI labs continue to focus on the development of leading frontier models (e.g. Anthropic / OpenAI), for which they typically charge a higher blended price per token, others (e.g. Alphabet) have focused on the strategic development of models designed to offer enterprise customers models with 'workhorse' capabilities / near leading intelligence index scores at lower price per token. This offers AI labs like Gemini the ability to compete more effectively with new, low cost, China market entrants like Qwen and Kimi, which has contributed

to the reduction in token costs, as illustrated by the Silicon Data LLM Total Expenditures Index, a Bloomberg measure of the actively traded broader LLM market, measuring price per million tokens. We note that recently, some top Chinese models have pushed their API price up or consider asking for revenue sharing: Moonshot AI's Kimi K3 license has a mandatory separate commercial agreement for Model-as-a-Service (MaaS) providers once their trailing 12-month revenue exceeds USD20m, according to Implicator.ai (28 July 2026).

Silicon Data LLM Total Expenditure Index

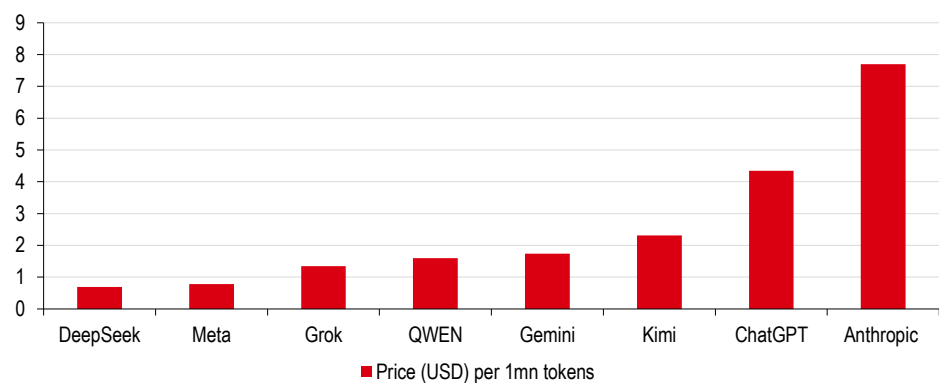


Source: Bloomberg

We think price per token isn't always the most appropriate measure, because tokens aren't directly comparable across models and vendors (they differ in tokenisation, effective information density, and output quality). The debate is increasingly about the value of the outcome—i.e., whether the model achieves the intended business objective with acceptable quality, risk, and effort. After all, most software pricing is value- or capability-based rather than purely usage-volume based (even when usage metrics exist).

That said, price per token can remain a useful metric for high-volume, standardised, lower-complexity use cases where outputs are broadly comparable. Still, we would recommend investors focus on the total cost of ownership (TCO) of using a model.

Frontier model price per 1m tokens



Source: Artificialanalysis.ai

What to consider in terms of TCO then?

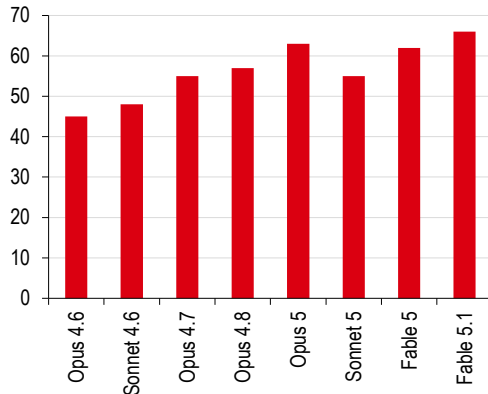
When a company uses a model, it eventually faces costs including:

- ◆ Models running costs – for proprietary models
 - API fees, on a per token or per request basis (or per minute for audio)
 - Fine tuning and customisation charges if offered as a service
 - Tooling (embedding models to convert documents in a vector base for ex.)
- ◆ Infrastructure costs – for open architecture when self-hosting
 - Compute: GPUs/TPUs, CPU, memory
 - Networking: connectivity
 - Storage: vector database, datasets, logs
- ◆ Integration costs – for open architecture, to a lesser extent for Proprietary
 - user interface
 - orchestration
 - RAG pipeline: the ingestion, chunking, embedding/indexing, retrieval, and prompt-assembly workflow that connects the LLM to internal documents (with access controls, citations, and monitoring)
- ◆ Security costs: for open architecture, to a lesser extent for proprietary
- ◆ Evaluation, monitoring, and governance harness: for open architecture, to a lesser extent for proprietary

Conclusion on pricing: a simple reading of price per million tokens can be misleading, because “a token” is not a like-for-like unit across providers, and the number of tokens needed to complete a task successfully varies by model. Tasks vary in complexity and risk, sometimes requiring higher-capability (“frontier”) models to meet quality thresholds. We also note that frontier AI labs typically offer smaller, lower-cost variants that can be competitive for simpler tasks and can be paired with routing/escalation to the frontier model for harder cases. Ultimately, what matters is the model’s ability to meet the organisation’s objectives (quality, reliability, safety/compliance, and user experience) alongside the total cost of ownership—including platform/integration effort, governance and controls, monitoring/evaluation, and (where relevant) infrastructure costs for self-hosted or open-weight deployments.

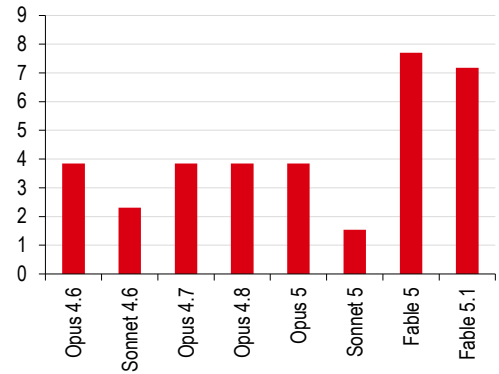
Models intelligence vs pricing

Anthropic Models – Intelligence Index



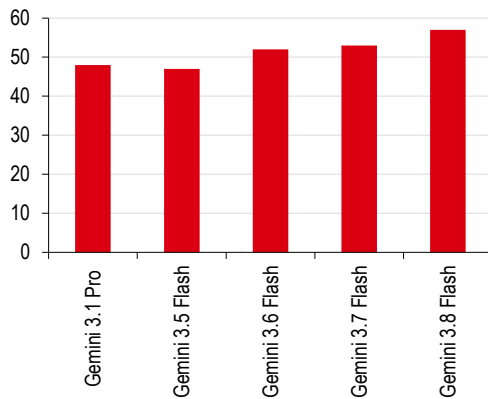
Source: Artificial Analysis

Anthropic Models – Pricing per 1mn tokens



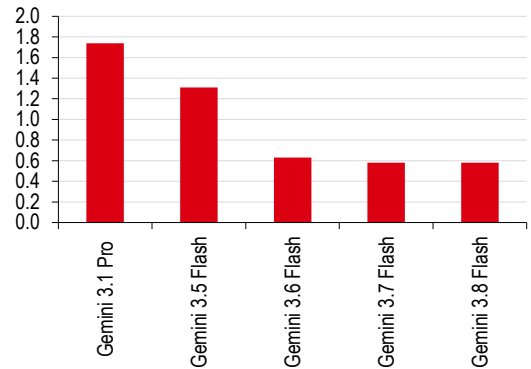
Source: Artificial Analysis

Gemini Models – Intelligence Index



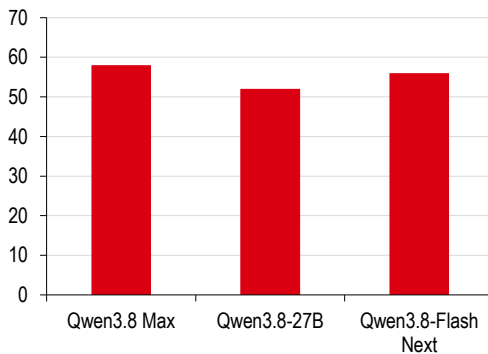
Source: Artificial Analysis

Gemini Models – Price (USD) per 1mn tokens



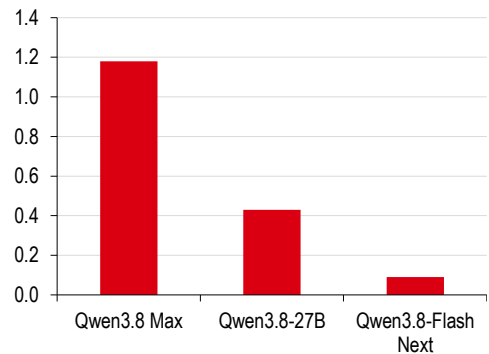
Source: Artificial Analysis

Alibaba Models – Intelligence Index



Source: Artificial Analysis

Alibaba Models – Price (USD) per 1mn tokens



Source: Artificial Analysis

Factor #4: Sovereignty

What AI sovereignty means

As AI penetrates every workload, questions of sovereignty arise. But what is sovereignty in the context of AI models? This may mean different things for countries or companies. But eventually it should imply that an organisation should have the capacity to remain in control of its systems, including infrastructure, data and software, the latter including the models. By control we suggest the continuous capacity to run the systems and tune it in ways that align with the goals and values of the company or organisation. Data sovereignty is one example: by setting rules on where data are stored and sensitive data protected, countries and regions typically protect their marketplace. For AI more generally, sovereignty means avoiding too strong a dependence on certain vendors that may not always have the same alignment as their users. To test the degree of sovereignty, we would ask the following questions:

- ◆ Who manages the systems, and who has the capacity to switch it off and back on?
- ◆ What legal system applies?
- ◆ Who owns the IP?
- ◆ Data: are they protected?
- ◆ Can you audit workflows and get a degree of configuration?

What AI model sovereignty means

More specifically for models, we would suggest the following questions:

- ◆ can you decide, verify and enforce where AI is run, what data it uses, who can access and how it behaves
- ◆ Can you ensure operational continuity

Based on the above, we could conclude that a company relying on a proprietary model (ChatGPT, Anthropic's Claude, Gemini for example) is less sovereign than if it was using an open-weight or open-source models, given the lack of access to training data and controls compared to open architecture. If access terms change, the company has to accept the consequences or change provider. Companies can mitigate this with local regulation (data residency and privacy, retention policies etc) and prepare for switching models and providers.

“ Sovereignty is constrained due to dependency on an external proprietary provider; this can be mitigated via residency, contractual controls, and an exit strategy

Note that model sovereignty may not be enough if the rest of the value chain is not sovereign. Access to power and to chips (the latest Nvidia GPUs are export restricted for China). Hence total sovereignty is hard to claim, maybe except for the US at this stage. As we would expect model providers to maximise business opportunities and apply local regulation, we would expect minimal disruption risks due to the lack of full sovereignty. However, geopolitics could reshuffle the cards.

Geopolitical tensions shape the debate

There is an ongoing debate between the US and China about models. In July 2025, the **White House** presented “America's AI Action Plan”, a 28-page set of recommendations to “accelerate AI innovation; build American AI infrastructure and lead in international AI diplomacy and security”. Two specific paragraphs clearly highlight the geopolitical dimension of the debate. While the document recommends facilitating the US's full AI technology stack (hardware, models, software applications

US wants to export tech only to countries that align with American values

and standards) to “all countries willing to join the America’s AI alliance” it also states that international governance bodies “promote cultural agendas that do not align with American values, or have been influenced by Chinese companies attempting to shape standards for facial recognition and surveillance” before recommending an international AI governance that aims to “promote innovation, reflect American values, and counter authoritarian influence”.

More recently, on 8 September 2026, the **US government** formally accused six major Chinese AI companies of illicitly copying US frontier models through industrial-scale distillation (cisa.gov, 8 September 2026).

China calls for collaboration and supports open-source architecture

China’s stance has focused on self-reliance and also international collaboration. In April 2025, Xi Jinping said China should “achieve self-reliance and strength” in AI while also calling for concentrated efforts to build a full technology stack including chips, to build an AI software and hardware system that is “autonomous, controllable and functioning collaboratively”¹. In April 2026, Chinese Vice Premier Ding Xuexiang stressed “the need for self-reliance and independent innovation, noting that China’s AI sector must forge its own path to withstand any external pressure or attempts at suppression”². In July 2026, Xi Jinping’s 2026 World AI Conference speech promoted open-source models, collaboration, sharing of digital infrastructure and “relying on genuine multilateralism through the United Nations and the World Artificial Intelligence Cooperation Organization (WAICO) to ensure equal representation for developing countries”³.

Europe worries about its dependence across the AI stack

In **Europe**, there is also a growing concern around sovereignty. the EC describes tech sovereignty as “Europe’s ability to act independently in the digital world by developing and controlling key technologies, data, and infrastructure, while reducing reliance on non-EU providers.” In June 2026, the EC proposed a sovereignty package covering chips, cloud, and open-source AI to reduce dependencies across the stack and deliver digital autonomy and resilience ([European Commission](#), 3 June 2026).

“The current landscape of cloud and AI is characterised by a pronounced dependence on a limited pool of third-country providers

Cloud and AI Development Act, European commission, 3 June 2026

So from the above, we conclude that each region defends its own sovereignty and aims to be in control of their AI stack. But it is also clear that there are risks of unilateral decisions that prevent a technology from being shared. One recent example is the latest Anthropic frontier model, Claude Mythos 5.1, which embeds advanced cybersecurity functionalities amongst other things. The FT reports that for the first time the model was only pretested by vetted US organisations but excluded the UK’s AI Security Institute, the global leader in the testing frontier AI models (FT, 9 September 2026).

So at this stage, we flag that:

- ◆ Each region has different cultures and values that shape AI models
- ◆ Governments have the capacity to decide what model can be used
- ◆ Current US rules restrict physical hardware shipments including latest Nvidia chips

¹ See *Xi urges promoting healthy and orderly development of AI*, [www.gov.cn](#), 29 April 2025

² See *Chinese vice premier stresses AI self-reliance, open cooperation*, [www.gov.cn](#), 29 April 2026

³ Modern Diplomacy: *Xi Jinping’s 2026 World AI Conference Speech: What It Means for China and the Future of AI*, 19 July 2026.

Switch-off risk: the precedent of Huawei

At present, most open-source and open-weight Chinese models are available worldwide (open source / open weight architecture facilitates that, but they are still constrained by platform access, sanctions/export controls, and downstream hosting choices); frontier US models are “generally not offered or not directly accessible to Mainland China users” (no access to APIs).

But what is available today may not be tomorrow. We would flag the precedent of Huawei equipment sold to telecom operators globally. China’s Huawei grew rapidly as a global supplier of telecoms equipment and smartphones. But in May 2019, the US added Huawei to export control/Entity List measures, which constrained access to advanced semiconductors and critical software/ecosystem support. Some European countries also tightened rules or excluded Huawei from parts of 5G networks. Many Huawei equipment kits had to be decommissioned and swapped with non-Chinese vendors in most countries.

Sovereignty consequences could lead to an AI model oligopoly in the West

Sovereignty could lead to shaping the market structure

If companies face the risk of losing access to key models, losing vendor support, or being unable to shape model behaviour in line with their values and regulatory obligations, there’s a strong case for preferring providers operating under the same (or closely aligned) legal and regulatory regime. This dynamic could advantage major Western AI labs in Western markets, while Chinese providers may find greater opportunities in regions where they can operate and host services more easily. Over time, this may contribute to an oligopolistic market structure in the West, with a limited number of highly capable players offering proprietary frontier models alongside a broader set of open-weight alternatives that may not match frontier performance in every area. Such a structure would help participants recover very large sunk costs, given the relatively small number of credible contenders and the shared requirement to commit to substantial, long-term compute capacity (often via multi-year cloud or infrastructure agreements). In that setting, pricing may trend towards recovery of average total costs rather than purely marginal-cost pricing. Sustained predatory pricing would be difficult, as similarly resourced competitors could respond, eroding industry economics without delivering durable share gains.

Factor #5: Vertical integration

Gemini and Qwen are vertically integrated

Both Google and Alibaba have a full AI stack, from chips (see page 39) to infrastructure to models and tooling. With access to Ironwood TPU’s compute capacity, and continued strong growth at Alphabet across all divisions validating its full stack AI strategy, Gemini remains the benchmark for what a fully integrated LLM can deliver in terms of productivity gains at the enterprise level.

One advantage we see is easier access (or at least easier scheduling) to compute capacity given it is controlled by the mother company. Vertical integration could also translate into lower cost-to-serve and be reflected in lower pricing for the end user. Eventually, at similar levels of intelligence (see charts on page 13), we note that Gemini’s price per million tokens is a fraction of that of Anthropic, although we appreciate the comparison is not necessarily like-for-like.

Reliability or enforcing a service level agreement (SLA) may also be easier to deliver when contracting with a vertically integrated model. As for the other criteria, it all boils down to the objective set by the corporate contracting the model. If its priority is speed to production, scalability and integration with cloud-native controls, vertical integration can be an advantage. If the priority is maximum portability and tight control over deployment, the company may prefer a vendor-neutral architecture (or open-weight).

Conclusion on Vertical Integration: we suggest that a vertically integrated model should have better economics than a standalone model and therefore command better pricing or margin.

Model launch tracker

The September launch schedule has been led by Anthropic, Google and Meta, and builds on a strong 2026 release schedule from all the major US AI labs. OpenAI has reportedly delayed a new model (Astra) owing to the need for stronger cyber-security guardrails following the Hugging Face cyber incident in July 2026. Alibaba is the most active AI lab in China.

2026 YTD new model launches

Release Month	US	China	Europe
January		Kimi K2.5	
February	GPT-5.3 Codex GPT-5.3 Codex-Spark Claude Opus 4.6 Claude Sonnet 4.6 Gemini 3.1 Pro Composer 1.5 Grok 4.20 Beta	GLM-5 Qwen3-Coder-Next Qwen3.5 Qwen3.5-Plus	
March	GPT-5.4 GPT-5.4-Pro GPT-5.4 Mini GPT-5.4 Nano Gemini 3.1 Flash-Lite Composer 2 Nemotron 3 Super		Mistral Small 4
April	GPT-5.5 GPT-5.5-Pro Claude Opus 4.7 Gemma 4 Muse Spark Grok 4.3 Beta	DeepSeek V4-Pro Kimi K2.6 Qwen3.6-Plus Qwen3.6	Mistral Medium 3.5
May	Claude Opus 4.8 Gemini 3.5 Flash	Qwen3.7-Max	
June	GPT-5.5-Cyber GPT-5.6 Sol GPT-5.6 Terra GPT-5.6 Luna Claude Fable 5 Claude Mythos 5 Claude Sonnet 5 Nemotron 3 Ultra	Kimi K2.7 Code GLM-5.2 Qwen3.7-Plus	
July	Claude Opus 5 Gemini 3.6 Flash Gemini 3.6 Flash-Lite Gemini 3.6 Flash-Cyber Muse Spark 1.1 Grok 4.5	DeepSeek-V4-Flash-0731 Kimi K3	
August	GPT-5.6 Cyber Gemini 3.7 Flash Muse Spark 1.2 Muse Glimmer Grok 4.6 Nemotron 3.53.5 Lightning	DeepSeek-V4-Pro-0813 GLM-5.3 GLM-5.3 Flash Qwen3.8-Max Qwen3.8-27B Qwen3.8-Flash-Next	
September	Claude Fable 5.1 Claude Mythos 5.1 Gemini 3.8 Flash Muse Spark 1.3 GPT-6 Astra	Qwen3.8-Max-0902	

Agentic AI vs software

- ◆ In February we outlined that 2026 would see agent-driven AI embedded directly into enterprise software workflows
- ◆ A subsequent review in June revealed no material disruption from AI, and confirms our view that software is a net beneficiary of AI
- ◆ Growth in AI adoption and the intensity thereof bodes well for both hardware buildout and software applications

AI adoption accelerates, agentic AI is the catalyst

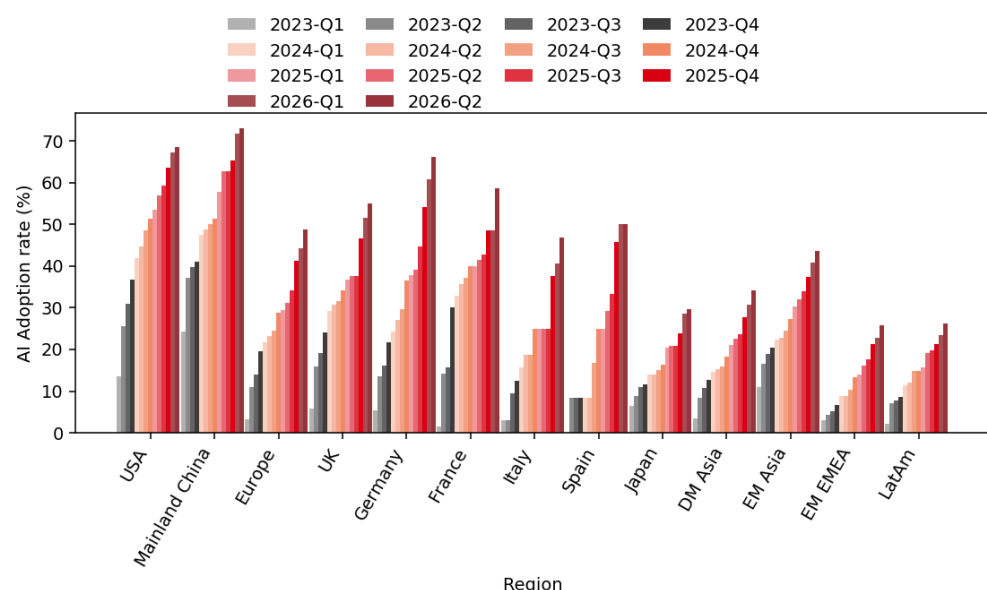
HSBC's Multi-Asset strategists team are measuring AI adoption across countries and sectors. In their report [On Warsh and AI – Multi-Asset Strategy](#) (02 September 2026), the team evidenced the growing proportion of AI workflows and associated efficiency gains.

Adoption of AI is a prominent investment theme at wider market level: The narrative was initially one of a disruptive force. However, and post a constructive Q2 software earnings season, the narrative has shifted increasingly towards the benefits of AI adoption, with management teams across difference sectors citing increasing AI-led efficiency gains. Based on HSBC's measure which tracks companies that have given tangible evidence of companies adopting AI on company earnings calls, enterprise AI adoption is surging in the US, China select European markets like Germany, and in telecommunications, financial services and tech.

Duncan Toms*, CFA
 Multi-Asset Strategist
 HSBC Bank plc
 duncan.toms@hsbc.com
 +44 20 7991 3025

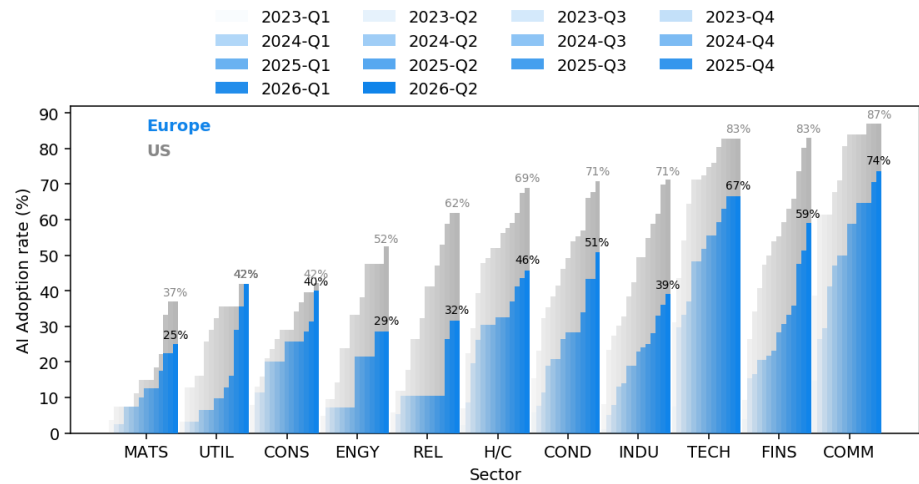
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AI adoption by equity market



Source: HSBC, LSEG-TKRD

AI adoption in sectors in the US vs Europe



Source: HSBC, LSEG-TKRD

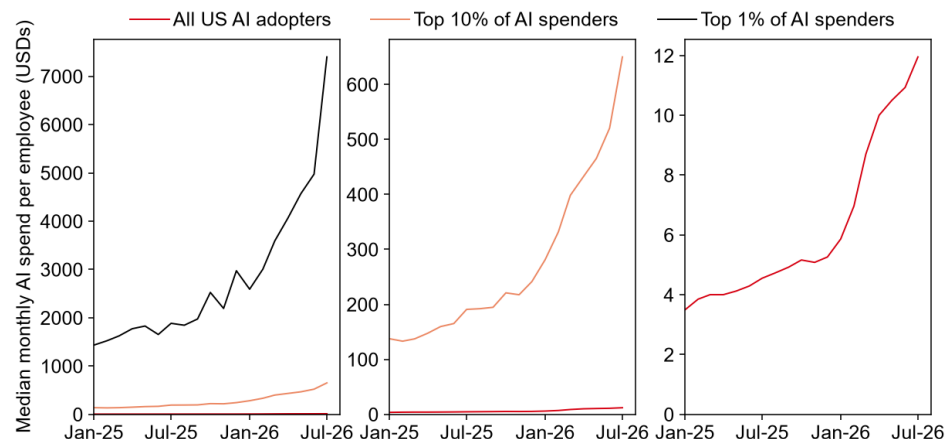
The intensity of adoption is also increasing: Surging AI adoption as a measure does not capture the balance between early adopters at an experimental stage and enterprises shifting from pilot schemes to small, and then in due course, large-scale deployments. It thus offers little insight into token consumption, or whether a company is adopting agentic AI, which is anticipated to facilitate complex workflow management, reduce labour intensity and accelerated decision-making, resulting in productivity gains that are able to deliver demonstrable improvements in ROI.

RampAI tracks AI spend for US businesses, which has increased rapidly through the summer again. The charts highlight the substantial disparity in AI spending between the top 1% of enterprise AI spenders, the top 10% and all adopters. The top 1% of enterprise AI spenders have reached >USD7,000 in monthly median spend per employee versus the top 10% at cUSD600 and just cUSD12 for all adopters. We anticipate that as enterprise adoption grows, and token prices continue to decline, AI spend per employee will continue to increase.

we remain at the very early stage of the AI productivity cycle

However, as of right now, while it is clear that demand for agentic AI that is driving incremental revenue growth for the suppliers of AI solutions, the absence of a pick-up in broader macro productivity measures confirms that we remain at the very early stage of the AI productivity cycle, albeit one that has significant momentum of what is currently a small base.

RampAI: US AI adoption



Source: HSBC, RampAI

No signs of a software apocalypse

Stephen Bersey

Head of US Technology Research
HSBC Securities (USA) Inc.
stephen.bersey@us.hsbc.com
+1 212 525 4153

Abhishek Shukla*, CFA

Senior Analyst, Technology
HSBC Bank Middle East Limited,
DIFC
abhishek2.shukla@hsbc.com
+971 4 5093343

Sameer Lam*

Global Software Analyst
HSBC Bank plc
sameer.lam@hsbc.com
+44 20 7992 3780

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HSBC US Tech team has again investigated the SaaS apocalypse in the report [Software Apocalypse? Taking stock of the AI threat for software](#) (25 June 2026).

We maintain our view that AI is unlikely to replace software as explained in: [Can AI replace software?](#) (9 February 2026) and [Software is already eating AI](#) (26 February 2026). Software revenue growth remained strong in 1Q26 (median 12.7% yoy constant currency). Current remaining performance obligations also posted strong double-digit growth. Multiple software companies (e.g. SAP, Salesforce, and ServiceNow) provided multiyear guidance and are generally guiding to the continuation of strong growth for several years. There are no signs of pricing pressure in the sector. Most software companies reported c50bps higher non-GAAP operating margins in 1H26 and are guiding to steady margins.

Software companies are generally downplaying concerns about AI disrupting their business and are buying back shares aggressively. If we leave aside outliers, total share buybacks by major software companies are up more than 3x since 2023-24.

AI impact on employee productivity low single-digit currently: AI-driven cost savings identified by software companies are at about 5-7.5% of their existing cost base. We estimate AI coding tools have boosted productivity at IT services and software companies by 100-500bp, at best. As the productivity boost is modest, there is nothing to suggest that one could replace existing enterprise software applications cheaply by fresh vibe-coded systems as the market seems to be dreading.

Enterprise software stocks oversold: Software shares have de-rated significantly over the last 12 months on concerns that AI will disrupt their business. If we use consensus estimates, major software shares are trading at c28% lower P/NTM non GAAP EPS than their 24-month averages. As explained above, we consider these concerns unwarranted.

Capex still rising

- ◆ Capex continues to exceed HSBC and consensus expectations, driven by a land grab from compute capacity / component inflation
- ◆ Furthermore, capex alone does not capture the full extent of hyperscaler commitments and access to funding for investment
- ◆ We consider that, based on current revenue / earnings projections, hyperscaler capex expectations do not look unduly stretched

Capex increases still coming in ahead of guidance / expectations

Our original thesis was that rising capex should not be a surprise given the increases seen over 2025 and the capacity constraints further adding to component inflation. However, we (and the market) have continued to under-estimate the level of capex increases. In 2026 to date this is primarily a function of component inflation rather than an acceleration in underlying investment in compute, the latter still subject to supply constraints, and despite growth in the industry order backlog that supports market expectations of significant growth in compute capacity over the medium-to-long term.

Component inflation also comes at a time of unprecedented demand for compute capacity from major AI labs and a broadening array of enterprise clients, as highlighted by Nvidia's recent comments on GPU demand, >50% of which is expected to come from ACIE (AI clouds, Industrial, Enterprises) rather than traditional hyperscalers going forward. This supports market forecasts of 335% growth in data centre compute capacity between 2025A and 2035E, a 16% 10-year CAGR, and current hyperscaler order backlog of >USD2trn and growing.

+96% capex at the six major cloud providers in FY26e

We now expect the aggregated capex budget for the six major cloud providers to increase by 93% yoy in FY26e to USD817bn. This is up from a forecast FY26e yoy increase of 73% at the time of our last sector update in May. We then expect a further 36% yoy increase in capex in FY27e, down from 43% at the time of our last update in May, but still higher in absolute terms at USD1.108trn (from USD1.044trn). The increase reflects c10-17% increase in hyperscaler CY26 capex expectations / guidance since the beginning of the year driven by component inflation.

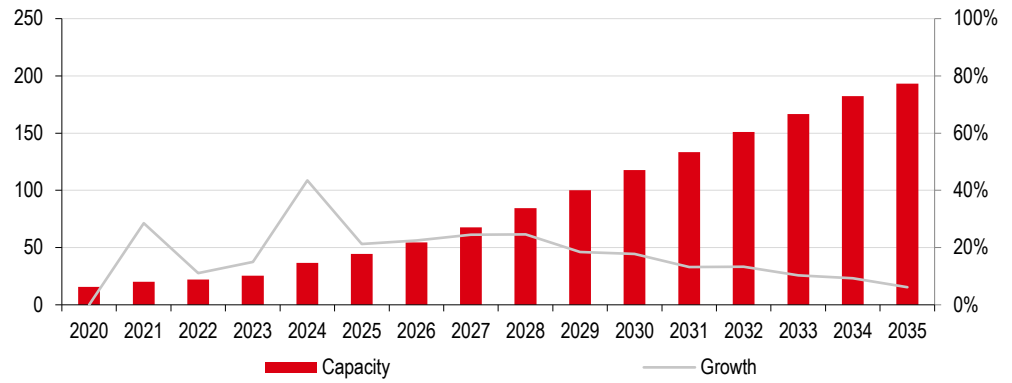
Hyperscaler capex expectations

	Historical	Consensus			HSBC			HSBC vs Consensus			HSBCe		
	FY25a	FY26e	FY27e	FY28e	FY26e	FY27e	FY28e	FY26e	FY27e	FY28e	FY26e	FY27e	FY28e
Alphabet	91	202	304	346	205	270	300	2%	-11%	-13%	124%	32%	11%
Amazon	128	223	283	306	220	270	324	-1%	-5%	6%	71%	23%	20%
Meta	72	140	194	211	141	176	185	1%	-9%	-12%	95%	25%	5%
Microsoft	65	116	196	224	116	228	251	0%	16%	12%	80%	97%	10%
Oracle	56	93	106	93	95	120	100	3%	14%	8%	71%	26%	-17%
CoreWeave	10	38	51	54	41	44	47	8%	-13%	-14%	294%	9%	6%
Total	423	811	1133	1233	817	1108	1207	1%	-2%	-2%	93%	36%	9%

Source: HSBC estimates, Visible Alpha consensus

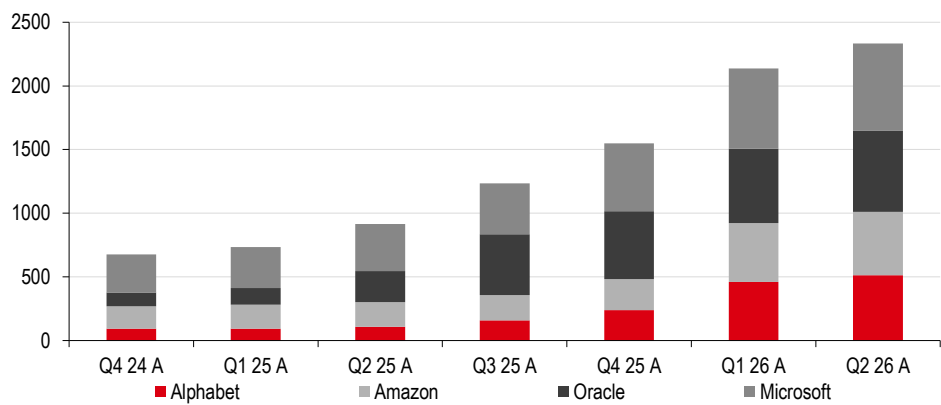
Land grab for compute

Forecast growth in data centre capacity in GW (2020-2035) with yoy growth



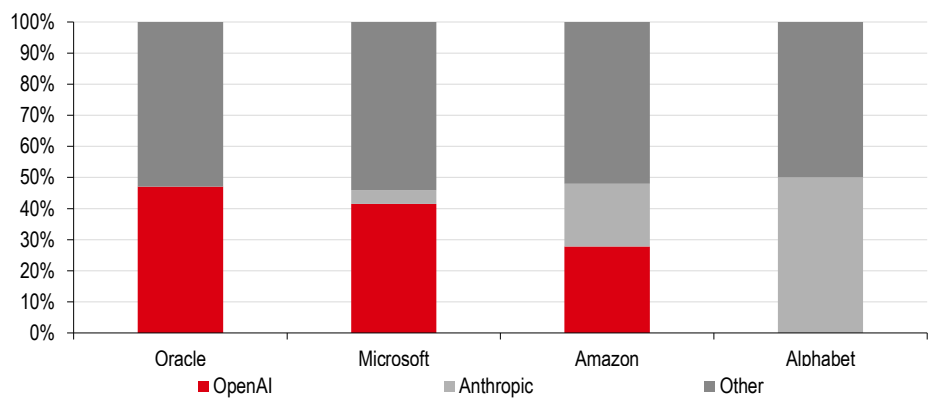
Source: BloombergNEF, US Data Centre Capacity Outlook

Year-on-year order-backlog split (USDm)



Source: HSBC estimates, company filings

Present order-backlog split



Source: HSBC estimates, company filings

Land grab for compute capacity

Scarcity of compute capacity

Ahead of their anticipated IPOs of Anthropic and OpenAI in 2026/27, and given increased demand/rapid adoption of AI, focus in 2026 has shifted to compute capacity and monetisation as LLMs seek to accelerate growth and bridge the multi-year funding gap to profitability.

Compute for equity deals

At the same time, scarcity of compute capacity has forced leading LLMs to shift away from a reliance on a single cloud provider to multi-cloud strategies in a series of 'compute for equity' deals. For OpenAI this has meant reducing reliance on Azure, and in the case of Anthropic, AWS. In return the leading cloud providers have increased their investments in LLMs.

Anthropic striking more deals in 2026

The net result is that while OpenAI has signed in total 32GW of compute deals worth USD1.4trn including the Stargate project, and separate deals with Amazon, Microsoft and AMD among others, it is Anthropic that has made more noise in 2026 to date. In 2026 Anthropic has, we estimate, signed over 15GW of compute deals for >USD500bn, including cUSD300bn with Alphabet and Amazon. We anticipate that, as more compute becomes available, the leading AI labs will continue to chase capacity to train new frontier models.

Anthropic compute deals in the last 12months

Counterparty	Date	Amount	Capacity
Google Cloud	Oct. 2025	Tens of billions	1.0GW
Fluidstack	Nov. 2025	USD50bn	n/a
Microsoft Azure/NVIDIA	Nov. 2025	USD30bn	1.0GW
CoreWeave	Apr. 2026	Multi-billion	n/a
Amazon AWS	Apr. 2026	USD100bn	5.0GW
Google	April. 2026	USD200bn	5.0GW
SpaceX	May. 2026	USD45bn	0.3GW
Akamai	May. 2026	USD1.8bn	n/a
AMD	July. 2026	n/a	2.0GW
Volta Infra	Aug. 2026	USD10bn	0.1GW
Nscale	Aug. 2026	USD45bn	0.5GW
Lambda	Aug. 2026	USD35bn	n/a

Source: The Information

Source: The Information

Primarily funded from equity issuance

Ahead of its planned IPO now expected in October 2026, Anthropic has now raised a total of USD175bn in 2026 to date including a USD15bn revolving credit facility. This includes USD65bn via strategic investments from Amazon (USD25bn) and Google (USD40bn) in April, USD30bn from a Series G investment round in February of USD30bn, and USD65bn from a series H funding round in May at a pre-new money valuation of USD965bn.

OpenAI has raised USD122bn in 2026, the largest private placing ever at a pre-new money valuation of USD852bn, and is largely funded by Amazon (USD50bn), Nvidia (USD30bn) and Softbank (USD30bn).

Memory remains in focus

In terms of the key drivers of component inflation, this is predominantly driven by higher memory costs first evident in upward revisions to capex guidance at FY / calendar 1Q results updates, with subsequent and typically smaller upwards revisions following the calendar 2Q earnings season. The impact of higher memory costs is evident in higher hyperscaler capex budgets, but also the increase in retail selling prices across a range of consumer electronics. As the extract from the note below details, DRAM prices are expected to rise 23-28% q-o-q for premium customers in Q3 (from 15-20%), and to see high single digit q-o-q increases in Q4.

Our Semiconductor and display analyst Ricky Seo analysed the sector recently in [Asia Memory – Solid fundamentals outweigh KRW appreciation](#). (8 September 2026).

Ricky Seo*
Head of Korea Research,
Semiconductor and Display
The Hongkong and Shanghai
Banking Corporation Limited, Seoul
Securities Branch
rickyjuilseo@kr.hsbc.com
+82 2 3706 8777

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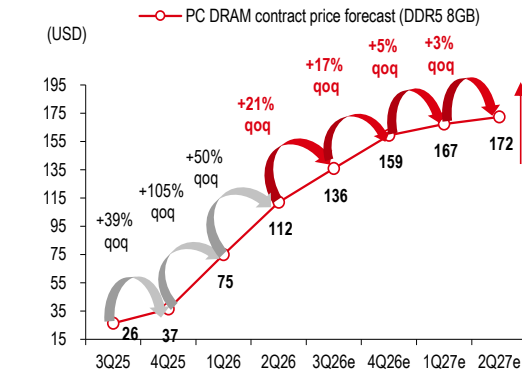
Solid fundamentals outweigh FX headwinds: We remain positive on memory stocks, as sustained commodity DRAM strength and further PC DRAM price increases in 2H26 should more than offset headwinds from KRW appreciation. In addition, a more robust HBM price should provide further momentum for memory stocks. According to DRAMeXchange, PC DRAM prices are now expected to rise 23-28% q-o-q for premium customers in 3Q26 (previously 15-20%) due to 1) capacity allocation shifting towards server DRAM and HBM at memory makers, 2) inventory restocking for peak season demand and 3) less severe notebook shipment weakness at -10.5% y-o-y (vs previously -12.1%). We expect both server DRAM and NAND prices to rise 16% q-o-q, driven by tight supply and tech migration, which is limiting output growth. We now expect a 3Q26 KRW appreciation rate of 6% q-o-q (previously 1% q-o-q). We expect this to reduce OP by 6% for Hynix (to KRW74trn) and 5% for Samsung (to KRW106trn). Our OP estimates for Hynix and Samsung are 5% below consensus. US memory makers will have a minimal earnings impact.

More solid 4Q26e price and upcoming HBM momentum: As DRAM capacity will be allocated more to HBM from robust demand at the Rubin platform and ASIC accelerators, further supply tightness should lift DRAM prices by high single digits in 4Q26. On the demand side, 1) stronger high-end smartphone sales following the new iPhone launch (including foldables), and 2) the ramp-up in SO-CAMM2 supply should further support commodity DRAM price increases. In addition, with the transition to HBM4 and a projected 34% increase in CSP capex for AI data centres, we expect stronger HBM momentum, with blended ASP rising 65% y-o-y in 2027e. Meanwhile, concerns around slower content/spec upgrades - specifically Rubin Ultra moving to 512GB (vs prior expectations of 1TB) - look overdone in our view. We expect non-Nvidia growth and higher content per ASIC accelerator to drive 78% y-o-y bit demand growth (vs 45% y-o-y for Nvidia GPUs).

Agentic AI-driven supercycle: We view the memory cycle as comparable to the 1990-95 supercycle, when PCs became the default office tool. Agentic AI is poised to lift office productivity and reshape workflows. Improving AI service margins continues to underpin strong cloud spending, and CSPs are unlikely to slow capacity expansion as they compete for the fastest-growing market. Looking ahead to 2027, we expect LTA-driven revenue to account for 50-70% of total revenue, which should meaningfully improve earnings visibility.

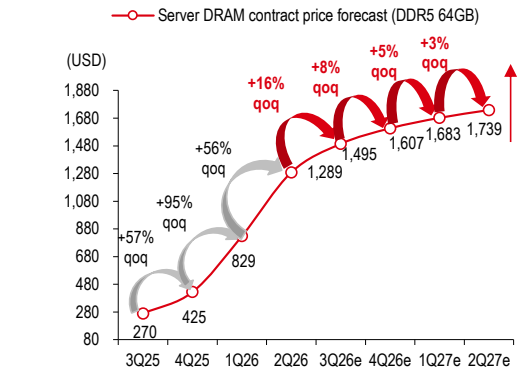
Memory in focus

PC DRAM prices set to rise amid memory makers' capacity allocation to HBM and server DRAM



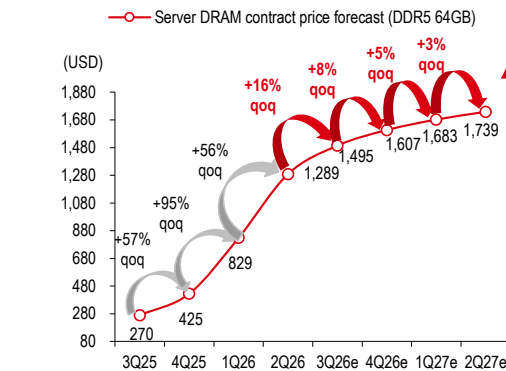
Source: DRAmExchange, HSBC estimates

Server DRAM prices should continue rising amid strong demand for AI and general servers



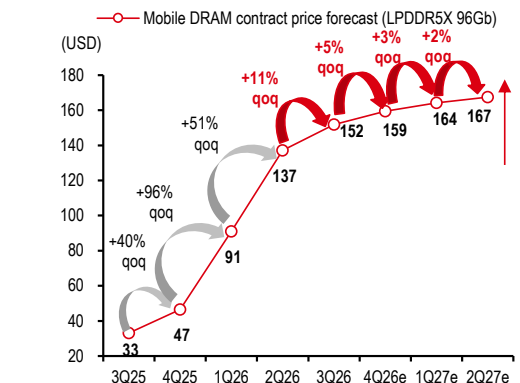
Source: DRAmExchange, HSBC estimates

While NAND Flash wafer prices continue rising thanks to eSSD demand



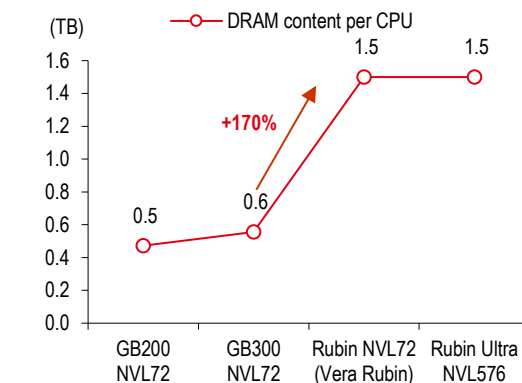
Source: DRAmExchange, HSBC estimates

The rise of SOCAMM2 is pushing mobile DRAM prices further as demand is moving into servers



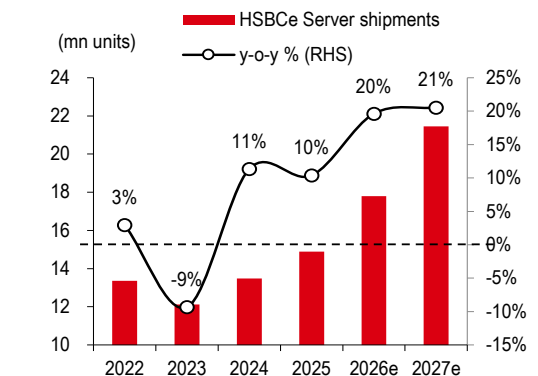
Source: DRAmExchange, HSBC estimates.

Accelerating DRAM content growth in the latest Vera Rubin servers



Source: Company data, HSBC estimates

We expect global server shipments to rise 20%/21% in 2026/27e



Source: TrendForce, HSBC estimates

Off-balance sheet financing – the other half trillion

Song Jin Lee, CFA
 Global Head of Credit Strategy
 HSBC Bank plc
 songjin.lee@hsbc.com
 +44 20 7991 5259

The below are extracts from: [The Credit Corner: AI financing – the other half trillion](#) (02 September 2026).

AI financing gets creative

The AI borrowing spree is in full swing. Year-to-date bond supply in all currencies from the hyperscalers and CoreWeave has reached more than USD230bn, a circa sixfold increase vs Q1-Q3 2025. But it is not just the public credit markets that are active. Increasingly, funding is shifting from bonds to off-balance sheet finance – a trend that is likely to intensify into 2027 as the AI race heats up. With that comes growing market scrutiny – what are these structures? How big is the debt raised off balance sheet? How does this affect the credit profile of the hyperscalers? Do they present a risk or an investment opportunity?

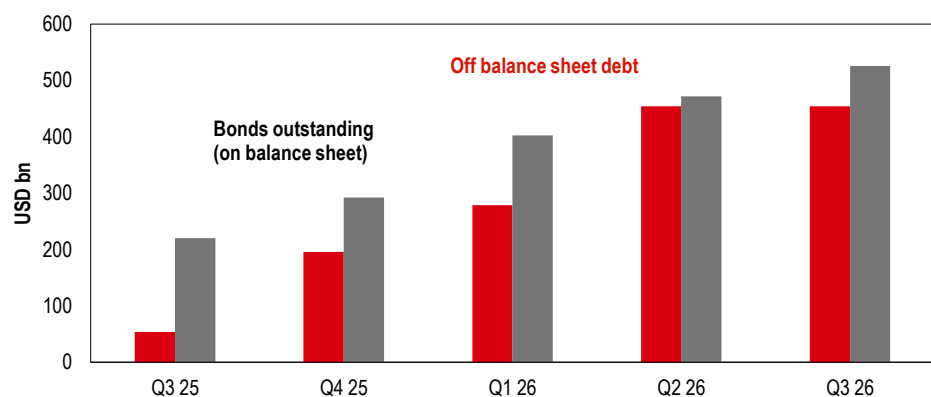
Expanding the AI financing ecosystem

In simple terms, these deals typically involve ring-fenced SPVs (special purpose vehicles) that build and own the underlying asset (i.e. data centre). The SPV then enters into a lease with a tenant (typically a hyperscaler), sometimes with a guarantee from the latter. Funding can then be raised via loans, private placement bonds or private credit, backed by a contractual claim on those lease payments.

Unlike traditional corporate finance where the firm is the owner, user of the asset and borrower, these off-balance sheet deals separate the user from the owner/borrower, and the debt does not show up on the hyperscalers' balance sheet. More recently, this financing model has been extended to GPUs (see Appendix charts A1 and A2).

The five hyperscalers and CoreWeave collectively have more than USD1trn of leases that have yet to commence. While that might represent future liabilities to the hyperscalers, they are not equivalent to the amount of debt raised elsewhere. Instead, we estimate these leases can support cUSD400-500bn of off-balance sheet borrowing, compared to just over USD500bn of bonds outstanding (see chart below). In other words, the use of leases almost doubles the amount of capital available – using just on-balance sheet debt risks significantly underestimating the scale of AI-related borrowing.

Off-balance sheet financing nearly doubles the availability of credit

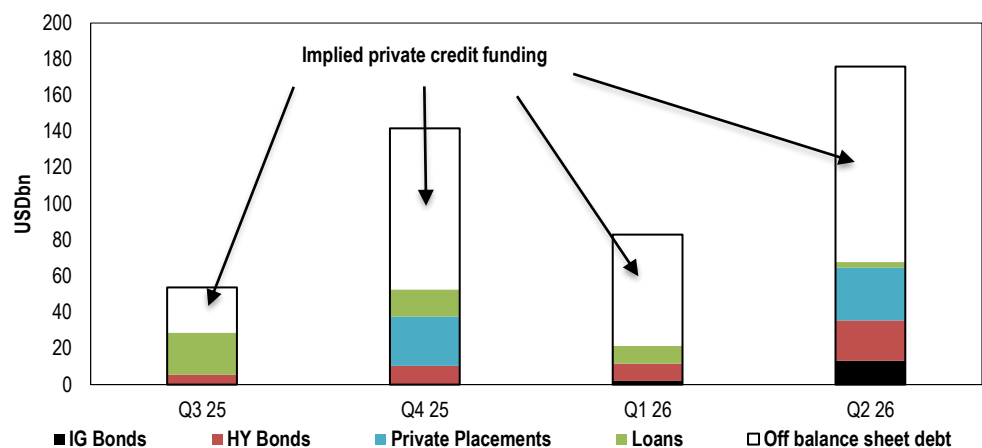


Source: HSBC estimates, Company Accounts, Bloomberg, Moody's. Note: Bonds of all currencies and estimated debt supported by leases from Microsoft, Alphabet, Meta, Amazon, Amazon and CoreWeave. As of end August 2026

Private credit funding

Off-balance sheet deals expand the availability of financing, off-balance sheet financing also broadens the investor base by bringing in private credit investors. Private placements, ABS and other public securities represent a fraction of our estimated off-balance sheet borrowing, which implies a notable share of lending is captured by private credit (see chart below). Despite some setbacks in direct lending, many private credit groups continue to enjoy inflows to their asset-backed financing strategies. This alleviates some of the supply-related pressure on the public markets.

Private credit funding



Source: HSBC estimates, Company Accounts, Bloomberg, Moody's

Where the main risk lies

This leads us to the crucial point. The main risk with these off-balance sheet deals is not one of 'hidden leverage'; rather, it is when assumptions made at the time these deals are struck turn out to be unjustified. The history of technology-driven capex booms shows that assumptions can shift rapidly:

- ◆ Most obviously is the assumption that AI-related earnings can support these leases.
- ◆ It's not just about the eventual size of the pie. These financing structures also assume a certain growth profile.
- ◆ Then there is the assumption that the debt can be rolled over at a reasonable yield as long as the lease remains intact.
- ◆ What happens if the credit quality of the hyperscalers that underpin many of the leases and guarantees start to drift?
- ◆ And while data centre- and chip-backed debt diversifies the creditor base, the broader financing complex is still highly dependent on the backing of a small group of AI players. This dense network of dependency raises spillover risk.

The way forward

Watch the assumptions, not whether the debt is 'hidden' or not. We think it is premature to conclude that such off-balance sheet borrowing is problematic. Realistically, it is almost impossible to know either way with any conviction. The underlying technology, business models and financing structures are still in a state of flux. A more pragmatic approach is to be cognisant of the assumptions that underpin the data centre/chip-backed debt and the conditions under which those assumptions could be challenged.

Hyperscaler capex assumptions do not look unduly stretched

From a headline perspective we remain comfortable with the forecast growth in HSBC hyperscaler capex. It is clear that elevated capex as hyperscalers invest in compute, in-house silicon / LLM's and more, has consumed a higher proportion of operating cash flow. It is also clear that some hyperscalers, i.e. Amazon and Meta, will run net debt balance sheets in the near-term, albeit with modest levels of gearing by any conventional standard. In this regard, Oracle and CoreWeave are the notable exceptions. See charts on the next page.

It is also clear from our 'Cloudnomics' deepdive analysis below, that the hyperscalers are well positioned (again with the exception of Oracle and CoreWeave) to generate healthy ROIC on their AI investments. At the same time, we are cognisant that hyperscaler cloud revenue dependence on the major AI labs has grown. However, as long as OpenAI and Anthropic finances or liquidity remain strong, we see little reason for Amazon, Google or Microsoft to curtail capex if balance sheets remain strong with ROIC well ahead of WACC.

'Cloudnomics' deepdive analysis reveals risk and valuation differences

Our 'deepdive' analysis of the underlying cloud business suggests that Microsoft, Amazon and Alphabet remain well placed

Azure, AWS and Google enjoy best ROIC: We estimate Microsoft Azure, Amazon AWS and Google Cloud CY27e ROIC at 14.6%, 18.9% and 16.0% vs single-digit percentages for Oracle cloud infrastructure and CoreWeave. We believe the inclusion of general-purpose cloud as opposed to more commoditised GPU-focused cloud in Azure, AWS and Google Cloud helps them earn superior returns.

AWS has higher short-duration contract exposure: AWS returns seem bolstered by a higher portion of higher price, short-term contracts. We estimate AWS's RPO (remaining performance obligations) cover is 2.5 years of its HSBC expected NTM (next 12 months) revenue vs 3.4x for Microsoft Azure and Google Cloud.

Cloud infrastructure providers at a glance

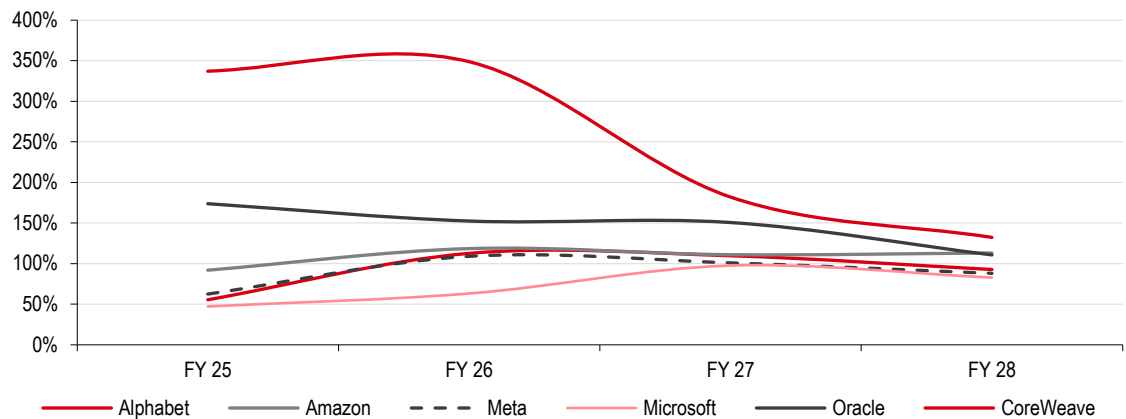
FYE Dec	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Asset turnover: Gross assets, ex wip and including leased assets								
Oracle: OCI	26.9%	29.6%	24.4%	20.9%	22.7%	26.2%	28.3%	29.1%
Amazon: AWS	100.6%	85.8%	66.7%	52.6%	43.4%	39.2%	37.4%	37.4%
Google Cloud	27.7%	33.1%	34.7%	40.7%	42.4%	42.4%	NA	NA
Microsoft *	38.9%	37.8%	37.5%	37.7%	36.4%	35.8%	34.6%	35.3%
CoreWeave	NA	NA	22.8%	21.7%	24.2%	24.2%	24.6%	24.4%
Non-GAAP operating margin								
Oracle: OCI*	17.6%	21.6%	25.7%	29.1%	29.5%	30.2%	31.0%	31.4%
Amazon: AWS	36.7%	45.1%	43.1%	43.5%	43.6%	43.7%	43.1%	42.5%
Google Cloud (GAAP)	5.2%	14.1%	23.7%	35.1%	35.6%	35.6%	NA	NA
Google Cloud (Non-GAAP)*	9.5%	17.6%	25.7%	36.7%	37.6%	38.0%	NA	NA
Microsoft *	39.0%	39.5%	40.0%	40.0%	40.0%	40.0%	40.0%	40.0%
CoreWeave	0.3%	18.6%	13.0%	8.4%	14.7%	16.5%	16.1%	15.8%
ROIC (Non-GAAP EBIT/Gross assets, ex wip and incl leased assets)								
Oracle: OCI	4.7%	6.4%	6.3%	6.1%	6.7%	7.9%	8.8%	9.1%
Amazon: AWS	36.9%	38.7%	28.8%	22.9%	18.9%	17.2%	16.1%	15.9%
Google Cloud: GAAP	1.4%	4.7%	8.2%	14.3%	15.1%	15.1%	NA	NA
Google Cloud: Non-GAAP	2.6%	5.8%	8.9%	14.9%	16.0%	16.1%	NA	NA
Microsoft	15.2%	15.0%	15.0%	15.1%	14.6%	14.3%	13.8%	14.1%
CoreWeave**	NA	6.5%	3.9%	2.5%	4.9%	5.4%	5.2%	5.0%

Source: Company data, HSBC estimates *Even historical numbers estimated by HSBC **ROIC rises to high single digit % if we include the impact of customer advances ***Google cloud reports only GAAP segment results. We estimate non-GAAP numbers by assuming same SBC/Revenue as for the overall company

For more detail see our note: [Cloudnomics – Benchmarking analysis reveals risk and valuation differences](#), 06 August 2026.

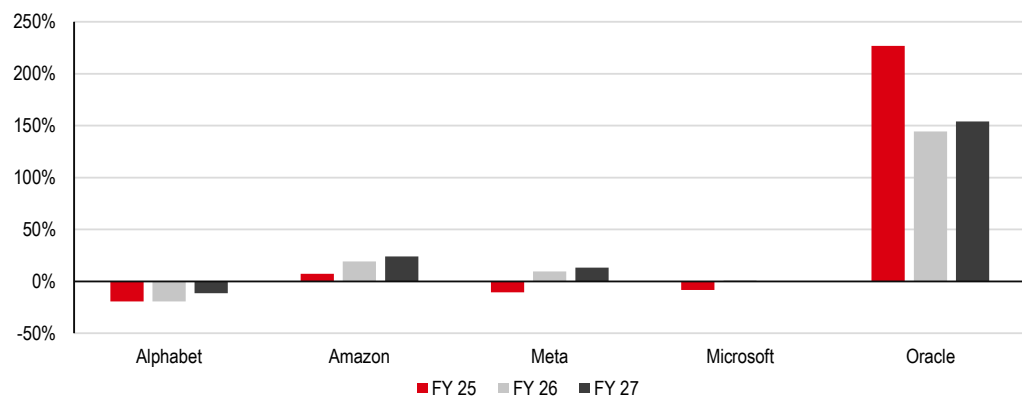
HSBC hyperscaler capex / CFFO / ROIC / gearing ratios

Capex/Cash flow from operations



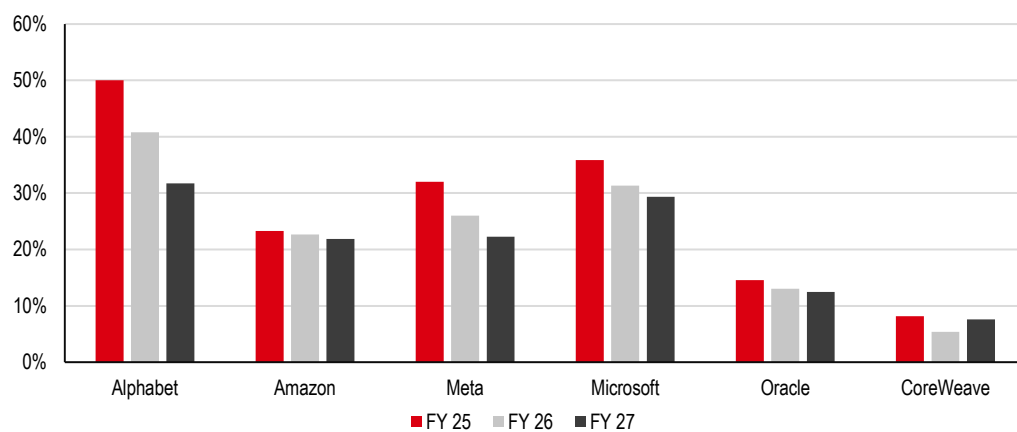
Source HSBC Research, company data. Next FY data for ORCL (eg. FY 26 data in FY 27 - May-end)

Gearing (Net debt/equity) %



Source: HSBC Research, company data. Next FY data for ORCL (eg. FY 26 data in FY 27 - May-end); *CoreWeave N.A.

RoIC (%)



Source: HSBC Research, company data. Next FY data for ORCL (eg. FY 26 data in FY 27 - May-end)

Cloud capacity constraints

- ◆ Power is still constrained in the West due to long-lead times of gas turbines. It's a different story for China given sufficient grid power
- ◆ Memory demand also faces a supply chain capacity bottleneck
- ◆ Political / public resistance to new data centre developments as the energy / water consumption and emissions become more evident

Power remains the no.1 concern

Large cloud providers note capacity constraints

At the 1Q and 2Q earnings calls, three of the largest Western cloud service providers (CSPs) in Alphabet, Amazon and Microsoft noted that cloud capacity will remain constrained. There are a number of bottlenecks in the industry. In the US, power supply and cooling ability, chip and memory availability and the capacity to deliver large projects and provide technical expertise.

To this we now add a growing legislative backdrop that has the potential to curtail new AI model development in the first instance, and the growing public backlash against new data centre development given the potential environment / economic impact on the local community.

Power demand and data centres

Meike Becker*
Senior Global Utilities &
Renewables Analyst
HSBC Bank plc
meike.becker@hsbc.com
+44 20 7991 6441

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US electricity demand continues to trend up...

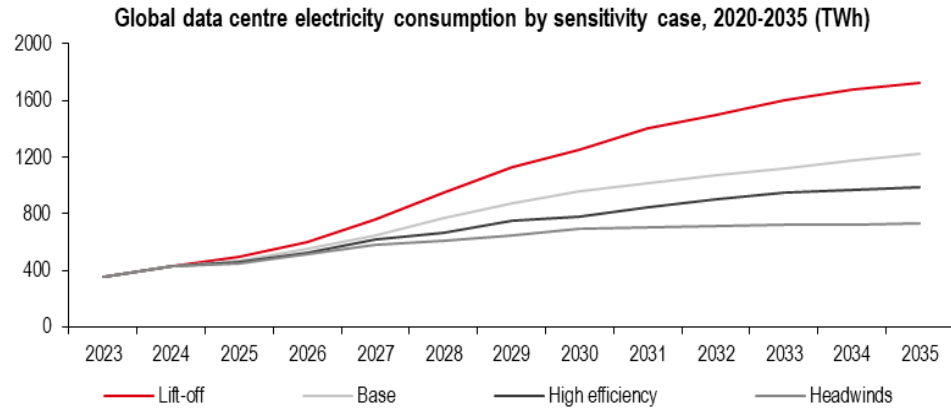
Projections for global data centre electricity demand growth continue to trend up. This is particularly so in the US, where we expect data centres to contribute at least 50% of demand growth until 2035 (see [Powering AI – US: A new era of electricity load growth](#), 13 March 2026).

In BNEF's 1H 2026 US Data Centre Outlook, total installed DC capacity is expected to reach 194GW by 2035 in the base case, a 4x increase compared to 2025 year-end installed capacity of 47GW, and reflects the addition of c100GW to the announced data centre pipeline in the first half of 2026. The base case rests on project-level demand using historical build rates; however, using AI-chip shipments forecasts the implied power demand outlook is 63GW higher by 2033.

In the IEA's STEPS scenario (base case), global data centres' electricity consumption could triple or quadruple by 2035, which would contribute a moderate <10% to global electricity demand growth. However, data centre growth is expected to be highly concentrated, with 85% of new capacity additions over the next ten years in the US, Europe, and China. This is most stark in the US with data centres forecast making up 50% of 2024-35 demand growth, compared to 6-10% in China (see charts overleaf and our recent note [Powering AI – Europe: In US footsteps, but very green. Well prepared.](#) (8 September 2026) for more detail.

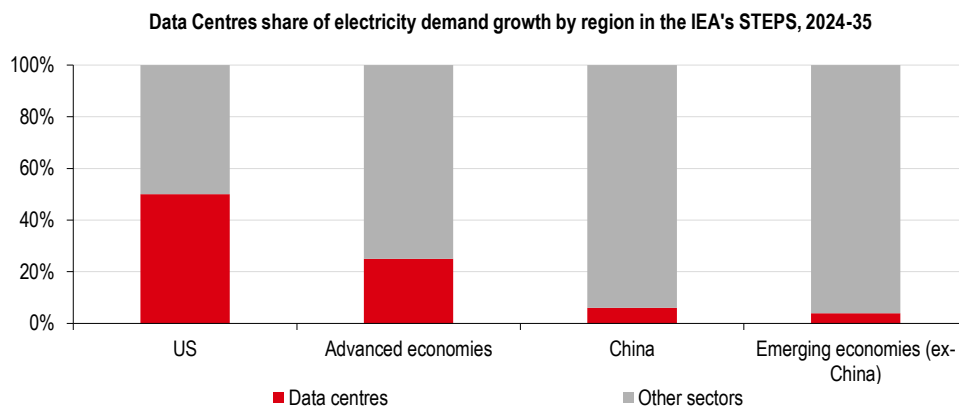
Global and US data centre electricity demand⁷

Global data centres electricity consumption could triple or quadruple by 2035



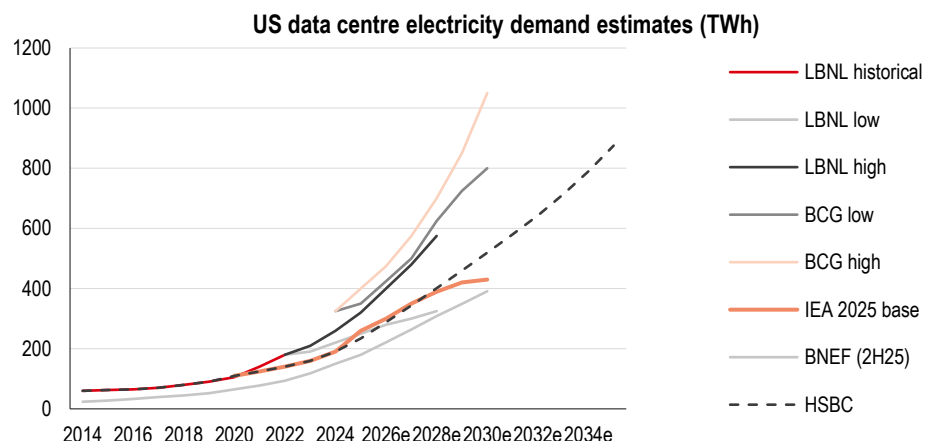
Source: IEA estimates

Data centre growth will be highly concentrated:



Source: IEA estimates

US data centre specific electricity demand forecasts include top-down chip delivery estimates as well as bottom-up project data bases



Source: BNEF, LBNL, BCG, IEA and HSBC estimates

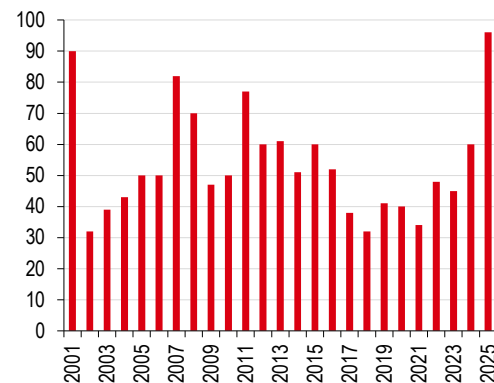
Sean McLoughlin*
 Senior Global Industrials Analyst
 HSBC Bank plc
 sean.mcloughlin@hsbcib.com
 +44 20 7991 3464

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...but long lead times for gas turbine supply limits capacity

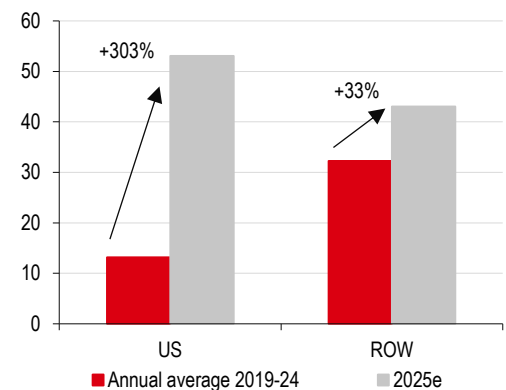
With regards to power supply, demand for gas turbines has led to order intake increasing to decade highs, with the US showing the greatest increase (see charts below).

Gas turbine demand (in GW) at multi-decade highs



Source: Woodmac, IEA, company data, HSBC estimates

US gas turbine orders (in GW) dominated the mix in 2025



Source: FT, company data, HSBC estimates

With lead times for new heavy-duty gas turbine (HGT) orders of four years or more, the premium for fast delivery is broadening demand towards medium-duty gas turbines (MGT), industrial and aeroderivative turbines, engine-based gas power, and fuel cells. The three large HGT suppliers are ramping up capacity with smaller suppliers following suit, and in our base case scenario, we estimate over 100GW of supply capacity by 2030. Also, we do not expect nuclear small modular reactors to contribute to increased power generation before 2035.

Longer lead times leave minimal options for meaningful surprises in management commentary on capacity increases, beyond management conservatism. Indeed, such is the wait time for gas turbines that Elon Musk is drawing up plans to take turbine production in-house to support the planned rollout of xAI compute capacity built on Nvidia GPUs.

A different story for China

China has sufficient grid power to serve as the primary source of power for data centres, while backup power shows tight supply, particularly in the supply of 2MW diesel engines, which account for 65% of total production cost of a generator set. In 2024, foreign brands dominated with 80% of the market in China. However, in 2025 the AI capex boom of Chinese internet companies and foreign brands prioritising engine shipments to the US opened the door for Chinese large engine manufacturers – Weichai and Yuchai. These have 1) a shorter lead time of 3-6 months vs foreign brands of 9-12 months, and 2) quicker capacity ramp-up in China. We estimate that they will penetrate 35% of the large engine market in 2025, vs c17% in 2024. Between the two, we think Yuchai leads in internet customers, while Weichai leads in telecom customers. For 2026, we think strong large engine demand will continue, backed by a solid backlog.

Cooling is a long-term theme

In 2026, we expect rising rack power requirements to increasingly favour new liquid-based cooling technologies over traditional air based and hybrid cooling solutions. We expect cloud operators to focus on packages that support 50-100kW per rack. Cooling is a key growth market for equipment, e.g. without liquid cooling, Nvidia's Rubin chips are difficult to operate.

China has sufficient grid power to support data centres

Memory

As we have already highlighted in the capex section, memory demand continues to grow with supply chain capacity bottleneck resulting in continue price inflation not just evident in hyperscaler capex but also across a wider range of consumer electronic devices. However, it would be remiss not to mention the release of the TurboQuant paper from Google that highlighted methods to reduce the amount of memory required for high-dimensional vectors within AI models.

Political / public resistance to new developments

However, in addition to supply chain bottlenecks, there are several potential challenges facing the DC build out from a political perspective. As AI systems have scaled, the energy / water consumption requirements and carbon emissions have become increasingly apparent.

According to EpochAI, the total power draw for training models has continued to increase, a function of models scaling faster than the available efficiencies from improvements in chip computation. Carbon emissions from training models have reportedly increased even faster. Furthermore, inference costs (and not just training costs) represent a growing share of AI's energy footprint.

This is now resulting in growing political and public opposition to data centre developments in the US. As our colleagues on the Utilities Team highlighted in their [Electricity demand growth accelerating – Energy Transition Chartbook: August 2026](#) (28 August 2026):

1. A growing share of the project pipeline is being filed by first-time developers who account for half of the pipeline, bringing execution risk.
2. Political risk is rising with politicians in Virginia, Georgia and Arizona positioning themselves against new developments and polling data suggesting the most Americans oppose DCs in their area. This being said, legislative success at blocking DC projects at the state levels has been limited thus far.
3. Virginia remains the leading market for new DC developments despite some local opposition. Momentum remains positive in Pennsylvania and Ohio. In Texas, the pipeline is sizeable at c43GW, yet most of the projects are early stage.

Charles Swabey*
Global Utilities & Renewables
Analyst
HSBC Bank plc
charles.swabey@hsbc.com
+44 20 3268 3954

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ASIC chips still in vogue

- ◆ The build-out of in-house silicon continues, with the major AI labs joining the hyperscalers in designing their own ASICs
- ◆ ASIC demand supported by orders from Anthropic for Alphabet's TPU and Amazon's Trainium, but capacity constraints remain
- ◆ Small % external chips sales for 2026e for Alphabet, greater amounts in 27e. Amazon yet to announce but optionality remains

An ASIC (Application-Specific Integrated Circuit) is a chip built for a specific job very efficiently, rather than many different jobs. A TPU (Tensor Processing Unit) is Google's AI-focused ASIC, designed to accelerate machine-learning calculations, hence optimised for AI workloads.

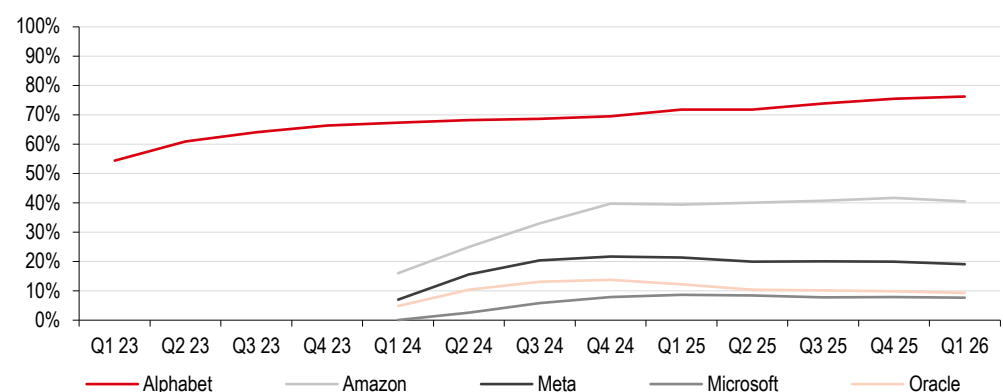
Thesis unchanged, timings tweaks

Going into 2026, our thesis was that ASIC chip use would continue to see strong-momentum from the hyperscalers but that GPUs would see positive demand from emerging hyperscalers, enterprise and sovereign AI companies. We also assumed that any external chip sales would start to impact financial statements from 2027 onwards; this was focussed primarily on sales from Alphabet and Amazon, with order books starting to rise from 2026. We would argue that both parts of this argument remain fully intact, and that these trends have gathered momentum against a backdrop of supply chain capacity constraints and strong demand.

Western CSPs ASICs a higher part of the mix

The largest capacity increase for ASICs has been with Alphabet through the deployment of its TPUs, followed by Amazon. The rest of the players have held the % mix of ASIC versus GPU broadly steady over 2025 and into Q2 2026. Both CoreWeave and SpaceX are entirely Nvidia GPU focussed. The chart below remains unchanged since our last update, the trend remains the same.

ASIC compute % within Western CSPs



Source: Epoch AI

Of this Amazon's chip demand, Anthropic will account for ~5GW of capacity, this includes the use of the Amazon CPU Graviton (read [Amazon invests up to a further USD25bn in Anthropic](#), 21 April 2026). Furthermore, OpenAI has agreements in place for multi-year, multi-gigawatt commitments to Trainium.

In October 2025 Anthropic and Alphabet announced a deal for 1GW of TPU-based capacity, (read [Anthropic outlines Ironwood TPU capabilities](#), 24 October 2025), which it further expanded to "multiple GW" in April 2026. The latest generation of chips, the TPU 8t and TPU 8i were announced just prior Q1 (read, [Google Cloud Next '26 – Agents & TPUs](#), 24 April)

Alphabet management noted that TPU demand was growing from AI labs (which we assume the vast majority is Anthropic), capital markets firms (one of which is Citadel Securities) and high-performance computing applications.

Meta has updated (11 March 2026) its current development roadmap for its MTIA chips, with the company having recently announced strategic deals with AMD and Broadcom to co-develop its custom silicon.

“ Our Trainium2 chip [...] is largely sold out. Trainium3 [...], is nearly fully subscribed. Much of Trainium4 [...] has already been reserved.

Amazon Q1 results call, 29 April

External sales of ASICs a 2027 story, with 2026 a backlog builder

This remains a 2027e story. Alphabet has committed to a small amount of external sales for 2026 with the majority coming through from 2027 onwards. We currently assume that c5% of the backlog relates to TPU sales, of which 3%/69%/28% is split over 26/27/28e. Of the USD460bn cloud backlog, the "vast majority" is for Google Cloud Platforms.

As per the Q2 call, Amazon highlighted that its chip business (including Graviton, Trainium and Nitro) is an over USD25bn ARR business. However, this run rate is understated by the fact that AWS currently only monetises chips through EC2. If AWS's chip business was a stand-alone business, and sold chips produced this year to AWS and other third parties (as other leading chips companies do), the annual run rate would be greater than USD50bn.

We expect Amazon would eventually start selling chips to third parties outright, à la Alphabet, and this remains our expectations, this was reinforced at Q2.

“ We do have an increasing number of customers who are interested in us providing the Trainium chips to them, separate from even from our cloud [...] and I expect there's a real chance we'll do that in the future.

Amazon CEO, Q2 earnings call, 30 July 2026

OpenAI enters ASIC game with Jalapeño chip, Broadcom the beneficiary

OpenAI's first custom inference chip is the Jalapeño. Under testing, the company notes that "Jalapeño can serve more AI work per unit of power while also returning responses more quickly. Jalapeño delivers both higher throughput and lower latency with one architecture, where existing hardware systems often have to make a trade-off between the two." *Company release, 25 August 2026.*

One beneficiary of this (and the whole ASIC space) is Broadcom, below is the ASIC takeaways from the Q2 call.

AI accelerators— customer execution

- ◆ **Google/Anthropic:** delivered Ironwood TPU v7 in high volume to Anthropic and Google in 3QFY26. Also commenced production shipments of TPU v8i for Google
- ◆ **OpenAI:** started shipping Jalapeño in 3QFY26
- ◆ **Meta:** expects to commence production shipments of MTIA custom accelerator starting 4QFY26

Customer wise multi-year deployments

- ◆ **Google**
 - Long-term agreement to develop/supply future TPUs along with AI networking
 - Planning to deliver "multi-tens of billions of dollars of TPUs annually" over the next several years
- ◆ **Anthropic**
 - 2026: deploying 1 GW of Ironwood
 - 2027: expects to deploy another 5 GW of TPU v8i
 - 2028: line of sight to deliver incremental 10 GW
 - Expected to become Broadcom's largest XPU customer in 2027 and remain so in 2028
- ◆ **OpenAI**
 - 2027: Jalapeño planned deployment of 1.3GW
 - 2028: line of sight for >5 GW of Jalapeño and successor XPU generation; would make OpenAI the second-largest XPU customer.
 - Also developing third-generation XPU

AI GPU and ASIC key memory and tech node specifications

Chip supplier	Chip name	Design partner	Release date	Tech node	Memory type	Capacity (GB)
AI GPUs						
NVIDIA (Global)	H100	In-House	2022	4nm	HBM3 8 High	80
	H200	In-House	2024	4nm	HBM3e 8 High	141
	B100	In-House	2024	4nm	HBM3e 8 High	192
	B200	In-House	2H24	4nm	HBM3e 8 High	192
	GB200	In-House	2024	4nm	HBM3e 8 High	192
	B300	In-House	2Q25	4nm	HBM3e 12 High	288
	GB300	In-House	2H25F	4nm	HBM3e 12 High	576
	R100/R200	In-House	3Q26F	3nm	HBM4 12 High	288
	VR200	In-House	3Q26F	3nm	HBM4 12 High	576
	Rubin CPX	In-House	4Q26F	3nm	GDDR7	128
	R100 Ultra	In-House	2H27F	3nm	HBM4e 16 High	1024
	Feynman	In-House	2028F	NA	Next gen HBM	NA
NVIDIA (China)	H800	In-House	2022	4nm	HBM3 8 High	80
	H20	In-House	2023	4nm	HBM3 8 High	96
	H20 Ultra	In-House	2025	4nm	HBM3e 8 High	144
	L20	In-House	2023	5nm	GDDR6	48
	L2	In-House	2023	5nm	GDDR6	24
	RTX Pro 6000	In-House	2025	4nm	GDDR7	96
	B30	In-House	2H25F	4nm	HBM3e 8 High	192
AMD	MI200	In-House	2022	6nm	HBM2e 8 High	128
	MI300	In-House	2023	5nm	HBM3 12 High	192
	MI325	In-House	2024	5nm	HBM3e 12 High	288
	MI350/MI355	In-House	2Q25	3nm	HBM3e 12 High	288
	MI400/MI450	In-House	3Q26F	3nm	HBM4 12 High	432
Qualcomm	AI200	In-House	2026	NA	LPDDR5	768
	AI250	In-House	2027	NA	NA	Higher than AI250
Intel	MAX1100	In-House	2023	5nm	HBM2e 8 High	48
	MAX1550	In-House	2023	5nm	HBM2e 8 High	128
Cambricon	MLU370	In-House	2023	7nm	LPDDR5	48GB
	MLU590	In-House	2024-2025	7nm	HBM2e 8 High	80GB
ASICs						
Intel	Gaudi 2	In-House/ Alchip	2022	7nm	HBM2e 8 High	96
	Gaudi 3	In-House/ Alchip	2024	5nm	HBM2e 8 High	128
Google	TPU v3	Broadcom	2018	16nm	HBM2	8/32
	TPU v4	Broadcom	2021	7nm	HBM2	8/32
	TPU v5	Broadcom	2023	5nm	HBM2e 8 High	16/96
	TPU v6e (Trillium)	Broadcom	2024	4nm	HBM3e 8High	32
	TPU v6p (Ironwood/Hammer)	Broadcom	2025	3nm	HBM3e 8High	192
	TPU v7p (Alcate)	Broadcom	2026	3nm	HBM3e	192
	TPU v7e (A5921)	Mediatek	2026	3nm	HBM3e	192
	TPU v8p	Broadcom	2028	2nm	HBM4	288
	TPU v8e	Mediatek	2028	2nm	HBM4	288
AWS	Trainium 1	Alchip	2022	7nm	HBM2e 8 High	32
	Trainium 2	Marvell	2024	5nm	HBM3 8 High	96
	Trainium 2 Ultra	Marvell	2025	5nm	HBM3e 12 High	144
	Trainium 3	Alchip	2026	3nm	HBM3e 12 High	216
	Trainium 4	Alchip, Marvell, Broadcom	2028	2nm	NA	NA
	Inferentia 1	Alchip	2020	7nm	DDR4	8
	Inferentia 2	Marvell	2023	5nm	HBM2e 8 High	32
	Inferentia 2.5	Marvell	2H25F	3nm	HBM3 8 High	48
Meta	MTIA v1	Broadcom	2024	7nm	LPDDR5	128
	MTIA v2	Broadcom	2H25F	5nm	LPDDR5	128
Microsoft	Maia 100	GUC	2024	5nm	HBM2e 8 High	64
	Maia 200	GUC	2026	3nm	HBM3e	NA
	Maia 300	Marvell	2026	3nm	HBM3e	NA
	Maia 400	GUC/Marvell/Mediatek	2027	2nm	HBM4	NA
Huawei	Ascend 910A	Hisilicon	2019	7nm	HBM	32
	Ascend 910B	Hisilicon	2023	7nm	HBM2e 8 High	64
	Ascend 910C	Hisilicon	2025	7nm	HBM3	128
	Ascend 950PR	Hisilicon	1Q26F	5/7nm	HBM2e 8 High	128
	Ascend 950D	Hisilicon	4Q26F	5nm	HBM3	144

Source: Company data, TrendForce, HSBC estimates.

US equity strategy

- ◆ Higher interest rates are a risk, but S&P 500 balance sheets remain resilient even amid AI capex
- ◆ S&P rebounds in August as tech strengthens, driven by rotation back into software, and market breadth narrows.
- ◆ S&P target up to 8,100; earnings still a tailwind

High rates, resilient balance sheets meet the AI capex boom

Nicole Inui*, CFA
 Head of Equity Strategy,
 Americas
 Banco HSBC S.A.
 nicole.inui@hsbc.com
 +55 11 2802 3475

* Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/qualified pursuant to FINRA regulations

This is an extract taken from: [US Equity Strategy – What do higher rates mean for corporates, consumers, and equity markets \(again\)?](#) (27 August 2026).

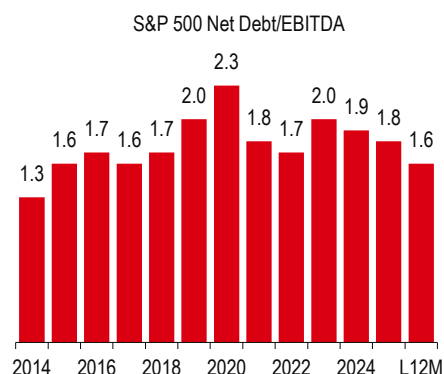
We believe corporate balance sheets for companies trading on the S&P 500 index will stay healthy against a background of higher rates and increased capex. Leverage ratios even with the AI capex spend remain manageable and are forecast to improve as operating earnings outpace debt accumulation. The low share of short-term debt limits the impact of higher refinancing costs as debt rolls over. Finally, credit spreads remain tight by historical standards.

Leverage has improved, but the interest bill is rising

Leverage remains manageable and ratios have improved from recent highs. Aggregate net debt/EBITDA for the S&P 500 stands at 1.6x on an LTM basis, down from 2.0x in 2023 and below the 10-year average. LTM EBITDA margins have widened to 21.2%, a historical high. Interest coverage ratios are at more than 12x, providing S&P 500 companies with a meaningful cushion against higher borrowing costs.

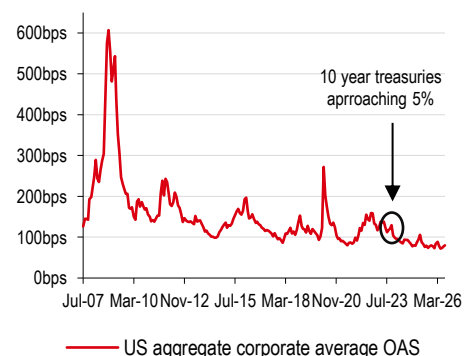
Nonetheless, higher rates are gradually feeding through to financing costs, with net interest expense rising to 3.6% of total debt, but still low by historical standards. Additionally, only 11.2% of aggregate S&P 500 debt is short term (below pre-pandemic levels), so near-term repricing risk is limited, but that insulation will fade as debt matures and low-coupon debt rolls off.

S&P 500 net debt/EBITDA ratios look healthy and...



Source: Factset | Note: excludes financials

...credit spreads still signal little corporate stress



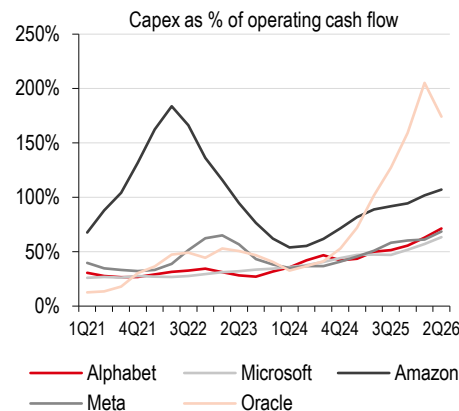
Source: Bloomberg | Note: monthly series

AI is redirecting cash and expanding funding needs

Hyperscalers continue to generate substantial operating cash flow, but a growing proportion is being directed towards AI compute infrastructure. Capex spend, according to consensus, is expected to surpass USD1trn next year. As capex rises, free cash flow conversion has softened. Consensus estimates free cash flow for the hyperscalers in aggregate to turn negative in 2027 but positive again in 2028. With capex demands rising, hyperscalers are increasingly looking to supplement with external funding like bonds, leases, infrastructure partnerships, and other long-term purchase commitments.

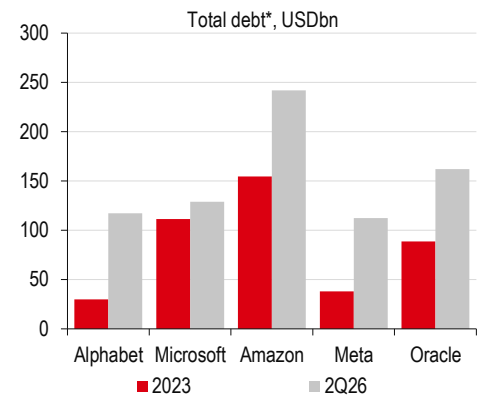
Year to date, hyperscalers issued c10x more in bond proceeds than in the same period last year. Credit markets have absorbed this issuance without showing broader stress.

AI capex is absorbing hyperscaler cash flow...



Source: Factset | Notes: Presented on LTM basis and by calendar quarter

...and debt is increasingly filling the funding gap



Source: Factset | Notes: *includes applicable lease liabilities, by calendar date

Even if hyperscalers finance additional capex needs through the debt market, our analysts estimate net debt to equity levels to range between 8-30% under different scenarios (see [Global Technology: Sustainable CSP capex to support AI trend through FY28e](#), 12 August 2026).

However, conventional debt ratios do not fully capture future lease and infrastructure commitments (see [Global Tech: Cash me if you can: USD1.3trn and more to spend](#), 26 March 2026, for more on off-balance sheet financing).

S&P rebounds in August as tech strengthens

These is an extract taken from: [US Equity Wrap: August 20269 – Rates in focus: software surges](#) (1 September 2026).

The S&P 500 rebounded 2.6% in August, led by energy, IT, and materials. IT moved from July's worst-performing sector to one of August's strongest, while materials also swung sharply higher. Energy's momentum slowed vs July but still finished top of the leaderboard. Healthcare finished strongly as well, continuing its recent rally. In contrast, utilities and industrials lagged, with real estate and consumer sectors also weaker, an overall pattern that points to a selective and uneven recovery across the market.

Software leads the IT sector, contributing to its rebound. The rotation towards software suggests investors are reassessing software's exposure to AI, balancing concerns around cheaper coding and autonomous agents against growing evidence that established platforms may be the trusted container for AI and can monetise adoption rather than be disrupted (see AI Reality Check - Key takeaways from expert call, 23 August 2026). Earnings helped reinforce this narrative, with results and commentary from large platforms supporting confidence in AI-linked revenue opportunities, even as chipmakers faced fresh scrutiny around margins and the durability of hyperscaler capex.

Macro signals were mixed. Labor data surprised to the downside, but unemployment remains low and our economists still characterise conditions as a "low fire" labour market rather than a decisive downturn. Inflation was more encouraging in CPI, but PCE remains above target, keeping the debate around additional tightening alive. Jackson Hole highlighted that policymakers continue to weigh whether further hikes are needed; HSBC views the remaining FOMC meetings this year as "live" for potential action, particularly if inflation prints surprise to the upside. Markets have responded by pricing a higher probability of near-term tightening, even as HSBC still expects policy rates to remain unchanged through 2026-27 (see [Warsh talks tough on inflation](#), 28 August 2026).

Even with rates moving higher, the S&P 500 only dipped modestly, suggesting investors have not abandoned an earnings-led recovery. Q2 earnings growth has again surprised to the upside, margins remain resilient, and earnings revisions are strong. We see earnings as providing a valuation cushion, but higher yields may imply less room for further multiple expansion (see [What do higher rates mean for corporates, consumers, and equity markets \(again\)?](#), 27 August 2026). Looking ahead: Key catalysts are upcoming CPI/PCE releases, shifts in market pricing for FOMC outcomes, and any re-acceleration in yields.

S&P target up to 8,100; earnings still a tailwind

This is an extract taken from: [US Equity Strategy Watch – S&P 500 target up to 8,100; earnings still a tailwind](#), 8 September 2026).

We revise higher our year-end 2026 S&P 500 target to 8,100 as earnings continue to surprise to the upside. Investor concerns on rate hikes, mid-term elections, geopolitical flare ups and liquidity seem overdone. Look out for seasonal weakness, inflation prints and regulatory pressures (social media, data centres) to add to volatility.

Multi-Asset strategy

- ◆ AI demand remains elevated and has accelerated in the US over the summer
- ◆ AI productivity gains are becoming increasingly clear
- ◆ The fundamentals for AI adopters are improving faster reflected in improving revenues and margin expansion

These are extracts from [On Warsh and AI – Multi-Asset Strategy](#) (02 September 2026).

Duncan Toms*, CFA
Multi-Asset Strategist
HSBC Bank plc
duncan.toms@hsbc.com
+44 20 7991 3025

* Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/qualified pursuant to FINRA regulations

Inflation breadth is too high – this was one conclusion from Fed Chair Warsh's Jackson Hole speech. This is something we have been tracking for some time with our inflation heatwaves, which we now adapt to focus on core PCE. While inflation breadth remains higher than in the 2010s, it doesn't look all that different from the 2000s. What's more, we have seen inflation decline on a broad basis since February.

With a September hike c70% priced, upcoming data releases are key. US data have already started disappointing in Q3 (see Transatlantic Trades, 24 Aug). Our US labour and inflation dashboards show a significant loss in momentum. More of this is needed in the next couple of weeks to convince the market the Fed won't hike.

At Jackson Hole, Warsh also spoke about AI and its impact on the economy. In large cap companies we are now seeing the productivity benefits of AI adoption. Companies that have adopted AI in recent years have seen stronger revenue growth, stronger earnings growth, and margins rising faster than companies that have not adopted AI. This goes some way to explaining very strong earnings growth recently, and why equity markets remain relatively unfazed by higher yields.

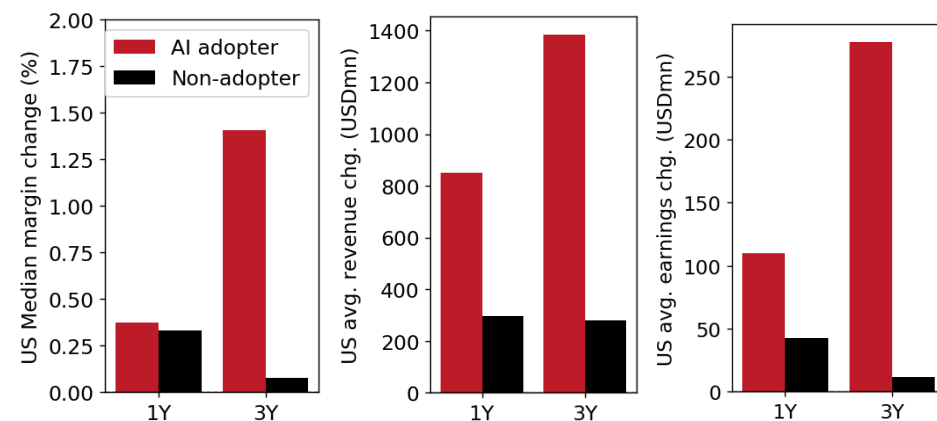
AI demand remains elevated – and has accelerated this summer in the US. Alongside this, we have seen a renewed rise in memory chip prices.

We also think that hyperscalers can start performing well again (see [Change of view: Momo & Goldilocks](#), 31 July 2026). All this plays into our US equity overweight. Return on Equity metrics are expected to rise around major markets in the coming years – which we largely agree with given the tailwind and evidence of AI adoption. Yet the consensus expects US RoEs to wane relative to other regions from 2027. We find this hard to get on board with given (1) the aforementioned stronger evidence of better AI adoption in the US (ex-financials), (2) that the US is still the epicentre of the data centre buildout, (3) strong weights to semiconductors in the US index – particularly vs Europe, and (4) a near fifteen-year structural trend has told us the US generally becomes more profitable with time.

Fundamentals improving faster for AI adopters

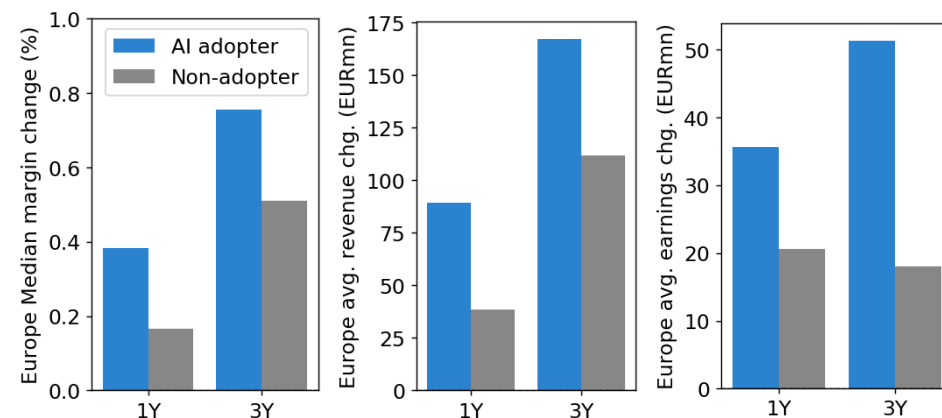
We think the impact of AI adoption is starting to make itself clear. Recent earnings seasons have been phenomenally strong in both the US and Europe with margins inflecting higher (see [Transatlantic Trades](#), 24 August 2026). AI is a factor in this strength. Indeed, fundamentals are all improving faster for AI adopters in the US and Europe vs their non-adopting peers.

AI adopters seeing improving fundamentals in the US...



Source: HSBC, Factset, LSEG-TKRD Note: excludes Financials

...and Europe



Source: HSBC, Factset, LSEG-TKRD Note: excludes Financials

Hyperscalers

Alphabet (Buy)

- ◆ Google Cloud continues to outperform with a broadly in line Services division supporting near-term OCF
- ◆ A further 5% capex hike and earnings call commentary may not assuage market concerns around hyperscaler capex
- ◆ TP USD420 / Buy rating

Paul Rossington*
Senior Global Tech Platforms
Analyst
HSBC Bank plc
paul.rossington@hsbcib.com
+44 20 7991 6734

* Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/qualified pursuant to FINRA regulations

Alphabet vs our key Tech insight: Alphabet is uniquely positioned as the only stock on our coverage list operating a full-stack AI strategy; i.e. data, cloud, in-house silicon and a leading frontier model. Google Search is amongst the best examples of a business that has benefitted from extensive AI integration, the resilience of which has exceeded expectations supported by the introduction of AI Overviews, while Gemini recently surpassed the 1bn MAU mark. In addition, the AI narrative from the 2Q results update, in the absence of a beat, remains strong and unchanged, supported by 1) Google Cloud (GC) revenues and margins once again coming in ahead of expectations; and 2) the Services division remains healthy, supporting the investments required in the near-term. 2026 capex guidance was raised to USD195-205bn (USD180-190bn previously) reflecting component inflation evident at wider sector level. See our last note: [Buy: Q2 – GC performance leaves AI narrative unchanged](#), 23 July 2026.

Google Cloud – AI narrative intact: GC saw an overall +26.4% beat at the operating level versus Visible Alpha consensus, supported by continued margin expansion. On the risks around clients switching to cheaper models, management pointed to strong demand and GC's offering of a range of price/cost effective models (including models released on 22 July). Order backlog grew to USD514bn, with demand noted to be strong and diversified across products, particularly Gemini Enterprise and Agent Development Kit, customers and geographies.

Google Services: This has remained a solid performer and continues to fund the build-out of the GC. Gemini models are improving ads quality, advertiser tools, and AI user experiences, from which Google is driving improvements in showing relevant ads (+20%), reducing costs for marketers and increasing conversion rates (+15%). Regarding the durability of the +17% Search growth, Gemini integration was highlighted as a key driver.

Funding concerns remain: The above demonstrates Alphabet's ability to enact a holistic AI strategy. Funding for capex at GC needs to come from OCF (the primary driver of investment) driven by Google Services, debt and equity issuance thereafter. The lack of meaningful margin beat at Services, a 5% capex guidance hike, and FCF noted to remain "under pressure" will do little to calm market concerns around hyperscaler capex funding. While management are not planning to go back to equity markets 'at this point', they did not rule out further capital raises.

Positive catalyst watch: Enterprise commentary around Gemini take-up, Gemini development speeds, news flow about further external TPU sales, and further subscriber gains.

Negative catalyst watch: Frontier models taking meaningful market share away from Search.

Financials & valuation: Alphabet

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (USDm)				
Revenue	402,836	495,750	614,065	737,522
EBITDA	150,175	211,706	281,258	358,736
Depreciation & amortisation	-21,136	-32,922	-55,558	-87,418
Operating profit/EBIT	129,039	178,784	225,700	271,317
Net interest	3,601	1,603	468	-901
PBT	158,826	316,086	226,053	270,301
HSBC PBT	158,826	316,086	226,053	270,301
Taxation	-26,656	-60,521	-43,282	-51,754
Net profit	132,170	255,565	182,771	218,547
HSBC net profit	132,170	255,565	182,771	218,547
Cash flow summary (USDm)				
Cash flow from operations	164,713	182,078	246,295	323,509
Capex	-91,447	-205,000	-270,000	-300,000
Cash flow from investment	-120,291	-240,224	-270,000	-260,000
Dividends	-10,050	-10,674	-11,182	-11,560
Change in net debt	4,478	-65,880	36,598	-8,855
FCF equity	73,266	-22,922	-23,705	23,509
Balance sheet summary (USDm)				
Intangible fixed assets	33,380	57,828	57,828	57,828
Tangible fixed assets	261,818	435,370	649,812	862,394
Current assets	206,038	350,056	333,679	359,681
Cash & others	126,843	244,341	207,742	213,938
Total assets	595,281	1,030,693	1,240,187	1,490,199
Operating liabilities	123,938	140,531	142,109	145,204
Gross debt	46,547	98,165	98,165	95,505
Net debt	-80,296	-146,176	-109,577	-118,433
Shareholders' funds	415,265	757,873	965,787	1,215,365
Invested capital	250,455	458,382	691,467	920,761

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	15.1	23.1	23.9	20.1
EBITDA	17.6	41.0	32.9	27.5
Operating profit	14.8	38.6	26.2	20.2
PBT	32.6	99.0	-28.5	19.6
HSBC EPS	34.4	90.7	-27.4	21.3
Ratios (%)				
Revenue/IC (x)	1.9	1.4	1.1	0.9
ROIC	50.0	40.8	31.7	27.2
ROE	35.7	43.6	21.2	20.0
ROA	25.4	31.8	16.4	16.2
EBITDA margin	37.3	42.7	45.8	48.6
Operating profit margin	32.0	36.1	36.8	36.8
EBITDA/net interest (x)				397.9
Net debt/equity	-19.3	-19.3	-11.3	-9.7
Net debt/EBITDA (x)	-0.5	-0.7	-0.4	-0.3
CF from operations/net debt				
Per share data (USD)				
EPS Rep (diluted)	10.81	20.61	14.97	18.15
HSBC EPS (diluted)	10.81	20.61	14.97	18.15
DPS	0.84	0.88	0.92	0.97
Book value	34.27	61.88	80.09	102.21

Key forecast drivers

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Revenue - Google services	342,721	383,352	425,164	457,742
Revenue - Google Cloud	58,705	111,001	187,492	278,431
Revenue - Other Bets	1,537	1,471	1,408	1,348
Operating Income - Google services	139,404	170,086	191,696	207,622
Operating Income - Google Cloud	13,910	38,972	66,721	99,083
Operating Income - Other Bets	-7,515	-7,093	-7,219	-7,340

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	9.7	7.6	6.2	5.2
EV/EBITDA	26.0	17.8	13.6	10.6
EV/IC	15.6	8.2	5.5	4.1
PE*	31.3	16.4	22.6	18.6
PB	9.9	5.5	4.2	3.3
FCF yield (%)	1.8	-0.6	-0.6	0.6
Dividend yield (%)	0.2	0.3	0.3	0.3

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2025a
GHG emission intensity*	8.9	No. of board members	10
Energy intensity*	n/a	Average board tenure (years)	16.0
CO ₂ reduction policy	Yes	Female board members (%)	10
Social Indicators		Board members independence (%)	70
12/2024a			
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	Yes		

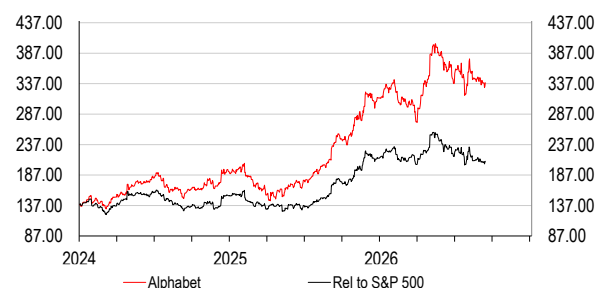
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	338.50	Free float	87%
Target price (USD)	420.00	Sector	It Services
RIC (Equity)	GOOGL.N	Country/Region	United States
Bloomberg (Equity)	GOOGL US	Analyst	Paul Rossington
Market cap (USDm)	4,056,233	Contact	+44 20 7991 6734

Price relative



Source: HSBC

Note: Priced at close of 11 Sep 2026

Amazon (Buy)

- ◆ AWS 2Q sales +37% demonstrates an increasingly well positioned status to benefit from growth in AI and core cloud demand
- ◆ This led to a 2Q OI beat. 3Q guidance was typically cautious, suggesting further upside risk despite incremental LEO costs
- ◆ TP USD310 / Buy rating

Paul Rossington*
Senior Global Tech Platforms
Analyst
HSBC Bank plc
paul.rossington@hsbcib.com
+44 20 7991 6734

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Amazon vs our key Tech insights: Amazon is exposed to several of the key industry drivers considered in this report. In AWS, Amazon operates the largest cloud provider globally by revenue (ARR USD169bn at 2Q results) with a well-articulated capacity rollout, and total compute expected to double to 16GW by the end of 2027, from 8GW at the end of 2025 to support AI lab, enterprise and government contracted demand with a substantial order backlog (USD496bn). We also expect Amazon to benefit from the development of its own in-house silicon program (e.g. Graviton CPU / Trainium GPU), now a USD25bn ARR and growing rapidly. AWS now accounts for 61% of group OI, up from 53% in the same period last year, now comfortably the core driver of group earnings. Amazon is not however exposed to the frontier model race, which differentiates it from other hyperscalers. From a capex perspective, Amazon has not been immune to component inflation and raised capex guidance at the 2Q results to USD220bn (from USD200bn). We now assume cUSD270bn and USD324bn capex for FY27e and FY28e. See our note: [Buy: 2Q revenue and OI beat driven by AWS](#), 31 July 2026.

Delivering on AWS cloud and AI potential: AMZN reported a higher-than-expected acceleration in 2Q sales growth, driven by AWS revenues +37% yoy – the fastest rate of AWS sales growth for 18 quarters – and on the largest cloud revenue base in the sector. This was ahead of consensus expectations of c31% yoy growth, and drove a c2% revenue and c15% GAAP OI beats at the group level. AWS delivered an industry leading 2Q OI margin of 39.3%.

Risk to the upside of cautious 3Q guidance: 3Q net sales guidance is USD197-202bn, or 9.3-12.0% yoy growth. This implies USD199.5bn/ +10.7% growth at the midpoint of the range, and a 2.1% downgrade vs 3Q Visible Alpha consensus of USD203.9bn. The earlier timing of Prime Day has impacted 3Q net sales guidance by c400bps alongside an 80bps headwind from FX across the business. AWS also faces a tougher comparative base ahead. 3Q OI guidance is USD22.5-26.5bn, or +2.7-21.0% yoy vs adj. OI of USD21.9bn in 3Q last year. At the top end of the range this implies a 4.3% beat vs 3Q consensus of USD25.4bn. Given Amazon's track record of beating guidance, we expect 3Q consensus to focus on the top end of the range. Management has also increased FY26 capex guidance to USD220bn (from USD200bn) driven by data centre component inflation.

Positive catalyst watch: Further guidance beats, strong AWS take-up, additional AI lab equity for cloud deals.

Negative catalyst watch: Other cloud providers models taking meaningful market share/LLM cloud compute contract wins away from AWS.

Financials & valuation: Amazon.com

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (USDm)				
Revenue	716,924	830,414	933,934	1,056,367
EBITDA	145,731	206,614	254,957	306,247
Depreciation & amortisation	-65,756	-96,886	-108,964	-123,249
Operating profit/EBIT	79,975	109,728	145,993	182,998
Net interest	2,107	-968	-164	-3,141
PBT	97,311	177,822	145,829	179,857
HSBC PBT	97,311	177,822	145,829	179,857
Taxation	-19,087	-38,337	-31,439	-38,775
Net profit	77,670	139,455	114,360	141,051
HSBC net profit	77,670	139,455	114,360	141,051
Cash flow summary (USDm)				
Cash flow from operations	139,514	185,346	242,930	286,084
Capex	-128,320	-220,000	-270,000	-324,000
Cash flow from investment	-142,545	-267,147	-305,000	-324,000
Dividends	0	0	0	0
Change in net debt	260	86,379	62,642	38,488
FCF equity	9,309	-36,561	-28,977	-39,823
Balance sheet summary (USDm)				
Intangible fixed assets	23,273	23,504	23,504	23,504
Tangible fixed assets	443,079	610,640	771,675	972,427
Current assets	229,083	232,843	171,031	134,603
Cash & others	123,029	103,964	28,877	-22,008
Total assets	818,042	1,151,119	1,285,342	1,449,665
Operating liabilities	253,990	321,855	330,624	340,751
Gross debt	152,987	220,301	207,855	195,459
Net debt	29,958	116,337	178,978	217,466
Shareholders' funds	411,065	608,961	746,862	913,454
Invested capital	318,416	441,167	606,709	811,790

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	12.4	15.8	12.5	13.1
EBITDA	20.1	41.8	23.4	20.1
Operating profit	16.6	37.2	33.0	25.3
PBT	41.8	82.7	-18.0	23.3
HSBC EPS	29.8	76.9	-18.6	22.4
Ratios (%)				
Revenue/IC (x)	2.6	2.2	1.8	1.5
ROIC	23.3	22.7	21.9	20.2
ROE	22.3	27.3	16.9	17.0
ROA	11.1	14.6	9.7	10.6
EBITDA margin	20.3	24.9	27.3	29.0
Operating profit margin	11.2	13.2	15.6	17.3
EBITDA/net interest (x)		213.4	1553.9	97.5
Net debt/equity	7.3	19.1	24.0	23.8
Net debt/EBITDA (x)	0.2	0.6	0.7	0.7
CF from operations/net debt	465.7	159.3	135.7	131.6
Per share data (USD)				
EPS Rep (diluted)	7.17	12.69	10.33	12.64
HSBC EPS (diluted)	7.17	12.69	10.33	12.64
DPS	0.00	0.00	0.00	0.00
Book value	37.80	55.99	68.67	83.99

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	3.9	3.5	3.1	2.8
EV/EBITDA	19.1	13.9	11.5	9.7
EV/IC	8.8	6.5	4.8	3.7
PE*	35.8	20.2	24.9	20.3
PB	6.8	4.6	3.7	3.1
FCF yield (%)	0.3	-1.3	-1.0	-1.4
Dividend yield (%)	0.0	0.0	0.0	0.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2025a
GHG emission intensity*	26.7	No. of board members	12
Energy intensity*	n/a	Average board tenure (years)	n/a
CO ₂ reduction policy	Yes	Female board members (%)	33.3
Social Indicators		Board members independence (%)	83.3
12/2024a			
Employee costs as % of revenues	1.5		
Employee turnover (%)	n/a		
Diversity policy	Yes		

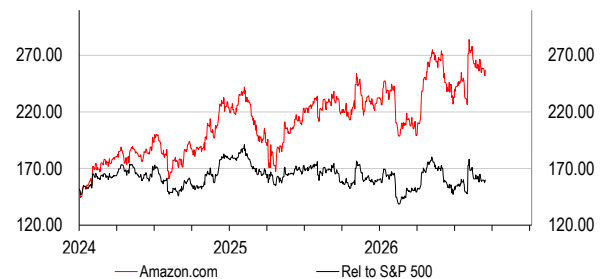
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	256.78	Free float	88%
Target price (USD)	310.00	Sector	Internet & Catalog Retail
RIC (Equity)	AMZN.OQ	Country/Region	United States
Bloomberg (Equity)	AMZN US	Analyst	Paul Rossington
Market cap (USDm)	2,769,710	Contact	+44 20 7991 6734

Price relative



Source: HSBC

Note: Priced at close of 11 Sep 2026

Apple (Buy)

- ◆ Apple is relatively less exposed to our key Tech insights: not part of the Frontier model race, lower capex intensity model but nevertheless active building its own silicon to power its hardware
- ◆ Strong product line-up: Apple just presented iPhone Duo, plus iPhone 18 Pro/Pro Max, new AirPods, and Apple Watch
- ◆ TP USD366 / Buy rating

Nicolas Cote-Colisson*
MD, Head of Global Tech
Platforms
HSBC Continental Europe
nicolas.cote-colisson@hsbcib.com
+44 20 7991 6826

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Apple vs our key Tech insights

Apple is one of the less directly exposed big tech names in this document in our view. Apple doesn't compete in the Frontier models but builds smaller foundation models running locally on its hardware or on its private cloud compute. For some requests, Apple relies on third-party models. Still, its new Siri AI is a conversational assistant that understands personal context and executes tasks across applications. Apple designs its chips for its hardware for better performance. Apple just introduced its M6 and M5 Ultra CPU chips (26 August 2026) to power AI workflows on desktops. Its latest iPhone 18 is powered by its new A20 chip. Apple is not engaged in high capex (c7% of operating cash in 2026): its hardware activity relies on outsourced suppliers and not building frontier models means it has lower compute power needs than other big tech names.

What just happened, the densest product launch ever: as we detailed in Strong line-up, limited price hikes (9 September 2026) Apple's keynote event on 9 September 2026 was rich. Not only do iPhone 18 Pro and Pro Max show significant improvements vs iPhone 17 (camera and battery, in particular), Apple also introduced its first foldable phone, the iPhone Duo.

.No price shock, at least for entry specs: iPhone 18 Pro / Pro Max start at USD1,199 / USD1,299, USD100 more than their 17 equivalents for 256GB. iPhone Duo starts at USD1,999, (at the lower end of our expected USD2,000-2,500 range.).

Apple Intelligence everywhere: We think camera and battery life are the most important triggers for upgrades, and we now expect AI capabilities to also become key. The long-awaited new Siri (see [Strong iPhone demand; AI next on agenda](#), 30 January 2026) is now ready to leverage the powerful products just released (but not yet in the EU).

Maintain Buy rating and USD366 TP: We saw this product release mixing all the ingredients required for a strong upgrade cycle: a new form factor, better camera, better battery life, new unique colours, richer AI experience, and limited price increases. Our TP is based on a target 2027e non-GAAP PE of 33.5x (+2SD above the 10-year average given current product cycle and low EPS volatility) and our FY27e non-GAAP EPS estimate of USD11.22, to which we apply a regulatory risk discount of 2.5% (all unchanged). Downside risks include competition from AI labs with new form factors.

Positive catalyst watch: stronger-than-expected sales of new iPhone Duo form factor.

Negative catalyst watch: We note risks from elevated RAM prices to show up in lower margin.

Financials & valuation: Apple

Buy

Financial statements

Year to	09/2025a	09/2026e	09/2027e	09/2028e
Profit & loss summary (USDm)				
Revenue	416,161	477,640	532,128	569,708
EBITDA	144,748	170,895	192,957	206,930
Depreciation & amortisation	-11,698	-13,631	-15,056	-16,168
Operating profit/EBIT	133,050	157,264	177,901	190,762
Net interest	-321	1,020	400	200
PBT	132,729	158,284	178,301	190,962
HSBC PBT	132,729	158,284	178,301	190,962
Taxation	-20,719	-27,443	-30,311	-32,464
Net profit	112,010	130,841	147,990	158,499
HSBC net profit	112,010	130,841	147,990	158,499
Cash flow summary (USDm)				
Cash flow from operations	111,482	152,795	179,133	190,182
Capex	-12,715	-10,877	-13,303	-14,243
Cash flow from investment	13,440	32,667	-13,303	-14,243
Dividends	-15,421	-16,162	-15,620	-17,536
Change in net debt	16,258	-27,051	-44,209	-52,403
FCF equity	98,767	141,918	165,829	175,939
Balance sheet summary (USDm)				
Intangible fixed assets	8,038	26,231	26,231	26,231
Tangible fixed assets	49,834	51,851	50,099	48,174
Current assets	147,957	148,649	193,369	246,189
Cash & others	54,697	68,040	112,249	164,652
Total assets	359,241	382,517	425,485	476,380
Operating liabilities	186,851	191,402	191,402	191,402
Gross debt	98,657	84,344	84,344	84,344
Net debt	-33,763	-60,814	-105,023	-157,426
Shareholders' funds	73,733	114,412	157,277	209,729
Invested capital	117,693	123,076	121,834	120,326

Ratio, growth and per share analysis

Year to	09/2025a	09/2026e	09/2027e	09/2028e
Y-o-y % change				
Revenue	6.4	14.8	11.4	7.1
EBITDA	7.5	18.1	12.9	7.2
Operating profit	8.0	18.2	13.1	7.2
PBT	7.5	19.3	12.6	7.1
HSBC EPS	22.7	19.0	15.3	9.2
Ratios (%)				
Revenue/IC (x)	3.9	4.0	4.3	4.7
ROIC	103.9	108.0	120.6	130.8
ROE	171.4	139.1	108.9	86.4
ROA	31.0	35.1	36.5	35.1
EBITDA margin	34.8	35.8	36.3	36.3
Operating profit margin	32.0	32.9	33.4	33.5
EBITDA/net interest (x)	450.9			
Net debt/equity	-45.8	-53.2	-66.8	-75.1
Net debt/EBITDA (x)	-0.2	-0.4	-0.5	-0.8
CF from operations/net debt				
Per share data (USD)				
EPS Rep (diluted)	7.46	8.89	10.25	11.19
HSBC EPS (diluted)	7.46	8.89	10.25	11.19
DPS	1.04	1.09	1.15	1.24
Book value	4.93	7.80	10.94	14.87

Key forecast drivers

Year to	09/2025a	09/2026e	09/2027e	09/2028e
Products revenues (USDm)	307,003	354,287	389,956	411,374
Services revenues (USDm)	109,158	123,353	142,172	158,334
Gross Profit	195,201	232,872	259,055	278,681
Gross margins (%)	46.9	48.8	48.7	48.9
Net cash (including LT marketable securities)	33,763	60,814	105,023	157,426
Non-GAAP EPS	8.19	9.67	11.20	12.21

Valuation data

Year to	09/2025a	09/2026e	09/2027e	09/2028e
EV/sales	11.2	9.7	8.6	8.0
EV/EBITDA	32.2	27.1	23.8	21.9
EV/IC	39.6	37.6	37.7	37.7
PE*	44.5	37.4	32.4	29.7
PB	67.4	42.6	30.4	22.3
FCF yield (%)	2.0	2.9	3.4	3.6
Dividend yield (%)	0.3	0.3	0.3	0.4

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	09/2025a	Governance Indicators	09/2025a
GHG emission intensity*	3.0	No. of board members	8
Energy intensity*	10.0	Average board tenure (years)	11.7
CO ₂ reduction policy	Yes	Female board members (%)	50
Social Indicators		Board members independence (%)	87.5
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	Yes		

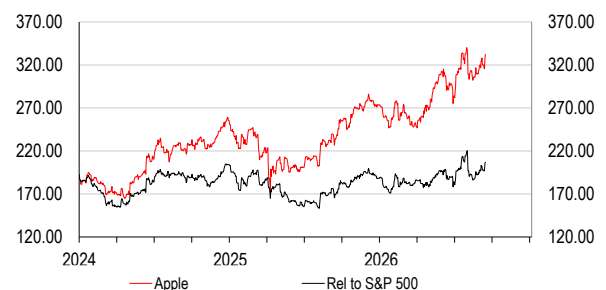
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	332.27	Free float	100%
Target price (USD)	366.00	Sector	Computers & Peripherals
RIC (Equity)	AAPL.O	Country/Region	United States
Bloomberg (Equity)	AAPL US	Analyst	Nicolas Cote-Colisson
Market cap (USDm)	4,849,209	Contact	+44 20 7991 6826

Price relative



Source: HSBC

Note: 11 Sep 2026

CoreWeave (Reduce)

- ◆ 2Q26 non-GAAP EBIT dipped 36% y-o-y to USD128m, but was almost twice company guidance and our estimate, on a low base
- ◆ We increase 2028-30e non-GAAP EPS estimates by 10-29%, while modelling higher losses in 2027e on higher interest costs
- ◆ TP USD39 / Reduce rating. Apart from stretched valuation, we flag significant downside risk to consensus

Abhishek Shukla*, CFA
Senior Analyst, Technology
HSBC Bank Middle East Limited,
DIFC
abhishek2.shukla@hsbc.com
+971 4 5093343

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Better than conservative expectations: Non-GAAP operating margin came in at 5.0% vs our expectations of 2.2%. We do not read too much into the beat as estimates were cut following company guidance last quarter and were already modelling long-term non-GAAP operating margins of 16-18% (company guidance is c25%). CoreWeave increased 2026 non-GAAP operating profit guidance to USD1,055m at the mid-point (from USD1,000m), ahead of pre-results consensus and our estimate. The company also increased its 2026 capex guidance to USD37bn (from USD33bn). Apart from the better-than-expected non-GAAP EBITDA margin, annualised depreciation as a % of average gross PP&E dipped to 15.5% in 2Q26.

Margins should improve but management guidance seems optimistic: We expect asset turnover to improve to 33% in the long run vs 29.2% in 1H26 on better utilisation of data centres and to reflect some of the recent better-priced deals. CoreWeave increased prices by 25% across SKUs in July 2026, of which we estimate 10-15ppts likely reflect the higher component costs while the rest of the increase could improve asset turnover by c330bp and non-GAAP operating margins by c550bp on new deals. We model long-term non-GAAP operating margins at c16%, above the 4Q25-2Q26 average of 3.9%, but well below management's guidance for the long-term of 25% (see page 7 in [CoreWeave: Better than conservative expectations](#) for our rationale).

Downside risk to consensus: Our 2028-30e non-GAAP EPS estimates are 64%-76% below consensus, as consensus assumes much higher non-GAAP operating margins and significant reduction in interest rates, which we consider optimistic. Our 2026-30e non-GAAP EPS estimates are more than 80% below consensus (on a low base), primarily as consensus assumes much higher non-GAAP operating margins, which we consider unreasonable.

Expensive valuation: On our estimates, CoreWeave trades at 2030e EV/non-GAAP EBIT after share-based compensation of 16.5x vs hyperscalers at 8-12x. If we include the favourable impact of customer advances and negative working capital, we estimate CoreWeave earns an average 2026-30e ROIC of 8.9%, below its cost of borrowing. The more the company invests with this return profile, the more the value destruction, in our opinion.

Positive catalyst watch: Significant progress in monetising the software stack or significant improvement in margins in new contracts it is signing.

Negative catalyst watch: Failure to improve its margins from the current depressed levels or higher-than-expected borrowing costs.

Financials & valuation: CoreWeave Inc

Reduce

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (USDm)				
Revenue	5,131	12,972	28,626	43,346
EBITDA	2,409	6,914	16,733	26,455
Depreciation & amortisation	-2,454	-6,637	-13,888	-21,145
Operating profit/EBIT	-45	277	2,844	5,311
Net interest	-1,229	-3,114	-5,573	-6,653
PBT	-1,215	-2,560	-2,657	-1,195
HSBC PBT	-501	-1,853	-1,289	655
Taxation	48	-293	505	227
Net profit	-1,167	-2,853	-2,152	-968
HSBC net profit	-606	-2,143	-1,044	530
Cash flow summary (USDm)				
Cash flow from operations	3,058	11,658	24,327	35,366
Capex	-10,309	-40,664	-44,286	-46,793
Cash flow from investment	-10,163	-41,421	-44,286	-46,793
Dividends	0	0	0	0
Change in net debt	11,311	29,458	19,959	11,427
FCF equity	-7,251	-29,006	-19,959	-11,427
Balance sheet summary (USDm)				
Intangible fixed assets	1,336	1,346	1,346	1,346
Tangible fixed assets	40,294	96,347	142,644	180,212
Current assets	7,672	10,442	11,894	17,396
Cash & others	4,164	5,219	2,772	4,596
Total assets	49,302	108,135	155,884	198,954
Operating liabilities	24,339	51,983	83,004	111,941
Gross debt	21,628	52,141	69,653	82,905
Net debt	17,464	46,922	66,882	78,309
Shareholders' funds	3,335	4,011	3,227	4,109
Invested capital	11,423	33,771	55,908	67,576

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	167.9	152.8	120.7	51.4
EBITDA	102.8	187.0	142.0	58.1
Operating profit	-114.0		927.8	86.7
PBT				
HSBC EPS				
Ratios (%)				
Revenue/IC (x)	0.7	0.6	0.6	0.7
ROIC	8.2	5.4	7.6	9.4
ROE	-26.1	-58.4	-28.8	14.5
ROA	0.0	0.8	1.8	2.5
EBITDA margin	46.9	53.3	58.5	61.0
Operating profit margin	-0.9	2.1	9.9	12.3
EBITDA/net interest (x)	2.0	2.2	3.0	4.0
Net debt/equity	523.7	1169.9	2072.6	1905.9
Net debt/EBITDA (x)	7.2	6.8	4.0	3.0
CF from operations/net debt	17.5	24.8	36.4	45.2
Per share data (USD)				
EPS Rep (diluted)	-2.68	-5.23	-3.91	-1.76
HSBC EPS (diluted)	-1.39	-3.93	-1.89	0.96
DPS	0.00	0.00	0.00	0.00
Book value	6.54	7.28	5.86	7.46

Key forecast drivers

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Revenue growth	168	153	121	51
Non-GAAP gross margin	72	67	69	70
Non-GAAP EBITDA margin	61	60	63	65
Non-GAAP operating margin	13	8	15	17
Capex	-10,309	-40,664	-44,286	-46,793

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	10.5	7.3	4.0	2.9
EV/EBITDA	22.3	13.7	6.9	4.8
EV/IC	4.7	2.8	2.1	1.9
PE*	nm	nm	nm	92.5
PB	13.6	12.2	15.2	11.9
FCF yield (%)	-14.1	-56.5	-38.9	-22.3
Dividend yield (%)	0.0	0.0	0.0	0.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2025a
GHG emission intensity*	n/a	No. of board members	6
Energy intensity*	n/a	Average board tenure (years)	n/a
CO ₂ reduction policy	No	Female board members (%)	33.3
Social Indicators		Board members independence (%)	66.7
12/2024a			
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	n/a		

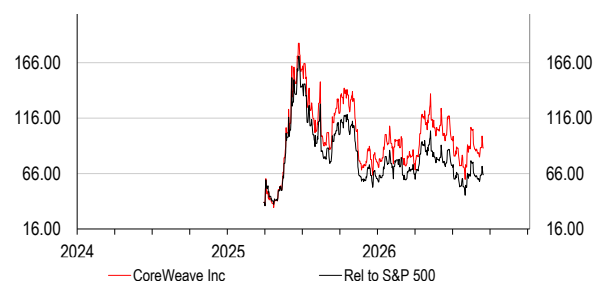
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	88.99	Free float	59%
Target price (USD)	39.00	Sector	Software
RIC (Equity)	CRWV.N	Country/Region	United States
Bloomberg (Equity)	CRWV US	Analyst	Abhishek Shukla, CFA
Market cap (USDm)	51,345	Contact	+971 4 5093343

Price relative



Source: HSBC

Note: Priced at close of 11 Sep 2026

Meta Platforms (Buy)

- ◆ Meta is fully exposed to our key Tech insights: capex is rising to compete in frontier models and agents and to develop chips
- ◆ Meta recently reached a USD18bn agreement with a large bipartisan group of attorneys general in the US on teens' online protection
- ◆ TP USD830 / Buy rating

Nicolas Cote-Colisson*
MD, Head of Global Tech
Platforms
HSBC Continental Europe
nicolas.cote-colisson@hsbcib.com
+44 20 7991 6826

* Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/qualified pursuant to FINRA regulations

Meta vs our key Tech insights

Meta is multi exposed to what we consider are the most important industry drivers: its latest Frontier model Muse Spark 1.3 was launched on 2 September followed by its Muse private personal agent on 9 September. We believe Meta's LLM products combined with their extensive user base and first party data can claim an important role in Western markets. We expect Meta to spend USD141bn in capex in 2026, double what it spent in 2025. Capex budget would increase to USD176bn and USD185bn in 2027/28e (consensus: USD199/218bn). Meta also works on its custom-built chip family MTIA (Meta Training and Inference Accelerator) co-developed with Broadcom. This can support better performance and lower cost of ownership. 99% of Meta's revenue is advertising: building a top algorithm and keeping users engaged across its products is vital to keep attracting adverts especially as OpenAI is expanding its advertising platform outside the US.

A key legal settlement in the US but some pending cases remain

As explained in [Buy: A key legal settlement in the US](#) (27 August 2026), Meta announced in August 2026 a landmark agreement with a bipartisan group of 52 attorneys general in the US to resolve lawsuits claiming its Facebook and Instagram used addictive features that affected youth mental health. The agreement includes the payment of a settlement of up to cUSD18bn as well as changes to Meta's default teen settings (such as night mode, daily time limit, hidden likes, etc) and stricter parental controls. The decision also includes a settlement of a long-standing litigation in the Cambridge Analytica data case. The payment will be split 70/30%: cUSD12.7bn over 10 annual payments and cUSD5.3bn contingent on YouTube and TikTok implementing similar age-based measures and matching Meta's USD5.3bn tranche. Meta has guided for an accrued legal expense of USD10bn in Q3 26. We calculate that the other 30% could represent a future accrued charge of USD4.3bn. From an operational standpoint, we estimate that the daily time limits for teens are there to prevent extreme behaviour given teens' average usage is well below that threshold. Meta also indicated that teen-related advertising revenue was less than 1% of its total revenue. There are some significant pending cases in the US and in the rest of the world. As global pressure continues, we continue to include a 5% regulatory risk discount in our valuation, equivalent to USD110bn or cUSD43/share.

Positive catalyst watch: Continued growth in core digital advertising revenue growth; successful take-up of Meta glasses.

Negative catalyst watch: Further increases in AI investments leading to lower-than-expected medium-term returns; Meta's LLM lagging behind competition.

Financials & valuation: Meta Platforms

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (USDm)				
Revenue	200,965	253,410	305,593	355,879
EBITDA	101,892	106,638	153,218	188,442
Depreciation & amortisation	-18,616	-29,332	-47,046	-64,149
Operating profit/EBIT	83,276	77,307	106,172	124,293
Net interest	2,657	-1,139	0	0
PBT	85,933	76,168	106,172	124,293
HSBC PBT	85,933	76,168	106,172	124,293
Taxation	-25,475	-3,593	-14,864	-17,401
Net profit	60,458	72,575	91,308	106,892
HSBC net profit	60,458	72,575	91,308	106,892
Cash flow summary (USDm)				
Cash flow from operations	115,800	129,194	174,347	210,246
Capex	-72,215	-140,875	-176,000	-185,000
Cash flow from investment	-104,527	-173,781	-177,350	-186,350
Dividends	-5,324	-5,242	-5,161	-5,248
Change in net debt	26,141	50,962	24,687	-519
FCF equity	41,061	-14,785	-4,757	22,142
Balance sheet summary (USDm)				
Intangible fixed assets	24,534	23,406	23,406	23,406
Tangible fixed assets	232,765	372,743	503,047	625,248
Current assets	108,722	88,646	59,391	55,342
Cash & others	81,592	55,550	30,863	31,382
Total assets	366,021	484,795	585,844	703,996
Operating liabilities	64,776	82,308	80,687	79,066
Gross debt	58,744	83,664	83,664	83,664
Net debt	-22,848	28,114	52,801	52,282
Shareholders' funds	217,243	296,810	399,480	519,253
Invested capital	219,653	346,937	474,294	593,548

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	22.2	26.1	20.6	16.5
EBITDA	20.0	4.7	43.7	23.0
Operating profit	20.0	-7.2	37.3	17.1
PBT	21.6	-11.4	39.4	17.1
HSBC EPS	-1.5	20.4	23.9	15.1
Ratios (%)				
Revenue/IC (x)	1.1	0.9	0.7	0.7
ROIC	32.0	26.0	22.2	20.0
ROE	30.2	28.2	26.2	23.3
ROA	18.8	17.1	17.1	16.6
EBITDA margin	50.7	42.1	50.1	53.0
Operating profit margin	41.4	30.5	34.7	34.9
EBITDA/net interest (x)		93.6		
Net debt/equity	-10.5	9.5	13.2	10.1
Net debt/EBITDA (x)	-0.2	0.3	0.3	0.3
CF from operations/net debt		459.5	330.2	402.1
Per share data (USD)				
EPS Rep (diluted)	23.49	28.29	35.05	40.35
HSBC EPS (diluted)	23.49	28.29	35.05	40.35
DPS	2.00	2.00	2.00	2.00
Book value	86.17	116.82	154.81	197.88

Key forecast drivers

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Family Daily Active People (DAP) - m	3,580	3,700	3,813	3,922
Family ARPP	57.0	69.4	80.5	91.0
Advertising Revenue (USDm)	196,174	247,178	297,096	344,752
Global advertising mkt share (%)	19.5	22.6	25.3	27.3
Digital advertising market share (%)	25.9	29.4	32.2	34.4
Non-GAAP EPS (diluted)	29.07	42.31	45.96	52.13

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	8.1	6.6	5.6	4.8
EV/EBITDA	16.0	15.7	11.1	9.0
EV/IC	7.4	4.8	3.6	2.9
PE*	27.6	22.9	18.5	16.1
PB	7.5	5.5	4.2	3.3
FCF yield (%)	2.5	-0.9	-0.3	1.3
Dividend yield (%)	0.3	0.3	0.3	0.3

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2024a
GHG emission intensity*	36.6	No. of board members	13
Energy intensity*	113.3	Average board tenure (years)	5.2
CO ₂ reduction policy	Yes	Female board members (%)	23.1
Social Indicators		Board members independence (%)	92.3
12/2024a			
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	Yes		

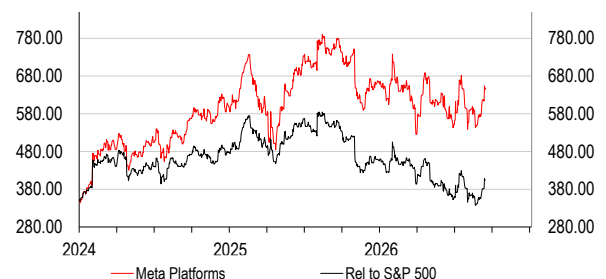
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	648.03	Free float	99%
Target price (USD)	830.00	Sector	Internet Software & Services
RIC (Equity)	META.O	Country/Region	United States
Bloomberg (Equity)	META US	Analyst	Nicolas Cote-Colisson
Market cap (USDm)	1,651,264	Contact	+44 20 7991 6826

Price relative



Source: HSBC

Note: Priced at close of 11 Sep 2026

Microsoft (Buy)

- ◆ Strong 4QFY26 results demonstrate that Microsoft is a key player as AI diffuses across its vast global customer base
- ◆ Strong Azure and Copilot results as momentum is increasing. We expect FY25-30e non-GAAP EPS CAGR of 20.1% driven by Azure
- ◆ TP USD595 / Buy rating

Stephen Bersey
Head of US Technology Research
HSBC Securities (USA) Inc.
stephen.bersey@us.hsbc.com
+1 212 525 4153

The following is an extract from our note: [Buy: Two-pronged AI monetisation is delivering](#), 31 July 2026.

Strong 4QFY26 results: Revenue came in at USD90,007m, growing 17.7% y-o-y, and was above HSBC (USD89,314m) and consensus (USD 87,705m) estimates. Non-GAAP operating margin came in at 45.11%, expanding 0.21pp y-o-y and was above HSBC (44.88%) and consensus (44.44%) estimates. Non-GAAP EPS was strong, coming in at USD4.74, up 29.9% y-o-y and above HSBC (USD4.39) and consensus (USD4.26) estimates. The % beat on non-GAAP EPS is bigger than on non-GAAP operating profit due to higher-than-expected other income. 1QFY27 non-GAAP operating profit guidance of USD43,850m is above pre-results consensus of USD42,704m, but slightly below the pre-results HSBC estimate of USD44,299m.

Strong performance from Azure: 4QFY26 Azure growth came in at 43% y-o-y (constant currency), well ahead of the previous company guidance of 39-40% growth. Notably, Microsoft expects Azure growth to accelerate to 45% y-o-y (cc) in 1QFY27, and we expect Azure growth to remain in the mid-40% range through 2028e. We expect capex of USD228bn and USD251bn in FY27e and FY28e, respectively, to support growing market demand, which continues to outperform our expectations. We estimate Microsoft will continue to earn a healthy 13-15% pre-tax ROIC on its cloud capex and see the potential for improvement as the inference mix improves.

FCF to bottom in FY27e: Microsoft cosmetically cut its 2HCY26 implied capex guidance by 12% to USD107bn due to accounting changes, while leaving the underlying guidance unchanged. This could be seen as a positive by the market after Google and Meta both raised capex guidance. Microsoft expects capex to rise further in FY27 but expects its FCF to remain positive.

Signs of improving direct AI monetisation: Microsoft 365 CoPilot users increased to 30m in 4QFY26 from 20m in 3QFY26 (2QFY26: 15m). We estimate Microsoft could be earning USD6.4bn ARR from CoPilot users. Despite the q-o-q surge, CoPilot users account for only c5% of total M365 subscribers, suggesting a long runway of growth. We think investors have focused on a lack of CoPilot traction in the past and that recent CoPilot momentum is a strong near-term positive for the stock.

Positive catalyst watch: There could be upside risk to our TP if Microsoft makes better-than-expected progress in monetising AI or improves ROIC on its cloud infrastructure investments.

Negative catalyst watch: There could be downside risk to our TP if Microsoft sees a deterioration in ROIC on its cloud infrastructure investments or market concerns about AI replacing software become more entrenched.

Financials & valuation: Microsoft

Buy

Financial statements

Year to	06/2026a	06/2027e	06/2028e	06/2029e
Profit & loss summary (USDm)				
Revenue	331,839	402,719	501,990	610,007
EBITDA	193,771	246,340	314,930	392,492
Depreciation & amortisation	-38,534	-56,154	-83,062	-113,684
Operating profit/EBIT	155,237	190,186	231,868	278,809
Net interest	0	0	0	0
PBT	165,934	185,098	225,309	272,306
HSBC PBT	159,404	190,698	231,309	278,306
Taxation	-32,185	-37,020	-42,809	-51,738
Net profit	133,749	148,079	182,500	220,568
HSBC net profit	128,786	152,559	187,360	222,645
Cash flow summary (USDm)				
Cash flow from operations	182,935	233,103	302,110	375,320
Capex	-115,948	-228,000	-250,800	-288,420
Cash flow from investment	-139,500	-228,000	-250,800	-288,420
Dividends	-26,445	-29,031	-31,992	-35,335
Change in net debt	14,865	42,928	-9,318	-41,564
FCF equity	66,987	5,103	51,310	86,900
Balance sheet summary (USDm)				
Intangible fixed assets	138,260	138,260	138,260	138,260
Tangible fixed assets	412,406	606,485	798,741	998,676
Current assets	207,710	207,008	267,327	336,366
Cash & others	76,843	45,915	67,233	96,798
Total assets	758,376	951,753	1,204,328	1,473,303
Operating liabilities	275,695	340,916	420,902	502,244
Gross debt	40,294	52,294	64,294	52,294
Net debt	-36,549	6,379	-2,939	-44,504
Shareholders' funds	442,387	558,543	719,132	918,765
Invested capital	405,838	564,922	716,192	874,261

Ratio, growth and per share analysis

Year to	06/2026a	06/2027e	06/2028e	06/2029e
Y-o-y % change				
Revenue	17.8	21.4	24.7	21.5
EBITDA	19.1	27.1	27.8	24.6
Operating profit	20.8	22.5	21.9	20.2
PBT	34.2	11.5	21.7	20.9
HSBC EPS	24.2	18.7	22.6	18.3
Ratios (%)				
Revenue/IC (x)	1.0	0.8	0.8	0.8
ROIC	35.9	31.3	29.3	28.4
ROE	32.8	30.5	29.3	27.2
ROA	19.4	17.3	16.9	16.5
EBITDA margin	58.4	61.2	62.7	64.3
Operating profit margin	46.8	47.2	46.2	45.7
EBITDA/net interest (x)				
Net debt/equity	-8.3	1.1	-0.4	-4.8
Net debt/EBITDA (x)	-0.2	0.0	-0.0	-0.1
CF from operations/net debt		3654.5		
Per share data (USD)				
EPS Rep (diluted)	17.94	19.91	24.50	29.49
HSBC EPS (diluted)	17.28	20.51	25.15	29.76
DPS	3.55	3.90	4.29	4.72
Book value	59.35	75.10	96.53	122.82

Key forecast drivers

Year to	06/2026a	06/2027e	06/2028e	06/2029e
Revenue growth, yoy, %	17.8	21.4	24.7	21.5
HSBC EPS growth, yoy, %	24.1	18.7	22.6	18.3
Gross margin, %	67.9	67.3	66.3	65.3
Operating margin, %	46.8	47.2	46.2	45.7

Valuation data

Year to	06/2026a	06/2027e	06/2028e	06/2029e
EV/sales	11.0	9.2	7.3	6.0
EV/EBITDA	18.8	15.0	11.7	9.3
EV/IC	9.0	6.5	5.1	4.2
PE*	28.7	24.2	19.7	16.7
PB	8.4	6.6	5.1	4.0
FCF yield (%)	1.8	0.1	1.4	2.4
Dividend yield (%)	0.7	0.8	0.9	1.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	06/2026a	Governance Indicators	06/2026a
GHG emission intensity*	n/a	No. of board members	12
Energy intensity*	n/a	Average board tenure (years)	n/a
CO ₂ reduction policy	Yes	Female board members (%)	41.7
Social Indicators		Board members independence (%)	91.7
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	Yes		

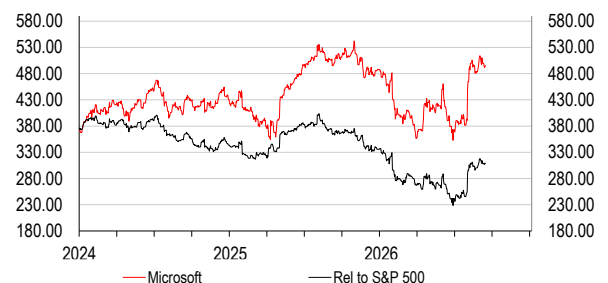
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	495.63	Free float	100%
Target price (USD)	595.00	Sector	Software
RIC (Equity)	MSFT.O	Country/Region	United States
Bloomberg (Equity)	MSFT US	Analyst	Stephen Bersey
Market cap (USDm)	3,680,322	Contact	+1 212 525 4153

Price relative



Source: HSBC

Note: Priced at close of 11 Sep 2026

Oracle (Buy)

- ◆ 1QFY27 non-GAAP EPS came in 14% above HSBCe. FY27 guidance came in-line with pre-results estimates
- ◆ We expect FY26-30e non-GAAP organic EPS CAGR at 27.5% driven by 76.5x revenue CAGR at OCI
- ◆ TP USD316 / Buy rating. CY27e non-GAAP PE of 16.4x at a discount to 20.3x sector median, despite faster growth at Oracle

Stephen Bersey
Head of US Technology Research
HSBC Securities (USA) Inc.
stephen.bersey@us.hsbc.com
+1 212 525 4153

1QFY27 results above expectations: Revenue came in at USD19,345m, up 29.6% y-o-y and above HSBC and in-line with consensus estimates. Non-GAAP gross margin dipped 769bp y-o-y to 61.0%, due to a rising share of cloud IaaS in the mix. However, this was more than offset by a sharp reduction in operating costs, with non-GAAP operating margin actually rising 36bp to 42.1%. Non-GAAP EPS came in at USD1.95, up 32.2% y-o-y and above HSBC (USD1.66) and consensus (USD1.74) estimates. Apart from higher than expected non-GAAP operating profit, better than expected other income and a lower than expected tax rate helped the beat.

Guidance: The company increased its FY27 revenue guidance to more than USD90bn (from USD90bn, pre-results consensus USD89,359m) and non-GAAP EPS guidance to USD8.10 (from USD8.05, pre-results consensus USD8.05).

Customers and suppliers partially funding the build out: During 1QFY27 Oracle received USD15,360m of customer advances including USD11,363m “with significant financing component”. As Oracle spent USD28,499m on capex in 1QFY27, customers financed more than half of the capex required, and net debt actually dipped to USD88,260 in 1QFY27 from USD97,647m in 4QFY26.

OCI fuels strong revenue growth: Overall revenue rose 29.6% y-o-y largely driven by Oracle Cloud Infrastructure (OCI), whose revenue rose 150% y-o-y to cUSD6.5bn (4QFY26: +109%). The remainder of the segment revenue rose 4.1% y-o-y (4QFY26: 5.1%).

A welcome rise in asset turnover: Revenue/average gross PP&E including leased assets rose to 24.0% in 1QFY27 (4QFY26: 22.9%). 2QFY27 revenue guidance suggests a further increase in asset turnover to about 26%, the highest in several quarters and marks an encouraging trend.

Positive catalyst watch: upside risks include Oracle making better-than-expected progress in monetising AI or improving ROIC on its cloud infrastructure investments or providing better clarity on how customer advances could help reduce debt requirements for Oracle Cloud Infrastructure.

Negative catalyst watch: downside risk to our TP could arise from a deterioration in ROIC on its cloud infrastructure, more debt/capex than we currently expect or if market concerns about AI replacing software become more entrenched.

Financials & valuation: Oracle Inc

Buy

Financial statements

Year to	05/2026a	05/2027e	05/2028e	05/2029e
Profit & loss summary (USDm)				
Revenue	67,358	90,702	124,167	167,963
EBITDA	29,899	48,732	72,622	101,062
Depreciation & amortisation	-9,294	-17,236	-30,774	-46,205
Operating profit/EBIT	20,605	31,496	41,849	54,856
Net interest	-4,598	-6,842	-10,077	-8,398
PBT	19,555	24,991	31,812	46,499
HSBC PBT	27,875	30,939	38,908	55,213
Taxation	-2,468	-4,336	-5,726	-8,370
Net profit	17,087	20,655	26,086	38,129
HSBC net profit	22,235	25,203	31,583	45,034
Cash flow summary (USDm)				
Cash flow from operations	31,977	69,044	79,713	92,479
Capex	-55,663	-98,499	-120,000	-100,000
Cash flow from investment	-51,854	-98,580	-120,000	-100,000
Dividends	-5,787	-6,368	-6,460	-6,527
Change in net debt	16,282	19,631	46,847	14,148
FCF equity	-23,686	-29,455	-40,287	-7,521
Balance sheet summary (USDm)				
Intangible fixed assets	62,261	62,267	62,267	62,267
Tangible fixed assets	152,931	256,402	370,892	444,827
Current assets	46,567	51,584	72,948	83,569
Cash & others	31,894	28,059	41,213	42,065
Total assets	261,759	370,252	506,107	590,663
Operating liabilities	84,570	117,510	155,412	190,308
Gross debt	129,541	145,337	205,337	220,337
Net debt	97,647	117,278	164,124	178,272
Shareholders' funds	43,056	81,689	106,352	143,859
Invested capital	145,295	224,683	309,482	358,290

Ratio, growth and per share analysis

Year to	05/2026a	05/2027e	05/2028e	05/2029e
Y-o-y % change				
Revenue	17.4	34.7	36.9	35.3
EBITDA	25.4	63.0	49.0	39.2
Operating profit	16.6	52.9	32.9	31.1
PBT	38.1	27.8	27.3	46.2
HSBC EPS	26.5	8.6	23.7	41.1
Ratios (%)				
Revenue/IC (x)	0.5	0.5	0.5	0.5
ROIC	14.5	14.1	12.8	13.5
ROE	69.5	40.4	33.6	36.0
ROA	9.8	8.3	7.8	8.2
EBITDA margin	44.4	53.7	58.5	60.2
Operating profit margin	30.6	34.7	33.7	32.7
EBITDA/net interest (x)	6.5	7.1	7.2	12.0
Net debt/equity	226.8	143.6	154.3	123.9
Net debt/EBITDA (x)	3.3	2.4	2.3	1.8
CF from operations/net debt	32.7	58.9	48.6	51.9
Per share data (USD)				
EPS Rep (diluted)	5.86	6.79	8.47	12.25
HSBC EPS (diluted)	7.63	8.29	10.25	14.47
DPS	1.60	1.60	1.60	2.10
Book value	14.77	26.86	34.52	46.21

Key forecast drivers

Year to	05/2026a	05/2027e	05/2028e	05/2029e
Revenue growth, yoy, %	17.4	34.7	36.9	35.3
EPS growth (non-GAAP), yoy, %	26.5	8.6	23.7	41.1
Gross margin (non-GAAP), %	67.1	60.3	55.1	50.5
Operating margin (non-GAAP), %	42.9	41.3	39.4	37.8

Valuation data

Year to	05/2026a	05/2027e	05/2028e	05/2029e
EV/sales	8.2	6.3	5.0	3.8
EV/EBITDA	18.5	11.7	8.5	6.3
EV/IC	3.8	2.5	2.0	1.8
PE*	19.7	18.1	14.7	10.4
PB	10.2	5.6	4.4	3.3
FCF yield (%)	-5.2	-6.5	-8.9	-1.7
Dividend yield (%)	1.1	1.1	1.1	1.4

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	05/2025a	Governance Indicators	05/2026a
GHG emission intensity*	n/a	No. of board members	15
Energy intensity*	n/a	Average board tenure (years)	n/a
CO ₂ reduction policy	Yes	Female board members (%)	33.3
Social Indicators		Board members independence (%)	66.7
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	Yes		

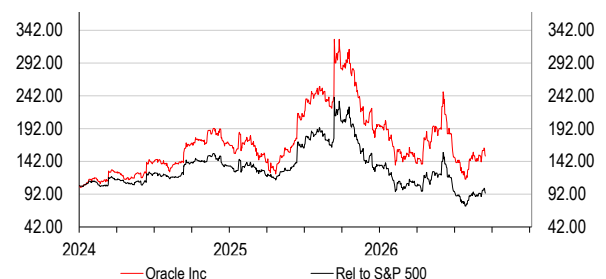
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	150.28	Free float	58%
Target price (USD)	316.00	Sector	Software
RIC (Equity)	ORCL.OQ	Country/Region	United States
Bloomberg (Equity)	ORCL US	Analyst	Stephen Bersey
Market cap (USDm)	454,407	Contact	+1 212 525 4153

Price relative



Source: HSBC

Note: Priced at close of 11 Sep 2026

SpaceX (Hold)

- ◆ SpaceX is well exposed to our key Tech discussion insights: it competes in Frontier models and builds large compute capacities
- ◆ SpaceX posted strong Q2 results; but vertical integration flywheel still depends on yet-to-be-proven innovations
- ◆ We increase our TP to USD150 (from USD117) on higher cloud compute revenue after new external deal; Hold rating maintained

Nicolas Cote-Colisson*
MD, Head of Global Tech
Platforms
HSBC Continental Europe
nicolas.cote-colisson@hsbcib.com
+44 20 7991 6826

* Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/qualified pursuant to FINRA regulations

SpaceX vs our key Tech insights: SpaceX has strong exposure to our key Tech discussion insights: the company is in the race to compete with Frontier AI labs with its Grok model. To support the same, it plans to build massive compute capacity ("closer to 10GW than 5GW by end 2027" according to Elon Musk comments on the analyst call in early August, compared to c2GW by December 2026e), although we see ramp-up challenges here. However, SpaceX relies exclusively on Nvidia GPUs but through Terafab has plans to develop custom silicon. We forecast that SpaceX spends USD89bn (2025a USD21bn) in capex in 2026 which is c4x higher than its operating cash flow.

Strong first post-IPO results: as explained in [Still too early to price all the high ambitions](#), 13 August 2026, Q2 26 revenue were up 92% y-o-y to USD7.8bn and were 13% ahead of expectations driven by AI and Connectivity. These two segments benefited from new contracts, including compute (read [SpaceX: Rocket-centric](#), 23 July 2026), government and airlines deals. Operating losses came at USD143m compared to USD970m in Q2 25 (consensus: USD1.6bn loss). The main driver was the high margin compute deals signed with Anthropic and Google.

Solid operating cash flows at Starlink, demanding tech innovation elsewhere: Starlink is a more mature business unit (EBITDA-Capex: USD2bn in H1 2026, USD1.3bn in H1 2025). SpaceX has the ambition to take significant market shares from terrestrial telcos with its next generation of satellites. We are sceptical this can happen at scale due to technological and regulatory limitations. We also don't factor in our forecasts the benefit of orbital data centres

We increase our TP to USD150 from USD117, Hold rating maintained: On 11 September 2026, SpaceX CFO announced the closing of another cloud compute hosting deal that would translate into USD1.11bn more revenue a month from December 2026. As a result, we are revising up our Compute multiple to 12x (from 10x) 2030e non-GAAP EBIT, leading to our higher valuation. See our updated sum-of-the-parts analysis on page 80.

Positive catalyst watch: upside risks include a faster-than-expected build out of terrestrial compute capacity vs HSBC expectations and orbital compute power becoming more viable.

Negative catalyst watch: downside risks include Starship failing to deliver the fall in launch costs that would support both Connectivity and AI businesses.

Financials & valuation: SpaceX

Hold

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (USDm)				
Revenue	18,674	41,401	88,798	130,026
EBITDA	4,112	17,012	49,193	83,147
Depreciation & amortisation	-6,701	-15,617	-35,207	-58,000
Operating profit/EBIT	-2,589	1,395	13,986	25,148
Net interest	-1,630	-3,157	-5,861	-7,591
PBT	-4,219	-1,762	8,125	17,557
HSBC PBT	-1,747	2,422	18,874	30,691
Taxation	-718	-1,681	-1,381	-2,985
Net profit	-4,937	-4,114	6,743	14,572
HSBC net profit	-2,465	69	17,492	27,706
Cash flow summary (USDm)				
Cash flow from operations	6,785	22,756	59,956	92,277
Capex	-20,737	-89,539	-153,984	-131,253
Cash flow from investment	-19,575	-95,550	-153,984	-131,253
Dividends	0	0	0	0
Change in net debt	-3,459	-23,342	95,534	41,190
FCF equity	-14,247	-66,957	-94,028	-38,976
Balance sheet summary (USDm)				
Intangible fixed assets	15,628	75,119	73,738	70,753
Tangible fixed assets	43,862	117,591	255,967	329,220
Current assets	30,952	77,409	90,895	56,587
Cash & others	24,747	64,557	68,998	27,808
Total assets	92,079	271,217	421,698	457,658
Operating liabilities	27,858	34,211	49,131	59,599
Gross debt	22,896	39,364	139,339	139,339
Net debt	-1,851	-25,193	70,341	111,531
Shareholders' funds	41,325	197,642	233,228	258,720
Invested capital	16,184	171,351	302,471	369,153

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	33.2	121.7	114.5	46.4
EBITDA	-4.1	313.7	189.2	69.0
Operating profit	-655.6		902.6	79.8
PBT	-1843.4			116.1
HSBC EPS	-875.9		17172.9	58.4
Ratios (%)				
Revenue/IC (x)	0.9	0.4	0.4	0.4
ROIC	-14.5	2.9	4.9	6.2
ROE	-7.3	0.1	8.1	11.3
ROA	-6.6	-1.9	1.9	3.3
EBITDA margin	22.0	41.1	55.4	63.9
Operating profit margin	-13.9	3.4	15.8	19.3
EBITDA/net interest (x)	2.5	5.4	8.4	11.0
Net debt/equity	-4.5	-12.7	30.2	43.1
Net debt/EBITDA (x)	-0.5	-1.5	1.4	1.3
CF from operations/net debt			85.2	82.7
Per share data (USD)				
EPS Rep (diluted)	-1.69	-0.46	0.51	1.11
HSBC EPS (diluted)	-0.84	0.01	1.33	2.10
DPS	0.00	0.00	0.00	0.00
Book value	14.12	21.90	17.70	19.64

Key forecast drivers

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Space revenues	4,086	4,165	4,970	5,680
Connectivity revenues	11,387	17,417	24,358	31,828
AI revenues	3,201	19,818	59,471	92,518
Space Adj EBITDA	653	-503	979	1,684
Connectivity Adj EBITDA	7,168	11,043	15,962	21,539
AI Adj EBITDA	-1,237	10,656	43,000	73,058

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	111.4	49.7	24.3	16.9
EV/EBITDA	506.0	121.0	43.8	26.4
EV/IC	128.6	12.0	7.1	5.9
PE*	nm	19673.4	113.9	71.9
PB	10.7	6.9	8.5	7.7
FCF yield (%)	-0.7	-3.2	-4.5	-1.9
Dividend yield (%)	0.0	0.0	0.0	0.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a	Governance Indicators	12/2025a
GHG emission intensity*	n/a	No. of board members	8
Energy intensity*	n/a	Average board tenure (years)	12.9
CO ₂ reduction policy	No	Female board members (%)	12.5
Social Indicators		Board members independence (%)	62.5
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	No		

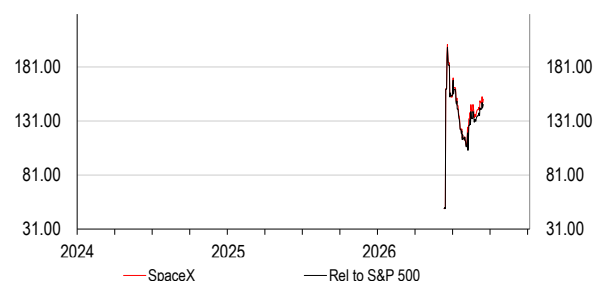
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	151.21	Free float	5%
Target price (USD)	150.00	Sector	Internet Software & Services
RIC (Equity)	SPCX.N	Country/Region	United States
Bloomberg (Equity)	SPCX US	Analyst	Nicolas Cote-Colisson
Market cap (USDm)	2,084,128	Contact	+44 20 7991 6826

Price relative



Source: HSBC

Note: Priced at close of 11 Sep 2026

Media

Netflix (Buy)

- ◆ NFLX appears increasingly attractive, trading at only c20x NTM earnings (vs 32x 5-year average)
- ◆ We forecast a 22% (2025-28) EPS CAGR underpinned by resilient revenue drivers and gains on content leverage
- ◆ TP USD96 / Buy rating

Mohammed Khallouf*, CFA
Global Tech Platforms Analyst
HSBC Bank Middle East Limited,
DIFC
mohammed.khallouf@hsbc.com
+971 4 509 3337

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2Q26 saw an in line print and reaffirmed targets: 2Q26 revenues of USD12,560m were in line, while operating income of USD4,193m was +4% vs HSBCe as lower COGS of USD6,037m (-2% vs HSBCe) offset higher Opex of USD2,330m (+3% vs HSBCe), and FY26e targets were reaffirmed despite below consensus 3Q guide.

Soft engagement headlines mask progress: Total NFLX viewed hours were up only +2% y-o-y in 1H26 (vs +1.5% y-o-y in 1H25), but that fails to account for the impact of the FIFA World Cup and Winter Olympics, and progress in growing higher monetising forms of content e.g. (i) live programming which accounted for c1% of NFLX viewing time but drove incremental subscriber ads (six of the top-10 new member sign-up days over the last five years) and is highly popular with advertisers, and (ii) recently launched podcasts which were over-indexing on daytime viewing on mobile devices (where NFLX trails YouTube).

Topline outlook remains sturdy: Main drivers underpinning the NFLX growth engine remain intact; namely (i) unrivalled pricing power with churn following the latest round of price hikes described as “consistent with prior changes and expectations” (26Q2 earnings call), assuaging fears of pressured consumers, (ii) under tapped international opportunity as growth continued to outperform expectations (LATAM grew 18% y-o-y in 26Q2), and (iii) steady progress in revenue diversification with advertising contribution on track to double in 2026 to c6% of total revenues.

Maintain Buy and USD96 TP: NFLX appears increasingly attractive, trading at only c20x NTM EPS (vs 32x 5-year average). Our relative valuation methodology-derived USD96 TP implies c24% upside and we maintain our Buy rating.

Positive/negative catalyst watch: Ongoing WBD-PSKY court case, merger delay “ticker” fees slated to commence on 30 September.

Financials & valuation: Netflix

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (USDm)				
Revenue	45,183	51,137	56,614	62,436
EBITDA	13,660	16,501	19,413	22,620
Depreciation & amortisation	-333	-410	-453	-500
Operating profit/EBIT	13,327	16,091	18,960	22,121
Net interest	-604	2,221	-496	-403
PBT	12,722	18,311	18,465	21,717
HSBC PBT	12,722	18,311	18,465	21,717
Taxation	-1,742	-3,108	-2,770	-3,366
Net profit	10,981	15,203	15,695	18,351
HSBC net profit	10,981	15,203	15,695	18,351
Cash flow summary (USDm)				
Cash flow from operations	10,149	13,248	15,037	17,758
Capex	-688	-874	-987	-1,089
Cash flow from investment	-688	-874	-987	-1,089
Dividends	0	0	0	0
Change in net debt	-2,378	-1,082	-4,214	-5,001
FCF equity	9,461	12,374	14,050	16,669
Balance sheet summary (USDm)				
Intangible fixed assets	0	0	0	0
Tangible fixed assets	9,798	11,008	11,543	12,132
Current assets	13,021	14,716	18,931	23,931
Cash & others	9,063	9,991	14,206	19,206
Total assets	55,597	60,358	66,805	74,112
Operating liabilities	14,519	13,990	13,990	13,990
Gross debt	14,463	14,309	14,309	14,309
Net debt	5,400	4,318	103	-4,897
Shareholders' funds	26,615	32,061	38,509	45,817
Invested capital	-763	1,743	2,278	2,867

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	15.9	13.2	10.7	10.3
EBITDA	27.1	20.8	17.7	16.5
Operating profit	27.9	20.7	17.8	16.7
PBT	27.7	43.9	0.8	17.6
HSBC EPS	27.5	41.7	6.6	21.6
Ratios (%)				
Revenue/IC (x)	-130.2	104.3	28.2	24.3
ROIC	-3315.6	2725.3	801.6	726.7
ROE	42.8	51.8	44.5	43.5
ROA	21.3	27.4	25.6	26.9
EBITDA margin	30.2	32.3	34.3	36.2
Operating profit margin	29.5	31.5	33.5	35.4
EBITDA/net interest (x)	22.6		39.1	56.1
Net debt/equity	20.3	13.5	0.3	-10.7
Net debt/EBITDA (x)	0.4	0.3	0.0	-0.2
CF from operations/net debt	188.0	306.8	14530.0	
Per share data (USD)				
EPS Rep (diluted)	2.53	3.58	3.82	4.64
HSBC EPS (diluted)	2.53	3.58	3.82	4.64
DPS	0.00	0.00	0.00	0.00
Book value	6.26	7.69	9.53	11.80

Key forecast drivers

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Adjusted EBITDA	14,028	17,053	20,001	23,244

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	6.5	5.7	5.1	4.5
EV/EBITDA	21.6	17.7	14.7	12.3
EV/IC		167.5	125.6	97.4
PE*	30.6	21.6	20.3	16.7
PB	12.4	10.1	8.1	6.6
FCF yield (%)	2.9	3.8	4.4	5.2
Dividend yield (%)	0.0	0.0	0.0	0.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2025a
GHG emission intensity*	n/a	No. of board members	7
Energy intensity*	n/a	Average board tenure (years)	n/a
CO ₂ reduction policy	No	Female board members (%)	28.6
Social Indicators		Board members independence (%)	28.6
12/2024a			
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	Yes		

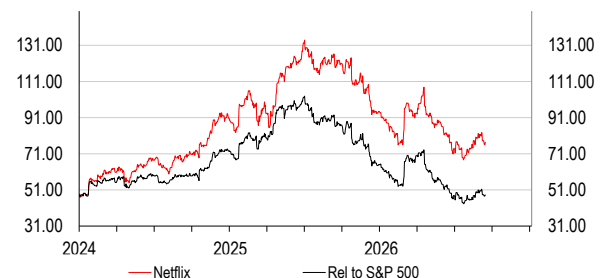
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	77.40	Free float	92%
Target price (USD)	96.00	Sector	Media
RIC (Equity)	NFLX.N	Country/Region	United States
Bloomberg (Equity)	NFLX US	Analyst	Mohammed Khallouf, CFA
Market cap (USDm)	322,289	Contact	+971 4 509 3337

Price relative



Source: HSBC

Note: Priced at close of 11 Sep 2026

Spotify (Buy)

- ◆ Spotify sits on a Q2 net cash position of ~EUR6bn (excluding short-term investments), with positive FCF yields of 3-5% in 2026-28e
- ◆ We expect increases to capital returns, with SPOT able to return EUR11.2bn by 2030e, without risking flexibility
- ◆ TP USD675 / Buy rating

Charlie Rothbarth*
Global Tech Platforms Analyst
HSBC Bank plc
charlie.rothbarth@hsbc.com
+44 203 2685284

* Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/qualified pursuant to FINRA regulations

The following is an extract from our

note: <https://www.research.hsbc.com/R/84/FgD97JtMRLNXbv> Buy: *What Can Spotify return to shareholders?*, 28 August 2026.

Spotify has spare capital: As of Q2, SPOT enjoys a net cash position of EUR5.9bn, excluding EUR3.5bn of short-term investments. At its recent capital markets day, SPOT outlined its three-tier capital allocation framework. The order of priority is for spare capital to be used for 1) organic investment, 2) strategic M&A, and 3) capital returns to shareholders. For our capital markets day note, please see: Buy: Better margins and FCF – a perfect symphony, 1 June 2026. Given we expect the elevated cost profile to be a near-term headwind, we see greater emphasis being placed on shareholder returns.

Assumption, we ignore dividend optionality: Our assumption: SPOT doesn't elect to return capital to shareholders via a dividend. Whilst this likely opens up inclusion into income funds, we discount this option as 1) a progressive dividend policy offers less flexibility than a yearly buyback, and capital returns are third in the pecking order so flexibility is required. By way of an example, Alphabet has zeroed its buyback but retains its nominal dividend, despite raising capital to fund ongoing capex increases. 2) Dividend yields for US tech tend to be more nominal for large-cap US tech.

What can SPOT return to shareholders?: Over H2 2026 to 2030, we expect SPOT to generate adj. FCFE of EUR22.6bn; subsequently, we lift our forecast for total buybacks to 50% of this, i.e. EUR11.2bn over the same period. This is against a market cap of ~EUR97bn, implying an 11.5% yield and leaving the business with the same flexibility and finishing 2030e with a cash position of EUR18.1bn.

What does this mean for EPS?: The incorporation of this buyback moves our 2025 2030e diluted EPS CAGR to 27.2%, vs Visible Alpha consensus of 23.9%.

We like Buy-rated SPOT in the music space: Within the western music space, we continue to prefer Spotify over Reduce-rated UMG because we see better margin accretion and shareholder returns at SPOT. Please see: [UMG - Downgrade to Reduce: Margin concerns](#), 13 August 2026.

Positive catalyst watch: Faster MAU acquisition, better uptake of add-ons, i.e. audiobooks and stronger price throughput.

Negative catalyst watch: The inverse of the above, so weaker MAU acquisition, worse uptake of add-ons, i.e. audiobooks, weaker price throughput.

Financials & valuation: Spotify Technology SA

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (EURm)				
Revenue	17,186	19,530	22,652	25,752
EBITDA	2,301	2,955	3,878	4,842
Depreciation & amortisation	-103	-109	-109	-115
Operating profit/EBIT	2,198	2,846	3,769	4,727
Net interest	26	410	295	374
PBT	2,224	3,256	4,064	5,100
HSBC PBT	2,224	3,256	4,064	5,100
Taxation	-12	-770	-894	-1,122
Net profit	2,212	2,486	3,170	3,978
HSBC net profit	2,212	2,486	3,170	3,978
Cash flow summary (EURm)				
Cash flow from operations	2,934	3,441	3,948	4,975
Capex	-61	-59	-68	-78
Cash flow from investment	-1,785	740	-108	-118
Dividends	0	0	0	0
Change in net debt	-2,016	-1,603	-2,032	-2,541
FCF equity	2,830	3,338	3,836	4,853
Balance sheet summary (EURm)				
Intangible fixed assets	1,124	1,154	1,170	1,186
Tangible fixed assets	422	431	459	489
Current assets	10,496	11,385	13,548	16,151
Cash & others	9,467	10,311	12,343	14,884
Total assets	15,015	14,778	16,985	19,634
Operating liabilities	6,387	5,450	5,721	6,155
Gross debt	10	22	22	22
Net debt	-5,258	-6,861	-8,893	-11,434
Shareholders' funds	8,329	8,972	10,728	12,831
Invested capital	-3,812	-2,791	-2,888	-3,213

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	9.7	13.6	16.0	13.7
EBITDA	54.8	28.4	31.2	24.9
Operating profit	61.0	29.5	32.4	25.4
PBT	65.8	46.4	24.8	25.5
HSBC EPS	109.0	3.5	29.3	28.1
Ratios (%)				
Revenue/IC (x)	-5.7	-5.9	-8.0	-8.4
ROIC	-73.0	-66.4	-104.2	-121.5
ROE	31.9	28.7	32.2	33.8
ROA	21.9	17.0	20.1	21.9
EBITDA margin	13.4	15.1	17.1	18.8
Operating profit margin	12.8	14.6	16.6	18.4
EBITDA/net interest (x)				
Net debt/equity	-63.1	-76.5	-82.9	-89.1
Net debt/EBITDA (x)	-2.3	-2.3	-2.3	-2.4
CF from operations/net debt				
Per share data (EUR)				
EPS Rep (diluted)	11.52	11.93	15.42	19.76
HSBC EPS (diluted)	11.52	11.93	15.42	19.76
DPS	0.00	0.00	0.00	0.00
Book value	40.46	43.72	53.00	64.72

Key forecast drivers

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Total MAUs	751	823	891	954
Premiums MAUs	290	316	340	362
Premium ARPU	4.6	4.9	5.2	5.6

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	5.0	4.4	3.7	3.1
EV/EBITDA	37.3	28.8	21.4	16.6
EV/IC				
PE*	39.3	38.0	29.4	22.9
PB	11.2	10.4	8.6	7.0
FCF yield (%)	3.0	3.6	4.1	5.2
Dividend yield (%)	0.0	0.0	0.0	0.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2025a
GHG emission intensity*	0.0	No. of board members	10
Energy intensity*	n/a	Average board tenure (years)	8.9
CO ₂ reduction policy	Yes	Female board members (%)	30
Social Indicators		Board members independence (%)	20
12/2024a			
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	Yes		

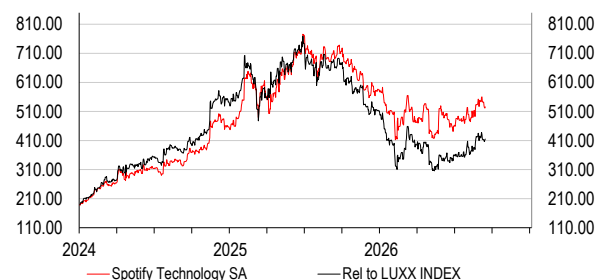
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	525.75	Free float	74%
Target price (USD)	675.00	Sector	Media
RIC (Equity)	SPOT.N	Country/Region	Luxembourg
Bloomberg (Equity)	SPOT US	Analyst	Charlie Rothbarth
Market cap (USDm)	108,060	Contact	+44 203 2685284

Price relative



Source: HSBC

Note: Priced at close of 11 Sep 2026

Universal Music Group (Reduce)

- ◆ UMG Q2 results were below expectations, missing on margins, which have been an ongoing concern
- ◆ These concerns look unlikely to abate in the near term; we do not expect meaningful margin accretion from here
- ◆ TP EUR12.10 / Reduce rating

Charlie Rothbarth*
Global Tech Platforms Analyst
HSBC Bank plc
charlie.rothbarth@hsbc.com
+44 203 2685284

* Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/qualified pursuant to FINRA regulations

The following is an extract from our note: <https://www.research.hsbc.com/R/84/FgD97JtMRLNXbv>
[Downgrade to Reduce: Margin concerns](#), 13 August 2026.

Why downgrade post Q2 results? Going into the Q2s, we had expected the tempo from Q1 to play on, i.e., soft but stable margin progression and for the integration of Downtown Music (DTM) to remain the focus. However, Q2 adjusted EBITDA of EUR674m was 5.1% below consensus of EUR710m, and the shares fell c26% on the day. We expect the margin dilutors to remain over the medium term.

Margin dilutor 1, artists are continuing to take more of the pie: Artists are continuing to ask for better terms from record labels. The rule-of-thumb has been for 70:30 artist/label split; this is moving towards 80:20 as tasks previously completed by the labels get moved onto the artist side of the equation. Examples include distribution and marketing, where the labels used to hold more control. Label influence over various streamer playlists is important to maintaining relevance here. While this is not a recent phenomenon, it is ongoing, lowering gross profits.

Margin dilutor 2, cost savings reinvested: Some of the EUR250m cost saving target is now being re-invested, limiting near-term margin progression. Furthermore, the near doubling of lease assets from 2025 to H1 2026, alongside/through the acquisition of the Capitol Building will also add cost pressures. The EUR250m was important for the medium-term guidance of 20-25% adj. EBITDA margins; the top end is now unlikely.

Margin dilutor 3, distribution deal cadence rising: As global music growth has shifted into newer markets for UMG, it has sought distribution deals. While EBIT accretive, these are low c5% margin deals, adding margin headwinds. The ratio of these deals within the mix is rising from c5% to 10-15%.

There were parts of the margin mix that could right themselves over time: 1) DTM should see EUR20m of cost savings by end-2027e. 2) Improvement of the negative EBITDA impact from Merchandising. Elsewhere, new album releases were weighted later in Q2, leaving UMG in a stronger position exiting the quarter than at the start, especially on the Recorded Music (RM) side.

Positive catalyst watch: Better margin expansion forecasts, stronger artist contract terms.

Negative catalyst watch: Weaker margin expansion forecasts, worse artist contract terms.

Financials & valuation: Universal Music Group

Reduce

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (EURm)				
Revenue	12,507	13,659	14,345	15,026
EBITDA	2,538	2,578	2,728	2,855
Depreciation & amortisation	-540	-543	-581	-618
Operating profit/EBIT	1,998	2,035	2,147	2,237
Net interest	-91	-114	-184	-181
PBT	2,094	1,409	1,979	2,072
HSBC PBT	2,094	1,409	1,979	2,072
Taxation	-546	-381	-534	-559
Net profit	1,541	1,022	1,437	1,505
HSBC net profit	1,907	1,845	1,909	1,996
Cash flow summary (EURm)				
Cash flow from operations	1,359	1,257	1,301	1,416
Capex	-195	-313	-329	-344
Cash flow from investment	-631	-3	-516	-531
Dividends	-953	-1,948	-948	-987
Change in net debt	292	1,216	-87	-149
FCF equity	1,229	944	972	1,071
Balance sheet summary (EURm)				
Intangible fixed assets	7,056	8,792	8,480	8,815
Tangible fixed assets	721	1,387	1,754	2,129
Current assets	4,532	5,851	6,225	6,664
Cash & others	451	983	1,069	1,218
Total assets	17,456	19,278	19,709	20,861
Operating liabilities	8,586	8,876	8,487	8,838
Gross debt	2,846	4,618	4,618	4,618
Net debt	2,390	3,606	3,520	3,371
Shareholders' funds	4,543	4,530	5,350	6,151
Invested capital	5,991	8,746	9,478	10,129

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	5.7	9.2	5.0	4.7
EBITDA	8.8	1.6	5.8	4.6
Operating profit	12.6	1.9	5.5	4.2
PBT	-27.0	-32.7	40.4	4.7
HSBC EPS	6.8	-1.2	3.5	4.5
Ratios (%)				
Revenue/IC (x)	2.0	1.9	1.6	1.5
ROIC	24.1	20.2	17.2	16.7
ROE	42.1	40.7	38.6	34.7
ROA	9.4	6.1	8.2	8.2
EBITDA margin	20.3	18.9	19.0	19.0
Operating profit margin	16.0	14.9	15.0	14.9
EBITDA/net interest (x)	28.0	22.6	14.8	15.7
Net debt/equity	52.3	79.6	65.8	54.8
Net debt/EBITDA (x)	0.9	1.4	1.3	1.2
CF from operations/net debt	56.9	34.8	37.0	42.0
Per share data (EUR)				
EPS Rep (diluted)	0.83	0.56	0.79	0.83
HSBC EPS (diluted)	1.03	1.02	1.05	1.10
DPS	0.52	0.52	0.53	0.56
Book value	2.49	2.55	3.02	3.42

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	2.2	2.1	2.0	1.9
EV/EBITDA	10.7	10.9	10.3	9.8
EV/IC	4.5	3.2	3.0	2.8
PE*	14.2	14.4	13.9	13.3
PB	5.9	5.7	4.8	4.3
FCF yield (%)	4.6	3.5	3.6	4.0
Dividend yield (%)	3.6	3.6	3.6	3.8

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2025a
GHG emission intensity*	0.9	No. of board members	11
Energy intensity*	n/a	Average board tenure (years)	3.6
CO ₂ reduction policy	n/a	Female board members (%)	45.5
Social Indicators		Board members independence (%)	81.8
Employee costs as % of revenues	14.8		
Employee turnover (%)	n/a		
Diversity policy	Yes		

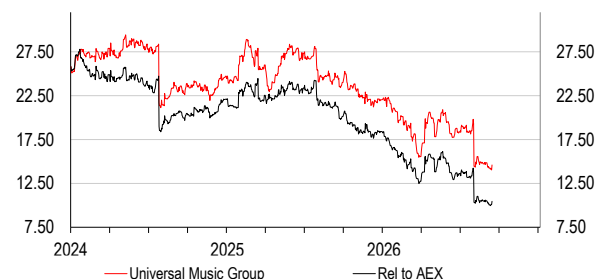
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (EUR)	14.60	Free float	42%
Target price (EUR)	12.10	Sector	Media
RIC (Equity)	UMG.AS	Country/Region	Netherlands
Bloomberg (Equity)	UMG NA	Analyst	Charlie Rothbarth
Market cap (USDm)	31,148	Contact	+44 203 2685284

Price relative



Source: HSBC

Note: Priced at close of 11 Sep 2026

Valuation and risks

Valuation and risks

Valuation		Risks
Amazon AMZN US	Current price: USD256.78	Methodology: We use a DCF-based sum-of-the-parts (SOTP) to value Amazon. Assumptions: We assume a WACC of 8.0% with a cost of equity at 9.1%. This is based on a risk-free rate of 4.25%, equity risk premium of 4.0%, and company-specific beta of 1.32. Our target price of USD310 implies c21% upside, and we have a Buy rating. This is supported by continued upside potential from the AWS, North America and International businesses in the short, medium and long term supported by an increase in the investment / capex run-rate and early stage of the cloud and AI cycles.
	Target price: USD310.00 Up/downside: +20.7%	
Buy		Downside risks: 1. Incremental macro / tariff induced weakness 2. Slower-than-expected recovery in growth / margin expansion 3. Escalation of regulatory risk 4. Chasing growth including expensive M&A 5. Limited valuation support
Paul Rossington* paul.rossington@hsbcib.com +44 20 7991 6734		
Alphabet GOOGL US	Current price: USD338.50	Methodology: We use SOTP analysis to reach our target price of USD420.00. Assumptions: Our full valuation can be found overleaf. All our assumptions are unchanged. Our TP implies c24% upside. We retain our Buy rating as we see scope for further margin expansion alongside our positive view across both Search, Cloud and YouTube. We see Alphabet as being well placed to deal with market shocks.
	Target price: USD420.00 Up/downside: +24.1%	
Buy		Downside risks: 1. Google Search losing meaningful query market share 2. Google Cloud failing to win further contracts and reaching a lower market share than expected 3. Price war within cloud server providers market impacting margins 4. Adverse FX scenarios 5. Chasing growth including expensive M&A 6. Limited valuation support
Paul Rossington* paul.rossington@hsbcib.com +44 20 7991 6734		
Apple AAPL US	Current price: USD332.27	Methodology: We use FY27e target PE multiple to reach our target prices of USD366.00. Assumptions: We apply a 33.5x target PE to our FY27e non-GAAP EPS estimate of USD11.22, to which we apply a regulatory risk discount of 2.5% given regulatory pressure on the company. Our USD366.00 TP implies c10% upside and we have a Buy rating as we believe that the launch of AI features and a strong product pipeline have the potential to drive a major upgrade cycle.
	Target price: USD366.00 Up/downside: +10.2%	
Buy		Downside risks: 1. Hardware competition from AI labs coming with new form factors and better AI features 2. Regulatory or legal action vs Apple (including tariffs) forcing a change in services profitability 3. Elongation of the replacement cycle, leading to longer device lifecycles 4. Longer-than-expected global memory chip shortage impacting margins. 5. Competition offering more affordable products with more attractive AI services.
Nicolas Cote-Colisson* nicolas.cote-colisson@hsbcib.com +44 20 7991 6826		
CoreWeave CRWV US	Current price: USD88.89	Methodology: We use a DCF valuation methodology to arrive at our target price of USD39.00. Assumptions: We use a cost of equity of 11.5%, beta of 1.80 (HSBCe), risk-free rate of 4.25%, market risk premium of 4.0% (both based on HSBC equity strategists' assumptions), long-term pretax cost of debt of 10%, and WACC of 9.7%. Our target price implies 56.2% downside. We maintain a Reduce rating.
	Target price: USD39.00 Up/downside: -56.2%	
Reduce		Upside risks: 1. Better-than-expected contract terms with customers 2. Stronger-than-expected demand for GPU-focused clouds 3. Lower-than-expected competition 4. Better-than-expected macroeconomic and financial conditions.
Abhishek Shukla*, CFA abhishek2.shukla@hsbc.com +971 4 5093343		

Priced at close of 11 September 2026

Source: HSBC estimates

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Apple: Valuation

Valuation	FY27e
Target PE	33.5x
27e Non-GAAP EPS	USD11.22
Implied price	USD375.00
Regulation risk	2.5%
TP	USD366.00

Source: HSBC Research

Valuation and risks

Valuation		Riskation
Meta Platforms META US	Current price: USD648.03 Target price: USD830.00 Up/downside: +28.1%	Methodology: We use FY27e target P/E multiple to reach our target price of USD830.00. Assumptions: We apply a target FY27e P/E of 19.0x based on global peer average applied to our FY27e non-GAAP EPS estimate of USD46.00, to which we add a regulatory risk discount of 5% given the considerable pressure on the company. Our target price of USD830.00 implies c28% upside and we retain our Buy rating. Advertising activity remains strong, supported by AI. Nicolas Cote-Colisson* nicolas.cote-colisson@hsbcib.com +44 20 7991 6826
Buy		Downside risks: 1. Regulatory actions that prevent Meta from leveraging data from its large user base to feed its AI models in certain regions 2. Higher competition in the advertising market if AI tools at Meta becomes relatively less efficient 3. Higher-than-anticipated capex intensity to fuel AI development
Microsoft MSFT US	Current price: USD495.63 Target price: USD595.00 Up/downside: +20.0%	Methodology: We use a NTM target P/E multiple to reach our target price. Assumptions: Our TP of USD595.00 is based on 29.0x our NTM non-GAAP EPS of USD20.51. We conservatively use the same P/NTM multiple as the average over the last five years, even though we expect strong Azure growth to drive an even higher EPS CAGR for Microsoft going forward than was realised historically. Our TP implies upside of 20.0% and we maintain our Buy rating. Stephen Bersey stephen.bersey@us.hsbc.com +1 212 525 4153
Buy		Downside risks: 1. Higher-than-expected competitive intensity. 2. Weaker-than-expected stock market or macroeconomic environment 3. Adverse regulatory action 4. Higher-than-expected competitive pressures in the GPU cloud space 5. Default by major customers (particularly AI labs) 6. Cybersecurity risks.
Oracle ORCL US	Current price: USD150.28 Target price: USD316.00 Up/downside: +110.3%	Methodology: We use a NTM target PEG to reach our target price of USD316.00. Assumptions: We value Oracle at a target PEG of 1.60x (in-line with major peers in the sector), with our long-term non-GAAP EPS CAGR of 22.6% and our next 12-month non-GAAP EPS estimate of USD8.67. Our TP implies c110% upside and we therefore retain our Buy rating. Stephen Bersey stephen.bersey@us.hsbc.com +1 212 525 4153
Buy		Downside risks: 1. Unfavourable stock market and macroeconomic conditions 2. Higher-than-expected competitive pressures 3. Potential negative impact from an external IT hack 4. Cloud infrastructure outage 5. Disruption due to management turnover.
SpaceX SPCX US	Current price: USD151.21 Target price: USD150.00 Up/downside: -0.8%	Methodology: We use SOTP analysis to reach our target price of USD150.00. Assumptions: Our full valuation can be found on page 80. Our target price of USD150.00 implies c1% downside. We have a Hold rating.
Hold		Downside risks: 1. Orbital compute power becomes viable 2. Starship failing to deliver the fall in launch costs that would support both Connectivity and AI businesses Upside risks: 1. Starship delivering a faster the fall in launch costs than expected 2. Faster compute build than we expect
Nicolas Cote-Colisson* nicolas.cote-colisson@hsbcib.com +44 20 7991 6826		

Priced at close of 11 September 2026

Source: HSBC estimates

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Meta valuation

Valuation (USD/share)	FY27e
Target 26e PE multiple	19.0x
27e non-GAAP Adjusted EPS*	46.0
Implied price	875
Regulation risk	5%
TP (USD)	830

Source: HSBC Research

*Adjusted for one-offs, such as tax credit in Q1 26

Valuation and risks

Valuation		Risks
Netflix NFLX US	Current price: USD77.40	Methodology: We derive our target price for NFLX using a relative valuation methodology on P/E (2027e). Assumptions: We believe Netflix's closest comparable peers are music streaming service Spotify and traditional media and tech players with video streaming divisions and/or short-form video offerings. We apply a 26x multiple to NFLX 27e EPS, yielding a USD96.00 TP. Our target price implies 24% upside. We have a Buy rating.
	Target price: USD96.00 Up/downside: +24.0%	
Buy		Downside risks: ◆ Macro headwinds could see Netflix subscriber churn rates tick up. ◆ Ongoing legal and regulatory steps in the EU may impact planned price hikes. ◆ Expansion of live content may fail to gain traction with viewers, prove expensive, or attract unwanted regulatory scrutiny ◆ Advertising rollout may fall short of expectations given the untested nature of new ad formats and on increased ad supply from other streamers.
Mohammed Khallouf*, CFA mohammed.khallouf@hsbc.com +971 4 509 3337		
Spotify SPOT US	Current price: USD525.75	Methodology: We use a DCF valuation methodology to arrive at our target price of USD675.00. Assumptions: We use a WACC of 8.6%, with a cost of equity of 10.5% using a risk-free rate of 4.25%, an equity risk premium of 4.0%, and a company-specific beta of 1.08. We assume a long-term expected debt weighting of 15%, a terminal growth rate of 2.5%, in line with our long-term inflation assumptions, and at terminal margin assumption of 27.5%. Our target price implies 28.4% upside. We have a Buy rating.
	Target price: USD675.00 Up/downside: +28.4%	
Buy		Downside risks: 1. Continued weak execution on ad-supported growth initiatives 2. Larger-than-expected slowdown in user growth following more normalised marketing spending 3. Unsuccessful product launches to complement Spotify's music offering (e.g., audiobooks); if Spotify is unable to integrate its non-music verticals together seamlessly 4. Slower-than-expected margin progression in future years driven by higher-than-expected operating expenses or a lower mix of non-music segments 5. An inability to push price increases through to consumers
Charlie Rothbarth* charlie.rothbarth@hsbc.com +44 20 3268 5284		
UMG UMG NA	Current price: EUR14.60	Methodology: We use a DCF valuation methodology to arrive at our target price of EUR12.10. Assumptions: We assume a WACC of 8.2%, cost of debt of 5.0%, debt/equity split of 13%/87%, tax rate of 27.0%, risk-free rate of 4.25%, equity risk premium of 4.0%, and beta of 1.18. We also assume a terminal growth rate of 2.5%, and long-term EBITDA margin of 22.5%. Our target price implies 17.2% downside. We have a Reduce rating.
	Target price: EUR12.10 Up/downside: -17.2%	
Reduce		Upside risks: 1. Acceleration in subscription and streaming growth due to product initiatives and superfan monetisation from DSPs. 2. Better-than-expected cost control as UMG streamlines the business. 3. Streaming platform price increases – there is a risk of further increases in music-related subscription prices, which would benefit UMG.
Charlie Rothbarth* charlie.rothbarth@hsbc.com +44 20 3268 5284		

Priced at close of 11 September 2026

Source: HSBC estimates

* Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/qualified pursuant to FINRA regulations

HSBC Alphabet SOTP valuation

	Revenues		EBIT		EV	% EV	EV/Revs		EV/EBIT		EV/Revs multiple	EV/EBIT multiple	Rationale
	FY26	FY27	FY26	FY27	FY26		FY26	FY27	FY26	FY27			
Search	262.8	280.7	157.8	168.6	3,050	65.3%	11.6x	10.9x	19.3x	18.1x		19.0x	In line with the internet peer group seeing similar EBIT growth.
YouTube Ads	45.1	50.2	7.6	9.0	214	4.6%	4.8x	4.3x	28.2x	24.0x		27.0x	Meta EV/EBIT at the HSBC TP
YouTube Subs	29.0	32.9	1.9	2.6	225	4.8%	7.8x	6.8x	120.6x	86.1x	7.5x		Unchanged
YouTube	74.1	83.0	9.5	11.6	439	9.4%	5.9x	5.3x	46.4x	38.0x			Sum of the above
Network	28.9	28.1	4.3	4.2	34	0.7%	1.2x	1.2x	7.9x	8.2x		8.0x	Mature online business seeing negative growth
Other	25.7	28.1	4.5	4.8	50	1.1%	1.9x	1.8x	11.2x	10.5x		11.0x	Mature online business seeing stable revenues
Services - Total	391.6	419.9	176.1	189.1	3,574	76.5%	9.1x	8.5x	20.3x	18.9x			
Google Cloud	97.7	174.4	29.8	52.2	1,241	26.5%	12.7x	7.1x	41.6x	23.8x		35.0x	Discount to Oracle multiple implied by HSBC TP
Other Bets	1.4	1.3	(7.2)	(7.5)	100	2.1%	70.6x	76.6x	-13.8x	-13.4x			Assumption for Waymo
Alphabet-level activities			(23.4)	(25.7)	(239.8)	-5.1%						8.0x	Mature online business seeing negative growth
Total	490.7	595.7	175.3	208.2	4,674	100.0%	9.5x	7.8x	26.7x	22.5x			
Tax benefit					10%								
Total EV					5,142		10.5x	8.6x	29.3x	24.7x			
Net debt (2025 adjusted for Wiz acquisition)					48.3								
Other					82								
Equity value					5,272								
# shares outstanding (bn)					12.7								
Target price (USD, rounded)					420.00								

Source: HSBC estimates

Amazon DCF valuation

(in USDbn except per share data)	EV (USDbn)	% of EV	EV/sales*			EV/EBITDA*		
			2025a	2026e	2027e	2025a	2026e	2027e
AWS	2,516	73%	19.5x	14.7x	11.1x	32.1x	23.1x	17.0x
Non-AWS (Ecommerce)	950	27%	1.6x	1.4x	1.3x	14.1x	9.7x	8.9x
Total	3,465	100%	4.8x	4.2x	3.7x	23.8x	16.8x	13.6x
Net Debt (2024)	(30.0)							
Less: M&A / Buybacks	(15.0)							
Other adjustments	15.0							
Equity value	3,435							
# of Shares Outstanding (m)	11,057							
Price Target (USD)	310.00							

Source: HSBC estimates * Multiples based on HSBC target price of USD310.00.

Changes to our SpaceX estimates and valuation

We update our SpaceX forecasts to reflect a higher level of GW capacity by the end of 2027e (5.2GW from 2.8GW), alongside end 2030e (10.7GW from 5.1GW). We remain cautious around the build-out guidance of 10GW by end of 2027e, seeing this level achieved by ~2030e. We therefore increase our capex assumptions for the period to reflect this buildout.

Given the higher revenue growth, we increase our multiple for compute offtake agreements from 10x to 12x. Compute offtake agreements refer to the leasing out of NVIDIA chips to third parties, which SpaceX has been able to do at higher rates than other Western CSPs, namely leasing out this capacity to Anthropic and Alphabet.

Secondly, given the successful Starship rocket test launch and demonstration of the heatshield, we increase our Space division multiple to 22.5x from 20.0x. This reflects both higher multiples among the peer group and greater confidence in the Starship rocket timings.

Our TP therefore lifts from USD117 to USD150, implying 0.8% downside and leaving our Hold rating unchanged.

SpaceX SOTP valuation

USDm	EV	Year taken and multiple	Rationale
AI			
X	6,237	2x 2026e revenue	In-line with tier-2 social media peers such as SNAP and PINS
Grok	101,535	3.63x 2030e revenue	In-line with OpenAI recent funding round
Compute offtake by Anthropic	5,655	Present value	Good deal. 6 months' EBIT discounted to today
Compute offtake by Google	4,472	Present value	Good deal. Likely to be short lived. 8 months' EBIT discounted to today
Compute offtake by others	177,915	12x 2030e non-GAAP EBIT	Lifted from 10x to reflect higher revenue growth
Cursor	24,450	2.83x 2030e revenue	In-line with recent Anthropic funding raise.
Terafab	-		Acquisition cost removed at group level
Orbital AI	-		Still at a framework agreement stage
AI valuation	320,263		Yet to present earnings upside
Connectivity			
Residential	94,381	5x 2028e revenues	2x that of US telecoms
Enterprise	97,136	7.5x 2028e revenues	3x that of US telecoms
Residential mobile	24,887	5x 2040e revenues discounted back	In-line with residential above, 2040 taken for business to reach maturity
Futuristic venture	55,407	10x 2040e revenues discounted back	10x to reflect high growth from new business opportunities, 2040 taken for business to reach maturity
Connectivity valuation	271,810		
Space			
Total launches incl. Starlink	92	2030e	Take total launches to correctly value optionality to wider business
Implied GLV revenues	40,018	2030e	
Segment adj. EBITDA margin	48.3%	2030e	HSBC forecast margin
GLV EBITDA	19,329	2030e	
EBITDA multiple	22.5x	2030e	Adjusted from 20.0x to reflect Starship confidence
Space valuation	434,892		
Total EV	1,026,966		
Innovation premium	2.0x		
Valuation EV	2,053,932		
Less upcoming acquisitions	(76,900)		
Net debt (cash)	(1,851)		
Implied market cap	1,975,181		
Number of shares (bn)	13,176		
TP (USD)	150.0		

Source: HSBC estimates

HSBC changes to SpaceX estimates

USDm	NEW			OLD			% DIFF		
Space	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Mass-to-Orbit (t)	2,458	8,900	8,000	2,458	8,900	8,000	0%	0%	0%
Customer Launches (n)	45	7	8	45	7	8	0%	0%	0%
Revenues	4,165	4,970	5,680	4,165	4,970	5,680	0%	0%	0%
Adj. EBITDA	(503)	979	1,684	(503)	979	1,684	0%	0%	0%
Connectivity									
Subscribers (n)	16	23	30	16	23	30	0%	0%	0%
ARPU (USD/sub)	64	59	56	64	59	56	0%	0%	0%
Revenues	17,417	24,358	31,828	17,417	24,358	31,828	0%	0%	0%
Adj. EBITDA	11,043	15,962	21,539	11,043	15,962	21,539	0%	0%	0%
AI									
Compute (GW)	2	5	7	2	3	4	20%	85%	106%
Advertising Revenues	1,730	2,166	2,346	1,730	2,166	2,346	0%	0%	0%
AI Solutions Revenues	18,088	57,305	90,173	18,088	20,930	25,673	0%	174%	251%
Revenues	19,818	59,471	92,518	19,818	23,096	28,018	0%	157%	230%
Adj. EBITDA	10,656	43,000	73,058	10,656	13,664	18,690	0%	215%	291%
Total									
Revenues	41,401	88,798	130,026	41,401	52,423	65,526	0%	69%	98%
Adj. EBITDA	21,195	59,942	96,282	21,195	30,606	41,913	0%	96%	130%
EPS basic (USDc)	(75)	51	111	(75)	(10)	13	0%	637%	777%
Capex	89,539	153,984	131,253	69,539	53,984	59,253	29%	185%	122%

Source: HSBC estimates

Other companies mentioned in this report

Company	Ticker	Currency	Closing price	Rating	Target price
Anthropic	Private company	n/a	n/a	n/a	n/a
Advanced Micro Devices	AMD US	USD	516.13	Hold	500.00
DeepSeek	Private company	n/a	n/a	n/a	n/a
OpenAI	Private company	n/a	n/a	n/a	n/a
Pinterest	PINS US	USD	19.05	Hold	23.40
Samsung Electronics	005930 KP	KRW	259,500	Buy	450,000
SK Hynix	000660 KP	KRW	1,812,000	Buy	3,700,000
SNAP	SNAP US	USD	5.68	Hold	6.00
Weichai Power - H	2338 HK	HKD	31.34	Buy	50.00
Weichai Power - A	000338 CH	CNY	26.33	Buy	42.00
Yuchai	CYD US	USD	32.82	Not rated	n/a

Source: LSEG Workspace, HSBC estimates. Priced at close of 11 September 2026

Disclosure appendix

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Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

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Buy	61%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	34%	(10% of these provided with Investment Banking Services in the past 12 months)
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For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

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Overweight: For corporate credit, the issuer's fundamental credit profile is expected to improve within the next six months. For covered bonds, the bonds issued in this country are expected to outperform those of the other countries in our coverage over the next six months.

Neutral: For corporate credit, the issuer's fundamental credit profile is expected to remain stable for up to six months. For covered bonds, the bonds issued in this country are expected to perform in line with those of the other countries in our coverage over the next six months.

Underweight: For corporate credit, the issuer's fundamental credit profile is expected to deteriorate within the next six months. For covered bonds, the bonds issued in this country are expected to underperform those of other countries in our coverage over the next six months.

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Buy protection and **Sell protection** refer to a credit default swap (CDS) or a credit default swap index (CDS index): the protection buyer/seller is effectively selling/buying the credit risk of a single reference entity (CDS) or multiple reference entities (CDS Index).

Pay and **receive** refer to a trade call to pay or receive the fixed leg of an interest rate swap (IRS), a non-deliverable IRS, the first-named leg of a basis swap, the realised inflation leg of an inflation swap, or a forward rate agreement (FRA). An investor that executes a pay or receive trade is said to be "**paid**" or "**received**."

Payer and **receiver** refer to inflation caps or floors and to swaptions: a payer is an option giving the right but not the obligation to enter a paid position in an interest rate or inflation swap, and a receiver is an option giving the right but not the obligation to enter a received position in an interest rate or inflation swap.

ASW (also asset-swap, Buy on asset swap, Buy on an asset-swapped basis): Buy a bond packaged with a swap that is tailored to eliminate the bond's interest rate risk, effectively transforming the bond to a floating rate instrument whilst preserving the credit exposure to the bond issuer.

RASW (also reverse asset-swap, Sell on asset swap, Sell on an asset swapped basis): Sell a bond packaged with a swap that is tailored to eliminate the bond's interest rate risk, effectively transforming the bond to a floating rate instrument whilst preserving the credit exposure to the bond issuer.

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Underweight	27%	(0% of these provided with Investment Banking Services in the past 12 months)

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HSBC & Analyst disclosures

Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
ALPHABET	GOOGL.N	338.50	11 Sep 2026	1, 2, 5, 6, 7
AMAZON.COM	AMZN.OQ	256.78	11 Sep 2026	1, 5, 6, 7
APPLE	AAPL.O	332.27	11 Sep 2026	6, 7
CoreWeave Inc	CRWW.N	88.99	11 Sep 2026	–
META PLATFORMS	META.O	648.03	11 Sep 2026	7
MICROSOFT	MSFT.OQ	495.63	11 Sep 2026	6, 7
NETFLIX	NFLX.N	77.40	11 Sep 2026	1, 5, 7
ORACLE INC	ORCL.OQ	150.28	11 Sep 2026	1, 5, 6, 7
SPACE X	SPCX.N	151.21	11 Sep 2026	7
SPOTIFY TECHNOLOGY SA	SPOT.N	525.75	11 Sep 2026	–
UNIVERSAL MUSIC GROUP	UMG.AS	14.60	11 Sep 2026	–

Source: HSBC

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1. This report was produced and signed off by the author on 14 Sep 2026 22:09 GMT.
2. In order to see when this report was first disseminated please see the disclosure page available at <https://www.research.hsbc.com/R/34/MRLNXbv>

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Issuer of report

HSBC Continental Europe
38 avenue Kléber
75116 Paris, France
Telephone: +33 1 40 70 70 40
Fax: +33 1 40 70 70 09
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